ABSA BANK GHANA LTD

(Registration Number CS 144072016)
Annual Financial Statements
for the year ended 31 December 2025

Annual report and financial statements

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Corporate information

Registered Office and business address	ABSA Head Office
Country of Incorporation and Domicile	Ghana
Company Registration Number	CS 144072016
Date of authorisation	26 March 2026
Nature of Business and Principal Activities	The company is involved in Universal Banking.

Board of Directors:	**Name**	**Designation**
	Mrs. Frances Adu-Mante	Chairperson
	Dr. Edward Nartey Botchway	Managing Director
	Mr. Prince Adolph Kpegah	Executive Director
	Mr. Munatsi Mkushi	Executive Director
	Mr. Kobla Nyaletey	Executive Director
	Mr. Stephen Ato Frimpong	Independent Non-Executive Director
	Mrs. Angela Peasah	Independent Non-Executive Director
	Mrs. Benedicta Wontumi	Independent Non-Executive Director
	Mr. Charles John Russon	Non-Executive Director (Appointed 1 September 2025)
	Mr. Clinton Clarke	Non-Executive Director
	Mrs. Patricia Obo-Nai	Non-Executive Director

Postal Address	John Evans Atta Mills High Street Accra Ghana P.O. Box GP 2949
Holding company	ABSA Group Limited
Ultimate Holding company	ABSA Group Limited
Auditor	PricewaterhouseCoopers (PwC) PwC Tower, A4 Rangoon Lane Cantonments City PMB CT 42 Cantonments, Accra

Corporate information

Solicitors	Hayibor Djarbeng Danso & Co. P.O. Box AC11 Arts Centre, Accra, Ghana AB & David 8 Dr. Isert Road North Ridge P.O. Box TF 330 Accra, Ghana
Company Secretary	Edem Ama Sekyi
Website	absa.com.gh

CHAIRPERSON'S STATEMENT

The year 2025 has been a year marked by adaptability, continued growth, and strategic advancement for Absa Bank Ghana ("the Bank") as we navigated a dynamic economic landscape, while steadfastly upholding our mission to deliver value for all stakeholders.

In 2025, Ghana's macroeconomic landscape was shaped by a steady recovery from recent global and domestic challenges, underpinned by cautious fiscal management, ongoing structural reforms, and a continued focus on stabilising inflation and exchange rates. Key sectors such as Banking, Agriculture, and Services were instrumental in sustaining moderate economic growth, while the government enhanced its efforts to attract investment and boost the business environment to further bolster resilience. Despite lingering uncertainties, the outlook remained broadly positive, with prudent policies to foster sustainable growth and returns.

The Banking sector in Ghana has undergone significant transformation driven largely by regulatory reforms, technological innovation, and a renewed focus on sustainability. Major banks continue to embrace digital banking solutions, expanding access to financial services and improving customer experience through mobile platforms and fintech partnerships. The sector has also witnessed the increased adoption of green finance initiatives, with institutions allocating more resources to climate-related projects in line with global sustainability trends.

Competition among banks intensified, prompting a wave of product innovation and a shift towards more customer-centred services. Regulatory requirements strengthened, ensuring greater transparency and resilience within the financial ecosystem. Furthermore, the sector has seen a growing emphasis on Environmental, Social, and Governance (ESG) standards, with banks actively supporting climate action and energy reduction goals as part of their overall corporate strategies.

Financial Performance

In 2025, Absa Bank Ghana delivered strong financial and operational performance, demonstrating resilience, discipline, and strategic clarity in an evolving operating environment. The Bank strengthened its leadership in digital banking, financial inclusion, responsible finance, and customer experience, while maintaining high standards of risk management and governance. Revenue increased 27% year on year driven by a 17% uplift in net interest income as both customer loans and advances and deposits from customers increased; an 18% increase in net fees and commissions and a 73% increase in net trading income. Impairments decreased 99% to 3.3m driven by prudent origination and strong recoveries. Costs increased by 25% reflecting our investments in technology and people as we execute our strategy. Overall profit after tax increased 48% to 1.7 billion.

Strategy and Execution

Absa Bank Ghana's strategic direction for 2026 is centred on achieving market dominance through revenue and Profit Before Tax market leadership, driving sustainable growth across diversified segments, enhancing operational efficiency, deepening digitization and digitalisation, advancing customer experience, and building a high-performance, people-first organization. The bank aims to do this while maintaining rigorous risk management, expanding sector plays, scaling new channels, and strengthening its leadership in financial inclusion and national economic development. As we embark on this next phase of development, our vision is to stand out as a premier financial services provider celebrated for our adaptability, forward-thinking mindset, and steadfast pursuit of distinction. Our goal is to enable people, enterprises, and the wider economy to prosper by offering bespoke financial products and nurturing enduring relationships.

Central to our approach is a strong commitment to delivering long-term, meaningful benefits for our clients, investors, staff, and the broader communities we touch.

The Board has been instrumental on this path, offering dedicated guidance and oversight. Together with management, we have sharpened our strategic focus and overseen the successful rollout of key initiatives. Looking to the future, the Board is resolute in its support for the management team, ensuring they have the resources and encouragement required to fulfil our ambitions. We are assured that our united efforts will sustain our achievements and generate enduring benefits for all our stakeholders.

As the Bank advances through its multi-year transformation, management remains steadfast in pursuing clearly defined strategic priorities, all of which are tailored to secure sustainable, diversified, and profitable growth for the franchise. The Bank's commitment to these objectives will underpin its future direction and success.

The Bank aims to establish itself as the undisputed leader in both Revenue and Profit Before Tax. Through focused initiatives and prudent management, the intention is to outpace competitors and become the number one banking institution in these key financial metrics.

The Bank also seeks to drive deposit growth at a pace that consistently surpasses the expansion of the M2 money supply. By outperforming this benchmark, the Bank will enhance its liquidity position and market share in customer deposits. Absa will build sustainable assets by channeling capital to the real sector of the economy

A further objective is to achieve a Return on Equity (ROE) that exceeds the Cost of Equity (COE), thereby demonstrating efficient use of capital and delivering superior value to shareholders.

Additionally, the Bank is committed to growing its revenue at a rate that surpasses real GDP growth. This ambition reflects the Bank's drive to outperform the broader economy and secure a leading position in the market.

Finally, the Bank will keep a lid on operating cost growth, ensuring that expenses are carefully managed while supporting the necessary investments for continued progress.

Together, these strategic priorities shape the Bank's medium-term ambition, guiding it towards sustainable growth, robust profitability, and enduring market leadership.

These strategic priorities collectively define the Bank's medium term ambition to deliver sustainable growth, robust profitability, and market leadership.

Purpose and Ambition

In 2025, we maintained our focus on building a diverse and inclusive organisational culture that promotes collaboration and people-centred leadership. Our targeted interventions to develop our people and empower our leaders have strengthened our foundation, enabling employees to thrive in a dynamic environment. This sustained commitment has once again been recognised publicly, with Absa Bank Ghana LTD named a Top Employer for the fourth consecutive year and ranked number one in 2025.

Customer experience remained an enterprise-wide priority; we launched capability building programmes, enhanced scorecard metrics, strengthened service level agreements, improved digital adoption support, and drove loyalty building initiatives. These actions combined contributed to higher satisfaction across Retail Banking, Business Banking, and Corporate and Investment Banking.

The Bank continued to lead in sustainable finance and social impact through expanded MSME financing, support for women- and youth led enterprises, financial literacy programmes, and nationwide youth employability initiatives.

Environmental leadership advanced through renewable energy investments, water efficiency improvements, waste reduction initiatives, and continued progress toward EDGE certification. Community interventions — including potable water projects and colleague volunteerism — reinforced Absa's commitment to inclusive growth.

Absa invested deeply in colleague wellbeing, leadership development, technical skills training, and mobility pathways. Progress in diversity and inclusion — especially in women's leadership and disability inclusion — strengthened organisational culture. Multiple HR and sustainability awards affirmed Absa's position as the top employer of choice
in Ghana.

Corporate Governance and Board Changes

The Board plays a fundamental role in ensuring that our Bank operates with the highest standards of Corporate Governance. Through strategic oversight, risk management, ethical leadership, transparency, accountability, diversity, and continuous improvement, the Board is dedicated to safeguarding the interests of all stakeholders and fostering the long-term success of the Bank. Our unwavering commitment to these principles is what enables us to build and maintain trust, uphold integrity, and achieve sustainable growth.

As highlighted in the Corporate Information section of this Report, there have been changes to the composition of the Board since the last annual report was issued.

The Board has implemented its Succession Plan, appointing Mr. Charles John Russon as a Non-Executive Director and Shareholder Representative, effective 1 September 2025, following the completion of all governance requirements and the receipt of Regulatory approvals. Before joining the Ghana Board, Mr. Russon served as Interim Group Chief Executive Officer at Absa Group, ensuring leadership continuity until the appointment of a permanent Group CEO. His wealth of experience has significantly enhanced the Board's collective skills and competencies, particularly in terms of strategic direction and oversight.

Additionally, the Board has progressed to the next stage of its Succession Plan concerning the transition of the Board Chairperson role, with the current Chair's maximum term expected to conclude in July 2026.

Conclusion
Absa enters 2026 with strong momentum, a resilient balance sheet, and a clear roadmap for delivering sustainable long-term value. Priorities include deepening digital leadership, expanding financial inclusion, strengthening customer experience, and executing against its medium-term strategic goals. With disciplined execution and a high-performing workforce, the Bank is well positioned to continue delivering superior value for shareholders, customers, colleagues, and communities.

I would like to express my most sincere appreciation to our loyal customers, supportive shareholder, Regulators, fellow Board members, our leadership team, our dedicated employees, and the broader stakeholder community for their unwavering trust and partnership. Together, we have navigated the challenges of 2025 and emerged stronger and more resilient. I am confident that with your continued support, Absa Bank Ghana LTD will achieve even greater heights in the years to come.

Thank you for your continued trust and confidence.



Frances Adu-Mante (Mrs)
Board Chairperson

MANAGING DIRECTOR'S REPORT

Absa Bank Ghana delivered a very good year in 2025. We demonstrated our ability to transform, grow and drive business performance. As we reflect on the year, I extend my heartfelt gratitude to all of you—our shareholder, customers, partners, Board of Directors and employees—for your persistent trust and support. This year has been one of growth, transformation, consolidation and progress.

Our success this year was not accidental—it was the result of deliberate choices, bold investments, tenacity in execution and the unwavering dedication of our people. Together, we embraced change, leveraged technology, and stayed true to our mission of creating value for all stakeholders.

The whole team surpassed expectations and continues to display exemplary commitment, innovation and energy as we build our own stable, secure, African future. I am absolutely convinced that the bank has laid the foundation that will see us attain our vision of being the leading bank in Ghana.

The period marked a significant turning point for Ghana's economy, characterized by strong growth, price stability, and renewed
investor confidence. Despite global uncertainties, Ghana demonstrated resilience and achieved remarkable macroeconomic progress.

Real GDP expanded by an estimated 5.6% surpassing earlier projections. Non-oil GDP growth was even stronger at 7.5%, driven by robust performance in agriculture, services, and Information and Communication Technology (ICT). This broad-based growth reflects the effectiveness of structural reforms and improved business confidence. Fiscal discipline yielded a primary surplus of 1.9% of GDP, exceeding targets. Public debt declined from 61.8% of GDP at the end of 2024 to approximately 45.5% in November 2025, supported by debt restructuring and prudent expenditure controls.

Inflation declined sharply from 23.8% in December 2024 to 5.4% by December 2025, marking twelve consecutive months of disinflation and bringing inflation well within the Bank of Ghana's target range of 8 ± 2%. In response, the Monetary Policy Rate was reduced from 28% to 18%, signaling a shift toward growth-supportive policies.

The Ghanaian cedi strengthened significantly, appreciating from GHS15.8/USD early in the year to around GHS10.8/USD by the middle of the year. External balances improved, with a current account surplus of USD3.8 billion and gross reserves reaching USD11.4 billion, covering nearly five months of imports.

These achievements have restored macroeconomic stability and strengthened Ghana's credit ratings. However, sustaining this progress will require continued fiscal discipline, structural reforms, and investment in productivity-enhancing sectors. The macroeconomic environment now provides a solid foundation for growth, offering opportunities for businesses and financial institutions to thrive in 2026 and beyond.
The banking sector recorded notable progress across key financial soundness indicators, including capital adequacy, asset quality, liquidity, and profitability. Capital adequacy (without reliefs) improved significantly, with the industry's Capital Adequacy Ratio (CAR) rising to 17.5% by the end of the year. Asset quality also strengthened, with the Non-Performing Loan (NPL) ratio declining from 24.8% to 18.9% year-on-year. The improvement was driven by credit growth and a reduction in the stock of impaired loans. Despite this progress, credit risk remained relatively high, underscoring the need for sustained recovery initiatives and discipline in underwriting standards.

Liquidity conditions remained robust across the sector. Treasury instruments continued to attract strong investor demand. This trend reflected renewed market confidence and provided banks with safe, stable investment options. Regulatory and technological developments added further momentum.

It is within this context that I am proud to share a set of results that underscore a clear and demonstrable commitment to sustainable growth and support for all of our stakeholders.

FINANCIAL PERFORMANCE

Absa Bank Ghana closed the year with solid revenue momentum, supported by expanding retail activity, resilient markets performance, and improved credit outcomes.

Key highlights include:

- Gross Assets increased by 17% year-on-year, driven by strong retail lending volumes and significant corporate asset expansion aligned with seasonal cocoa trade and working capital flows. This produced a balanced asset mix of 53% Personal and Business Banking (PBB) and 47% Corporate and Investment Banking.

- Total Liabilities rose 9% year-on-year, primarily driven by a 19% uplift in Corporate core deposits, further supported by a 2% rise in Personal and Business Banking deposits. However, appreciation of the Cedi subdued growth in both customer assets and liabilities.

- Personal Banking delivered strong Net Interest Income (NII) performance, benefiting from higher deposit Funds Transfer Pricing (FTP) income, lower funding costs, and improved recovery. Corporate and Investment Banking was faced with significant compression margin across FX, trade, and debt products.

Credit performance was broadly favourable:

Personal Banking posted impairment releases driven by stronger collections. Business Banking experienced elevated impairment charges due to client-specific reviews and delayed pipeline conversions. Corporate and Investment Banking benefited from significant recoveries year on year.

Cost Management

Costs increased by 25% reflecting our investments in technology and people as we execute our strategy.

Segment Performance

Personal Banking witnessed strong profitability, anchored by deposits, net interest income, FX income, and lower impairments. Our Business Banking continued to build significant pipelines to fuel growth in the coming year. Corporate Banking experienced significant margin compression during the period under review. Our Markets business continued to be a major stabilizer, driven by FX volatility, improved spreads, and strong sales turnover.

Overall Outcomes

- Profit Before Tax: GHS 2.74 billion, a 46% growth over prior year.
- Revenue: Grew by 27%, growth over prior year
- Return on Equity (ROE): 34.7%, exceeding cos of equity of 29.4%.
- Customer Deposits: Up 9% to GHS 19.18 billion.
- Customer Assets: Up 20% to GHS 10 billion.
- Cost to income ratio remained flat at 37%
- Non-performing loans (NPL) ratio was 17% against prior year of 15.5%
- Return on Average Assets (ROAA) at 5.99%
- Impairment Performance: +99% favourable driven by strong recoveries and releases.

SUSTAINABILITY, REGULATION & OUR ROLE IN SOCIETY

Absa's strategic direction was shaped by a strong commitment to sustainability, inclusive growth, and operational excellence. The Bank's focus on delivering value to stakeholders was driven by several key initiatives, including leadership in Environmental, Social, and Governance (ESG) standards, support for MSMEs and entrepreneurs, investment in youth skills and employability, climate action , community impact, and a deep commitment to diversity and regulatory excellence. The following pillars summarize the core drivers behind Absa's achievements during the year, reflecting its purpose of empowering communities, strengthening economic resilience, and positioning the institution as a leader in responsible banking.

- **Strengthening MSME Growth and Economic Resilience**

  The Bank continued to expand its support for MSMEs and entrepreneurs, deepening its role in driving private-sector growth and enabling long-term economic stability. Increased funding support, broader capacity-building efforts, and enterprise-development initiatives contributed to stronger business continuity and improved credit-risk outcomes across priority segments. Our focus on women-owned businesses and smallholder agricultural enterprises supported portfolio diversification and inclusive growth. Digital lending partnerships and the successful rollout of agency banking further accelerated customer acquisition, deposit mobilisat ion, and low-cost funding growth.

MANAGING DIRECTOR'S REPORT

- **Advancing Youth Skills and the Future Workforce**
  The Bank's financial literacy and youth employability initiatives continued to deliver scale and measurable outcomes. Through extensive engagements with secondary and tertiary educational institutions, coupled with digital-first learning platforms, the Bank strengthened the talent pipeline for the future workforce and contributed to national human-capital development. Entrepreneurship support activities created visibility and market-access opportunities for young innovators, enabling stronger linkages within the SME ecosystem.
- **Climate Strategy and Environmental Stewardship**
  The Bank made notable progress toward its climate-action targets, supporting operational efficiency, reducing environmental-risk exposure, and unlocking green-finance opportunities. Resource-consumption reduction measures, increased installation of renewable energy systems at key locations, and continued implementation of recycling programmes contributed to lower operating costs an d stronger environmental compliance. The Bank advanced EDGE building certification for major infrastructure projects and deepened participation in national and global climate-finance mechanisms, strengthening its capability to mobilise capital for low-carbon development.
- **Community Investment and Social Impact**
  Through targeted social-impact programmes, the Bank strengthened community resilience and delivered long-term social value. Investments in clean-water systems, educational infrastructure, and community support initiatives continued to uplift underserved populations. Employee volunteerism remained a critical driver of social engagement, contributing professional expertise, time, and resources to community development projects across the country.
- **Diversity, Equity, Inclusion and Belonging**
  The Bank delivered steady progress on its inclusion strategy, improving gender representation across leadership levels and institutionalizing governance frameworks to promote equity and belonging. New initiatives supporting persons with disabilities were integrated into talent programmes, reflecting the Bank's commitment to inclusive workforce development and global sustainability standards.
- **Recognition and Market Positioning**
  The Bank's sustainability leadership was recognised through multiple industry nominations and awards, highlighting excellence in responsible finance, community development, and environmental management. Executive leadership received further recognition for championing social investment and sustainability innovation. This enhances stakeholder confidence in the Bank's long-term strategic direction.
- **Regulatory Compliance and Governance Excellence**
  Key regulatory matters were successfully addressed, and the institution operated without incurring penalties during the year— reflecting disciplined risk management and consistent adherence to supervisory expectations. The Bank continues to strengthen its control environment with a clear path toward achieving an enhanced regulatory rating, underscoring its commitment to governance, prudence, and operational resilience.
- **Strategic Relationships and Business Development**
  We deepened partnerships critical to our growth and impact to align on opportunities that support our customers and the wider economy. In the SME segment, we advanced commercial engagements—aimed at broadening access, solutions, and support for Ghanaian businesses.

AWARDS;

- **Top Employer 2025 -** Top Employer Institute
- **Best Retail Bank in Ghana** –The Asian Banker (TAB) Global Middle East & Africa Awards 2025
- **Best Retail Bank Ghana 2025:** Global Banking & Finance Awards
- **Best Retail Credit Card Provider Ghana 2025:** Global Banking & Finance Awards
- **Best Trade Finance Bank Ghana 2025:** Global Banking & Finance Awards
- **Excellence in Investment Banking:** International Center for Strategic Alliances (ICSA): Innovation & Excellence Awards 2025
- **Best Investment Bank:** World Economic Magazine 7th Annual Awards 2025
- **Banking Brand of the Year Award Ghana 2025 -** Global Banking & Finance Awards
- **Most Impactful Brand Campaign of the Year (*'Get More with Absa' acquisition campaign)***: Marketing World Awards 2025
- **Best Company in Youth Development and Empowerment Project:** Sustainability & Social Investment (SSI) Awards 2025
- **Best SME Loan Ghana 2025:** Global Banking & Finance Awards
- **Best Loan Bank:** World Economic Magazine 7th Annual Awards 2025
- **Best Sustainable Bank:** World Economic Magazine 7th Annual Awards 2025
- **Best Banking Brand in Sustainability:** Marketing World Awards 2025
- **Global Finance –** World's Best Investment Bank Awards 2024 – Best Corporate Investment Bank in Ghana

MANAGING DIRECTOR'S REPORT (continued)

OUR STRATEGY

The Bank leveraged a comprehensive set of strategic drivers to fuel organizational growth, foster a high-performance culture, and solidify its market leadership. The wellbeing agenda was advanced through targeted health initiatives and active support programs, strengthening colleague resilience and promoting a balanced work environment. Simultaneously, the Bank reinforced its reputation as an employer of choice by investing in culture-building, talent mobility, and recognition frameworks that enhanced engagement and retention. A relentless focus on Customer Experience (CX) saw the rollout of specialized training, service measurement frameworks, and cross-functional collaboration, ensuring elevated service standards across all banking channels. Finally, a robust digital transformation strategy modernized operations, expanded financial inclusion, and positioned the Bank at the forefront of technological innovation with the launch of integrated digital ecosystems and cloud migration initiatives.

- **Customer First**
  The Bank continued to strengthen its commitment to delivering a differentiated, customer centric experience across all channels. We expanded colleague capability through a comprehensive suite of Customer Experience (CX) training programmes embedded across Corporate and Investment Banking, Personal and Business Banking, and enabling functions. These programmes reinforced professionalism, service excellence, and growth mindset behaviours. Cashiers, call back teams, national service personnel, SME customer management teams, and Agency Banking staff all received specialised training tailored to their roles. Colleagues across Corporate, Treasury, Collections, Risk, Enablement and Customer Experience were also engaged in mindset shaping sessions designed to strengthen ownership and accountability. Customer stories were regularly shared to celebrate impactful experiences and embed learning across the organisation.
  Customer Experience accountability was integrated into colleague scorecards across Personal and Business Banking and Corporate and Investment Banking, with enabling functions assessed through service level agreements. These SLAs were monitored monthly at the Customer Council to ensure performance consistency. This transparent measurement framework reinforced cross functional collaboration and strengthened the Bank's collective focus on service excellence.
- **Digital Transformation**
  The Bank accelerated its digital transformation agenda, strengthening platform resilience, expanding financial inclusion, modernising branch operations, and deepening digital adoption across customer segments. Our efforts were guided by a clear strategic ambition to become a truly digital-first institution, delivering seamless, reliable, and always-on banking experiences.

  The rollout of Agency Banking on mobile and POS channels marked a major milestone in our financial inclusion strategy. The service is fully operational and supported by a nationwide network of agents, giving customers convenient, community-level access to essential banking services. Rising transaction activity highlights growing trust and adoption, while the platform is becoming a key contributor to deposit mobilisation and customer expansion.

Building an Integrated Digital Ecosystem with the Payments Marketplace

The Payments Marketplace—developed in partnership with AppsnMobile—marks a significant step in building a connected, multi- player digital ecosystem. Fully integrated with the Bank's systems, the platform enables seamless payments for individuals and merchants and positions the Bank at the centre of a broader digital commerce environment. The virtual card feature—fully built and ready for activation—enables customers to make secure online payments using instantly generated digital cards. Although temporarily paused in line with foreign exchange market guidance, the solution's readiness demonstrates the Bank's capacity for digital innovation and provides a strong platform for future revenue growth once market conditions permit. The addition of self service loan and credit card applications on the onboarding portal allows customers to access credit solutions independently, significantly improving convenience and reducing processing time. This enhancement strengthens our digital-first proposition while supporting greater product adoption. The migration of key systems to cloud infrastructure marks meaningful progress in modernising the Bank's technology landscape. The Bank maintained strong and consistent platform availability, ensuring reliable access to digital services for customers throughout the year. High uptime reinforces trust, improves transaction success rates, and demonstrates the maturity of our technology governance and operational resilience frameworks.

Collectively, these strategic drivers—prioritizing colleague wellbeing, cultivating a dynamic and inclusive culture, elevating customer experience, and accelerating digital transformation—were instrumental in advancing the Bank's mission and securing sustainable growth. By embedding these priorities into core operations and long-term planning, the Bank not only strengthened its competitive advantage but also enhanced value for customers, colleagues, and stakeholders. As a result, the organization is well-positioned to continue its trajectory of innovation, resilience and impactful service delivery in the years ahead.

MANAGING DIRECTOR'S REPORT (continued)

- **Culture, Focus, and the Road Ahead**
  The Bank advanced its wellbeing agenda through proactive health assessments, targeted wellness engagements, and active participation in health support initiatives. Wellness sessions and colleague led fitness clubs fostered a stronger culture of preventive health and work life balance. The Employee Assistance Programme remained a critical support channel, providing confidential wellbeing and developmental support and informing targeted learning interventions that strengthened colleague resilience and performance.

The Bank reinforced its position as an employer of choice through expanded international and internal mobility opportunities, a strong culture building framework, and a high performing talent acquisition engine. Cultural onboarding for new joiners and values-based engagement embedded the Bank's purpose and behavioural expectations. Improved culture tracking tools strengthened leadership visibility on cultural health, while colleague engagement initiatives delivered uplift across organisational sentiment indicators. A consistent recognition culture, transparent reward communication, and capability building for managers enhanced trust, engagement, and retention.

OUTLOOK

As we look ahead to 2026, the Bank is committed to building on the solid foundation established in 2025. Our strategic priorities remain centered on sustainable growth, effective risk management, and expanding our footprint in key areas such as climate finance, digital infrastructure, SME banking, and human capital development. With a continued focus on innovation and responsibility, we aim to enhance our value proposition for stakeholders and position ourselves as a leader among future -ready, stable financial institutions. The evolving landscape presents new challenges and opportunities, and we are prepared to navigate them with resilience and agility, ensuring that our progress aligns with long-term value creation and investor confidence.

CLOSING REMARKS

The foundation we have built in 2025—anchored in resilience, innovation, and responsibility—positions us for continued success. I extend my heartfelt appreciation to our shareholder for their trust, our employees for their dedication, and our partners for their collaboration. Together, we will navigate the evolving landscape, seize new opportunities, and create lasting value for all stakeholders.

Thank you for being part of this journey. I am confident about our strategic direction and our ability to navigate the volatility in the operating environment, and I have full confidence in our collective ability to outperform our past and peers. In conclusion, I would like to express my gratitude to our customers, shareholders, employees, and partners for their unwavering support and trust, and the Board for their challenge, guidance, and direction without which we would not have reached this height. I am proud of what we have achieved together. Together, we will continue to build a resilient and prosperous future for Absa Bank Ghana LTD.

Thank you.



Edward Nartey Botchway
Managing Director

REPORT OF THE DIRECTORS (continued)

The directors present their report and the financial statements of the Bank for the year ended 31 December 2025.

Directors' responsibility statement

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards issued by the International Accounting Standards Board ("IFRS Accounting Standards") as adopted by the Institute of Chartered Accountants, Ghana (ICAG) and in the manner required by the Companies Act, 2019 (Act 992) and the Banks and Specialised Deposit-Taking Institutions Act, 2016 (Act 930), and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The Directors have assessed the ability of the Bank to continue as a going concern and have no reason to believe that the business will not be a going concern in the year ahead.

The auditor is responsible for reporting on whether the financial statements give a true and fair view in accordance with the applicable financial reporting framework.

Principal activities

The Bank is registered to carry on the business of banking and the provision of related services. There was no change in the business of the Bank.

Holding company

Absa Bank Ghana LTD ("ABGH") is a wholly owned subsidiary of Absa Group Limited (AGL), which is a limited liability company incorporated and domiciled in the Republic of South Africa.

Going concern and subsequent events

The Bank recorded strong profitability in 2025, a continuation from the impressive turnaround posted in 2024 after the effect of the Domestic Debt Exchange Programme (DDEP) in 2022. The balance sheet also remained strong at total net asset of GHS 5.97 billion (2024: GHS 4.1 billion)

The directors have considered the following matters in making an assessment on the going concern assumption:

- Cash flow forecast – profit making, increase in income, containment of costs, liquidity management.
- The turnaround strategy reflective of the new business climate that is focused on driving growth in income and profitability for the foreseeable future, has so far yielded positive results.
- Risk management – rigorous selection process for clients, management of business risks and working capital.

The financial statements are prepared based on accounting policies applicable to a going concern. This basis presumes that funds will be available to finance future operations and that the realisation of assets and settlement of liabilities will occur in the ordinary course of business.

REPORT OF THE DIRECTORS (continued)

Financial results and dividend

The financial results of the Bank for the year ended 31 December 2025 are set out in the financial statements, highlights of which are as follows:

	GHS `000
Profit before tax	2,742,101
Profit after tax	1,762,411
Total assets	31,529,847
Total liabilities	25,556,763
Total equity	5,973,084

The Directors intend to declare and pay dividend for the year ended 31 December 2025, subject to the approval of shareholders at the Annual General Meeting (AGM), as well as obtaining the required regulatory consent. No dividend was paid for the year ended 31 December 2024.

The Directors consider the state of the Bank's affairs to be satisfactory.

Particulars of entries in the Interests Register during the financial year

No Director had any interest in contracts and proposed contracts with the Bank during the year under review. Hence there were no entries recorded in the Interests register as required by sections 194(6), 195(1)(a) and 196 of the Companies Act, 2019 (Act 992).

Corporate social responsibility (CSR)

During the year under review, the Bank spent GHS 2,566,921 (2024: GHS 1,793,014) on CSR programmes with key focus on education and skill development and supporting positive social change.

Contribution to society

Absa Bank Ghana continued to play the role of domestic systemic important bank in the Ghanaian Banking industry. This is evident in the strong balance sheet size, performance trajectory and overall contribution to the country through various banking service interventions, as well as social responsibility activities.

For the year 2025, the Bank provided direct and indirect jobs to over 2000 people and paid direct corporate tax and levies in excess of GHS 895m (2024:657m).

Establishment of New Board Sub-Committee

A key milestone in the year was the establishment by the Board of its Social, Sustainability and Ethics Sub-Committee (SSEC). The SSEC was established to strengthen the Board's oversight of sustainability, climate-related financial risks, social impact, and ethical leadership, thereby ensuring these priorities are measured, systematically governed, and integrated into the Bank's strategic and operational priorities.

Succession Plan

Mr. Charles John Russon was appointed as Non-Executive Director (Shareholder Representative) on 1 September 2025, in compliance with governance standards. Previously, Mr. Russon served as Absa Group's Interim Group CEO, bringing valuable leadership and strategic expertise to the Ghana Board.

The Board progressed with its succession plan for Office of its Chairperson, as the current Chair's term ends in July 2026.

REPORT OF THE DIRECTORS (continued)

Capacity building of directors to discharge their duties.

During the reporting period, the newly appointed Non-Executive Director (NED) participated in a comprehensive induction programme, which was structured to facilitate his understanding of Absa Ghana's strategic direction, operational processes, organisational culture, regulatory obligations, related risks and challenges, prevailing economic conditions, pertinent legal considerations, and the regulatory framework governing the Bank's operations.

Additionally, all Directors attended mandatory regulatory and recommended training programmes as part of the Board's ongoing learning initiative. This approach was intended to strengthen both individual and collective capabilities, enabling Directors to effectively fulfil their oversight responsibilities in compliance with statutory requirements, while adopting global best practices in corporate governance.

Externally Facilitated Biennial Evaluation of Board Performance

In line with regulatory expectations and leading practice, the Bank also undertook its Biennial External Evaluation of the Board's performance for years 2023 and 2024. This evaluation was conducted by Deloitte & Touche, for a consecutive review period in accordance with the Bank of Ghana's Corporate Governance and Disclosure Directives' requirements.
Deloitte's Biennial Corporate Governance Assessment Maturity Continuum reported an overall average score of 95.6% for 2023 and 2024, resulting in an aggregated 'Optimized' maturity level. This marks a slight increase from the 2021 and 2022 average of 95.4%, demonstrating continued excellence and consistency in Board performance.

Auditor fees

The audit fee for the year is GHS 2,534,418

Approval of the report of the Directors

The report of the Directors of Absa Bank Ghana LTD, was approved by the board of directors on 26 March 2026 and signed on its behalf by:

Signature	**Signature**
Mrs. Frances Adu-Mante	Dr. Edward Nartey Botchway
Name	**Name**

CORPORATE GOVERNANCE REPORT

Introduction

Corporate governance encompasses the frameworks and processes by which organizations are directed and regulated. This involves the establishing the strategic direction and objectives, defining risk tolerance levels / limits, supervising operational activities, safeguarding the interests of depositors and stakeholders, and ensuring adherence to relevant legal and regulatory requirements. Corporate governance therefore holds significant importance for the Shareholder, Directors, and Stakeholders.

Absa Bank Ghana LTD had consistently adhered to relevant Governance Frameworks and Policies over the years, maintaining compliance with Regulatory Directives and Guidelines, including the Bank of Ghana (BoG)'s Corporate Governance Directive (CGD) and the Corporate Governance Disclosure Directive (CGDD) effective December 2018 and May 2022 respectively.

The Bank's Board remains committed to upholding professionalism and integrity across its operations. In pursuit of this objective, the Board endorses rigorous standards for corporate governance and the continuous advancement of best practices. The corporate governance guidelines detail the responsibilities of the Board, including the setting the strategic direction, establishing risk management frameworks, overseeing core values, defining processes for the appointment of Directors, and managing stakeholder relationships.

Authorised business:

The Bank is duly licensed by the BoG to operate as a universal bank and to engage in ancillary activities. Throughout the year under review, all requisite licenses were successfully renewed by the relevant regulatory authorities in support of ABGH's operations, most notably:

i. Securities and Exchange Commission (SEC) – Custodian, Primary Dealer and Issuing House Licenses; and
ii. National Pension Regulatory Authority (NPRA) – Pension Fund Custodian License.

Shareholding and beneficial ownership

Absa Group Ltd., a company incorporated in South Africa, is the sole owner of the Bank. The ultimate beneficial shareholding is detailed as follows:

Shareholder	
ABSA GROUP LIMITED (AGL)	100%
Total	**100%**

Shareholders of AGL as of 31st December 2025	**2021**	**2022**	**2023**	**2024**	**2025**
NEWSHELF 1405 RF (Pty) Ltd. (SA)	-	-	7.00%	7.00%	7.00%
NINETY ONE (SA)	6.87%	5.33%	-	-	-
OLD MUTUAL (SA)	5.57%	5.18%	-	-	-
PUBLIC INVESTMENT CORPORATION (SA)	5.41%	4.89%	5.14%	4.86%	13.82%
M&G (SA, UK)	5.32%	5.02%	5.06%	5.72%	4.54%
BLACKROCK INCORPORATED (US, UK, JP, AU, CA)	3.75%	4.40%	4.57%	4.38%	4.30%
GIC ASSET MANAGEMENT (SA)	1.73%	4.23%	-	-	-
CITIGROUP GLOBAL MARKETS (SA)	4.03%	4.01%	-	3.90%	-
THE VANGUARD GROUP INCORPORATED (US, UK, JP, AU, CA)	-	-	-	-	3.83%
OTHERS	67.32%	66.94%	78.23%	74.14%	66.53%
Total	**100%**	**100%**	**100%**	**100%**	**100%**

1. SA South Africa
2. US United States
3. JP Japan
4. AU Australia
5. CA Canada
6. UK United Kingdom

Corporate Governance report continued...

The Board

The Board of Directors is comprised of eleven members, including the Chairperson, who is an Independent Non-Executive Director (INED). The Board also comprises four Executive Directors (such as the Managing and Finance Directors, the Managing Principal for Retail and Business Banking, and the Chief Strategy and Operations Officer), three INEDs , and three Non-Executive Directors (NED), two of whom are nominees of the shareholder.

Executive Directors hold primary responsibility for formulating and executing operational decisions, as well as overseeing the management of the Bank's business activities. NEDs contribute complementary expertise and experience to provide rigorous oversight, ensuring that Board decisions - including those pertaining to strategy and policy - are grounded in informed judgment and supported by their collective knowledge.

The Board had implemented its Succession Plan, and appointed Mr. Charles John Russon as a NED (i.e. Shareholder Nominee, effective 1st September 2025, following receipt of regulatory approvals, in compliance with Regulatory expectations, Group, and Ghanaian governance requirements.

Before joining the Ghana Board, Mr. Russon had served as Interim Group Chief Executive Officer (CEO) at AGL, ensuring leadership continuity until the appointment of a substantive Group CEO. His wealth of experience significantly enhances the Board's collective skills and competencies, particularly with regards to strategic direction and oversight.

Additionally, the Board had progressed to the next stage of its Succession Plan concerning the transition of the Board Chairperson role, with the current Chair's maximum term expected to conclude in July 2026.

Diversity and Inclusion

The Board had recognised the advantages of diversity in terms of gender, experience as well as representation from various industry sectors. This commitment to diversity was reflected in the Board's composition as outlined in its Board Charter.

The Bank's commitment to diversity and inclusion is reflected in a Board that brings balanced gender representation, a mix of roles and experiences from local and international perspectives that steer its strategic direction.

The Board had a membership made up of 36% INEDs, 36% executive directors, while 27% are NEDs. The 11-member Board of

Directors is also comprised of 7 males (63.6%) and 4 females (36.4%).

The Board's deliberations were enhanced by its diverse national composition: 8 out of 11 Directors (72.7%) are of Ghanaian nationality, while 3 Directors (27.3%) are of foreign nationality - comprising two South African and one British nationals. This blend brings together robust local market expertise with valuable international experience and governance insights.

Board Meetings

The Board convenes on a regular basis and had a formal schedule of matters it addresses. Directors are entitled to seek guidance from the Company Secretary and, where appropriate, obtain independent professional advice at the Bank's expense. The Board also sets its annual objectives to ensure a focused approach to key business matters.

Each Sub-Committee of the Board establishes its priorities and planned initiatives for the upcoming year by reviewing and approving the calendar of business or forward planner for the ensuing year during the final regular meeting of the reporting year.

The Board maintains an official attendance register for its meetings. The attendance records for the 2025 Board meetings were as follows

Members		***Jan-25**	**Mar-25**	**Apr-25**	**Jul-25**	**Sep-25**	**Nov-25**	**Dec-25**
Mrs. Frances Adu-Mante	Independent Director and Board Chairperson	Y	Y	Y	Y	Y	Y	Y
Dr. Edward Nartey Botchway	Managing/Executive Director	Y	Y	Y	Y	Y	Y	Y
Mr. Prince Adolph Kpegah	Executive Director	Y	Y	Y	Y	Y	Y	Y
Mr. Munatsi Mkushi	Executive Director	Y	Y	Y	Y	Y	Y	Y
Mr. Kobla Nyaletey	Executive Director	Y	Y	Y	Y	Y	Y	Y
Mrs. Angela Peasah	Independent Director	Y	Y	Y	Y	Y	Y	Y
Mrs. Benedicta Wontumi	Independent Director	Y	Y	Y	Y	Y	Y	Y
Mr. Charles John Russon **	Non-Executive Director	-	-	-	-	Y	Y	Y
Mr. Clinton Clarke	Non-Executive Director	Y	Y	Y	Y	Y	Y	Y
Mrs. Patricia Obo-Nai	Non-Executive Director	Y	Y	Y	Y	Y	Y	Y
Mr. Stephen Ato Frimpong	Independent Director	Y	Y	Y	Y	Y	Y	Y

Y – Present N – Not present

* The January 2025 meeting was a special session of the Board.

** Mr. Charles John Russon was appointed as NED effective 1st September 2025 and thereafter attended the November and December 2025 Board meetings.

During the year under review, the Board convened a total of six regular meetings. The meeting held on the 20th March 2025 was specifically dedicated to the review of the 2024 Annual Report and Audited Financial Statements, while another, held on the 19th September 2025, focused on the corporate strategy for the upcoming year, 2026.

Additionally, a special session of the Board took place on the 30th January 2025 to address matters related to the Bank's Implementation Roadmap for compliance with the BoG's Directive on Climate-Related Financial Risks (CRFR).

Throughout the year 2025, the Board performed the following key actions amongst others;

- Approval and deployment of approved succession plans and appointments to the Board and Executive Management
- Approval of frameworks, policies, and standards etc.
- Approval of the quarterly unaudited financial statements for publication and the 2024 Annual and audited Financial Statements (AFS)
- Approval of write-offs, new products, services and initiatives such as Absa-In-Branch Women's Desk, Agency Banking, Spark, Absa Pay, Mobi Tap, Diaspora Connect, etc.
- Approval of the 2026 Corporate Strategy and Medium-Term Plan
- Establishment and operationalisation of a new Sub-committee of the Board i.e. the Social, Sustainability and Ethics Committee (SSEC).
- Matters arising in respect of the Head Office Building project.
- Matters of Regulatory Compliance
- Report on Biennial Evaluation of the Board's Performance (2023 and 2024)

Board Committees

The Board had delegated specific aspects of its mandate to its five sub-committees, namely:

- Board Audit Committee;
- Board Risk Committee;
- Board Remuneration Committee;
- Board Information Technology, Cyber Security and Payment Systems (ITCS&PS) Committee; and
- Social, Sustainability & Ethics Committee (SSEC) (effective 24th April 2025)

The Sub-Committees operate under the authority delegated by the Board, as outlined in their respective Terms of Reference (ToR), which are reviewed annually. These Sub-Committees provide regular reports to the Board, typically following each of their meetings, which are generally scheduled to precede Board meetings.

Summary of the key actions of the Board Committees in the year 2025

The Board Audit Sub-Committee performed the following key actions amongst others;

- Reviewed 2024 Annual Reports and Audited Financial Statements and made recommendations to the Board for Approval at its 14th March 2025 special session.
- Reviewed other significant matters referred to the Committee by the Board or Management, such as the Payment of Group Recharges and Tax Matters.
- Review of Quarterly Unaudited Financial Statements and recommendation to the Board for approval.
- Reviewed the Auditor's Remuneration and made proposals for the Board's consideration.
- Reviewed and approved Audit Plans for the Year.
- Approval of the Bank's whistleblowing protocols/activities etc.

Corporate Governance report continued...

The Board Remuneration Sub-Committee performed the following key actions amongst others:

- Oversight over Staff welfare and remuneration matters, reward and discretionary awards.
- Considered and reviewed the succession plans for Board and KMP roles within the Bank.
- Ensured effective leadership, learning and talent management.
- Received Reports on the Staff Occupational Pension and Provident Fund Schemes.
- Considered the case for the establishment of the new Board SSEC, and proposed ToR
- Oversight over the assessment of effectiveness of KMP and Directors (i.e. Peer evaluation, Board Chair and MD)
- Governance processes on the Externally Facilitated Evaluation of the Board's performance for the years 2023 and 2024 by Deloitte, Ghana

The Board Risk Sub-Committee performed the following key actions amongst others:

- Oversight of impact of risks arising from the External and Internal Environment on the Business, Control Environment (CE) and Management Control Approach (MCA).
- Monitored the macro-economic environment and recommended appropriate actions.
- Reviewed the Anti-Money Laundering (AML)/Counter Financing of Terrorism (CFT) Compliance Report.
- Oversight over capital and liquidity management.
- Review and Approval of Frameworks, Policies, Standards, Models, Limits etc.
- Review and approval of credit requests above Management's mandates.

Corporate Governance report continued...

The Board ITCS&PS Committee performed the following key actions amongst others;

- Oversaw the Bank's compliance with BoG directives on digital lending services, payment services and systems etc.
- Considered Technology Performance Report including Technology Risk Overview.
- Monitored the Cyber Security environment including a review of the Cyber Security Manager's Report and Overview of Controls against Cyber Threats.
- Considered the Chief Risk Officer's Report including the Technology and Cyber Risk Indicators and Other Issues.
- Approval of ITCS&PS Frameworks, Policies, Standards etc.

The Board Social, Sustainability & Ethics Committee (SSEC) was established on the 24th April 2025 in the year under review. This was in line with the Climate Related Financial Risk Directive, 2024 and the Ghana Sustainable Banking Principles and Sector Guidance Notes, 2019. The Committee performed the following key actions amongst others:

- Commenced its oversight responsibility for the Bank's activities regarding social and economic development, corporate citizenship, environment, health and public safety, labour and employment conduct, ethics, consumer relationships, stakeholder management and transformation etc.
- Instituted appropriate frameworks and support structures to monitor sustainability, climate related and 'Environment, Social and Governance' (ESG) risks.
- Considered the Bank's Annual Sustainability / ESG Plan.
- Discussed the ESG Reporting capability
- Consideration of the 'Force for Good' Initiatives, Diversity and Inclusion effort across the Bank etc.

The Board notes, amongst others, the following ongoing focus areas for 2026

- Execution of 2026 strategy
- Regulatory compliance and stakeholder engagement
- Adoption of accounting standards for Sustainability Reporting (e.g., BoG Climate Related Risk Directive, International Financial Reporting Standards (IFRS) S1 and S2 etc.).

The roles of Chairperson and Managing Director are explicitly defined and clearly separated in terms of responsibilities. To further uphold checks and balances within the Bank's governance framework, the Board Chairperson does not chair any of the Board's sub-committees.

Board Audit Committee

The Board Audit Committee holds a minimum of four meetings annually, engaging with the Bank's Senior Management, Chief Internal Auditor, and External Auditors. In these sessions, the Committee examines the Bank's financial affairs, reviews Audit and Compliance reports, and assesses the efficiency of the Bank's internal control systems.

The Committee consists of a membership of not less than three and not more than five NEDs of the Bank appointed by the Board, a majority of whom shall be Independent. Committee members are expected to demonstrate a strong understanding of the business, bring a well-balanced mix of skills and experience, and collectively hold sufficient expertise in accounting, auditing, and finance, including methodologies for evaluating risk and the control environment.

The Chairperson of the Committee is an Independent Director appointed by the Board. Should he/she be unable to attend any meeting, another NED (i.e. from among Committee Members) chairs the meeting.

The following are also mandatory attendees / invitees to the Committee's meetings:

- Managing Director
- Finance Director
- Chief Internal Auditor
- External Auditor
- Chief Operating Officer
- Chief Risk Officer
- Chief Compliance Officer

Corporate Governance report continued...

The attendance register for Audit Committee meetings in 2025 is as presented below:

2025 Audit Committee Meeting Attendance Record

Members		Feb-25	*Mar-25	Jul-25	Oct-25	Dec-25
Mr. Stephen Ato Frimpong	Chairperson (INED)	Y	Y	Y	Y	Y
Mrs. Patricia Obo-Nai	Member (INED)	Y	Y	Y	Y	Y
Mrs. Angela Peasah	Member (INED)	Y	Y	Y	Y	Y

Y – Present
INED – Independent Non-Executive Director
NED – Non-Executive Director
*The March 2025 meeting was an special session of the committee.

An annual assessment was conducted to determine whether the Committee fulfilled its mandate per its ToR in December 2025. The Chief Internal Auditor reports directly to the Committee and had unfettered access to the Committee and the Board. The Committee also holds private sessions without Management during its quarterly meetings with the External and Internal Auditors, Chief Risk Officer and Chief Compliance Officer to obtain the necessary assurances regarding the Bank's governance processes.

The Committee is responsible for assessing the Chief Internal Auditor and the Chief Compliance Officer. The Committee had 100% of its membership being Ghanaian.

The membership of the Board's Audit Committee was comprised of 3 members, a majority, i.e. 2 out of 3 including the Committee's Chairperson of are INEDs with professional expertise in Accounting, Auditing, Finance and related disciplines. The 3rd member had undergone an enhanced induction Programmes which coupled with her personal professional experience and competencies enable her to understand and perform duties as a committee member.

The Board made this decision in response to a recommendation from the Deloitte Ghana Evaluation Team, who conducted the previous audit cycle for 2021 and 2022. The Evaluation Team noted that, to align with regulatory standards and best practices, a majority of committee members should possess relevant professional expertise.

Board Risk Committee

The Board Risk Committee convenes at least four times annually to oversee the execution of strategic initiatives by senior management. Additionally, it provides guidance to the Board regarding the Bank's overall risk tolerance and appetite, both current and projected, as well as its strategic direction. This includes matters regarding Anti-Money Laundering, Combating the Financing of Terrorism, and Proliferation of Weapons of Mass Destruction (AML/CFT&P).

The Committee also reviews credit requests from Management within a specified timeframe. Additionally, the Committee considers the portfolio management information such as sector caps and portfolio quality as well as non-performing accounts in the credit portfolio.

Membership of the Committee is comprised of not less than three NEDs and the Managing Director as voting members, the majority of whom are independent. The members of the Committee had a robust understanding of the nature of the business and an appropriate balance of skills and experience for assessing the risk environment.

The Chairperson of the Committee is an Independent Director appointed by the Board. Should he/she be unable to attend any meeting, another NED (i.e. from among Committee Members) chairs the meeting.

The Committee is responsible for assessing the Chief Risk Officer and the Bank's Anti-Money Laundering Reporting Officer (AMLRO). Both the Chief Risk Officer and the Bank's AMLRO had unfettered access to the Risk Committee.

The Committee in the year under review demonstrated a balanced measure of diversity in its constitution of which 75% were Ghanaian and 25% membership being foreign Ghanaian.

The following are also mandatory attendees / invitees to the Committee's meetings:

- Finance Director
- Chief Risk Officer
- Managing Principal, Corporate and Investment Banking
- Managing Principal, Retail and Business Banking
- Chief Strategy and Operations Officer
- Country Treasurer
- Chief Internal Auditor
- Director, Compliance
- Head of Legal and Company Secretariat
- The AMLRO

The attendance register for Risk Committee meetings in 2025 is presented below:

2025 Risk Committee Meeting Attendance Record

Members		***Feb-25**	**Apr-25**	**Jul-25**	**Oct-25**	**Dec-25**
Mrs. Benedicta Wontumi	Chairperson (INED)	Y	Y	Y	Y	Y
Dr. Edward Nartey Botchway	Managing Director (ED)	Y	Y	Y	Y	Y
Mrs. Angela Peasah	Member (INED)	Y	Y	Y	Y	Y
Mr. Clinton Clarke	Member (NED)	Y	Y	Y	Y	Y

* The February 2025 meeting was a special session of the committee.
Y - Present
INED - Independent Non-Executive Director
NED - Non-Executive Director
ED - Executive Director

Remuneration Committee

The Committee is constituted with at least three Independent Directors, and the Chairperson of the Board of Directors. The Head of Human Capital, the Managing Director, and the Head of Legal and Company Secretariat Department or Company Secretary participate in Committee meetings in an *ex officio* capacity.

The Committee is chaired by an Independent Director appointed by the Board. In the event that the Chairperson is unable to attend a meeting, another designated Independent Director who is a Committee member will assume the role of Chairperson for that meeting. The Chairperson does not possess a casting vote. The Committee convenes at least twice annually, with additional meetings scheduled as requested by the Chairperson or any Committee member.

The Board Remuneration Committee oversees matters pertaining to Human Resources, Remuneration, Nominations, and Corporate Governance. The Committee's responsibilities include recommending major changes in personnel policies, executive compensation, and employee benefits to the Board for approval. Additionally, its mandate encompasses succession planning for both Board members and KMP across short, medium, and long-term horizons.

The attendance register for the Remuneration Sub-Committee's meetings held in 2025 is as presented below:

2025 Remuneration Committee Attendance Record

Members		***Apr-25**	**Jun-25**	**Nov-25**
Mrs. Angela Peasah	Chairperson (INED)	Y	Y	Y
Mrs. Frances Adu-Mante	Member (INED)	Y	Y	Y
Mrs. Benedicta Wontumi	Member (INED)	Y	Y	Y
Mr. Stephen Ato Frimpong	Member (INED)	Y	Y	Y

Y – Present
INED – Independent Non-Executive Director
NED – Non-Executive Director

*The Remuneration Committee convened an special meeting on 14th April 2025 to discuss the formation of the Board Social, Sustainability & Ethics Committee (SSEC), which after Board Approval became effective from 24th April 2025.
This committee was intended to enhance Board oversight in accordance with the Bank of Ghana's Climate Related Financial Risk Directive (2024), the Ghana Sustainable Banking Principles and Sector Guidance Notes (2019), and recognized global best practices for addressing Environmental, Social, and Governance (ESG) risks / matters.

Information Technology, Cyber Security and Payment Systems Committee (ITCS&PS)

The ITCS&PS Committee was established pursuant to provisions in BoG's Directive on Cyber & Information Security (October 2018) ('the BoG Directive 2018') and the Payment Systems and Services Act, 2019 (Act 987).

The Committee's primary function is to support the Board in ensuring robust oversight and governance of Information Technology (IT) and cyber security risks for the Bank, while maintaining compliance with the BoG Directive 2018. Furthermore, the Committee aids the Board in supervising and governing the Bank's systems and processes related to cyber security, as well as addressing risks associated with payment systems and services.

The Committee was also established to enhance the Board's understanding of the systems including policies, controls, and procedures. Management had put measures in place to identify, manage, and mitigate risks related to cybersecurity, data privacy, disaster recovery, respond to incidents accordingly, and protect critical infrastructure assets.

The ITCS&PS Committee, as outlined in its ToR, is required to meet at least four times a year. The membership includes the Managing Director and no less than three NEDs of the Board (the majority of whom shall be independent), and who are possess the necessary skills and possess relevant knowledge to effectively fulfil the Committee's mandate.

The following are also mandatory attendees / invitees to the Committee's meetings:

- Chief Information and Enablement Officer
- Head, Cyber Risk Management
- Chief Risk Officer
- Chief Operating Officer
- Cyber and Information Security Officer
- Chief Internal Auditor
- Director, Compliance

The attendance register for ITCS&PS Committee meetings held in 2025 is as presented below:

Members		**Apr-25**	**Jul-25**	**Oct-25**	**Dec-25**
Mrs. Patricia Obo-Nai	Chairperson (INED)	Y	Y	Y	Y
Dr. Edward Nartey Botchway	Member (ED)	Y	Y	Y	Y
Mr. Stephen Ato Frimpong	Member (INED)	Y	Y	Y	Y
Mrs. Benedicta Wontumi (*Appointed on March 2024)*	Member (INED)	Y	Y	Y	Y

Y – Present
INED – Independent Non-Executive Director
NED – Non-Executive Director
ED - Executive Director

Social, Sustainability & Ethics Committee (SSEC)

The Board SSEC Committee convened its inaugural meeting on 24 June 2025, following its establishment by a Board resolution dated 24 April 2025. The Committee is tasked with oversight of the Bank's activities related to social and economic development, corporate citizenship, environmental stewardship, health and public safety, labour and employment practices, ethics, consumer relations, stakeholder management, and transformation, among others.

The Committee comprises three NEDS (the majority of whom are Independent and appropriately skilled) and the Managing Director.

The Committee is chaired by an Independent Director appointed by the Board. In the event the Chairperson is unable to attend a meeting, a designated Independent Director who is also a committee member will assume the role of Chair for that meeting. The Chairperson does not hold a casting vote.

The Committee meets at least twice annually, with additional meetings convened at the request of the Chairperson or any Committee member.

The following are also mandatory invitees to the Committee's meetings:

- Chief Strategy & Operations Officer
- Chief Risk Officer
- Director, Compliance
- Director, Human Capital
- Managing Principal, Retail and Business Banking
- Managing Principal, Corporate and Investment Banking
- Finance Director
- Chief Operating Officer
- Director, Marketing and Corporate Affairs
- Head, Sustainability Risk Management

The attendance register for the SSEC Sub-Committee's meetings held in 2025 was as presented below:

2025 SSEC Committee Attendance Record

Members		**Jun-25**	**Nov-25**
Mr. Stephen Ato Frimpong *(appointment as Chairperson effective 24th April 2025)*	Chairperson (INED)	Y	Y
Dr. Edward Nartey Botchway *(appointment effective 24th April 2025)*	Member (ED)	Y	Y
Mrs. Angela Peasah *(appointment effective 24th April 2025)*	Member (INED)	Y	Y
Mr. Clinton Clarke *(appointment effective 24th April 2025)*	Member (NED)	Y	Y

Y – Present
INED – Independent Non-Executive Director
NED – Non-Executive Director
ED - Executive Director

Data Protection

The Bank holds a Data Protection Certificate authorizing it to process the personal information of clients, employees, and third parties. The Board was responsible for ensuring that a comprehensive policy framework addressed data protection risks was established and that such risks are effectively managed as part of the Bank's Conduct Risk Management strategy.

To maintain regulatory compliance and align with best practices, the Data Privacy and Protection Policy, Data Privacy Standard, Privacy Incident Management Standard, and supporting documents—including Records Retention and Destruction in the Privacy Context, Assessing Potential Risk of Harm for Data Privacy Incidents, Cross Border Data Transfer Guidance, and Identification of Roles in Data Processing Activities—had underwent thorough review.

During 2025, the Bank deployed training programmes for staff to reinforce compliance with the Data Protection Act, 2012 (Act 843) and related privacy policies. Additionally, the Compliance Function submits quarterly reports to the Board, incorporating Privacy Risk as a key indicator within the overall Conduct Risk assessment.

Management Reporting Structures and Reports

The Board assumes collective responsibility for determining its agenda. In coordination with the Chairperson and all Directors, the Company Secretary prepares an annual calendar of Board activities, which outlines the items scheduled for discussion at each meeting and includes presentations regarding the Bank's business and operations.

Documents pertinent to the agenda for each Board or Committee meeting are provided to members of the Board no less than seven days prior to the scheduled meeting.

Regular papers submitted at least every quarter to the Board include:

i. Managing Director's Report
ii. Finance Director's Report
iii. Presentations on the implementation of the Company's strategy from each of its principal businesses, and Functional Heads
iv. Chief Risk Officer's Report
v. Governance matters
vi. Treasurer's Report
vii. Chief Customer Officer's Report
viii. Chief Compliance Officer's Report including key developments in the financial system and Directives, Notices, and Guidelines issued by the BoG and other Regulators.
ix. AMLRO's Report;
x. Litigation and Contingent Liabilities Report;
xi. Marketing and Corporate Affairs Report;
xii. Human Capital Report;
xiii. Chief Information and Enablement's Report;
xiv. Chief Risk Officer's Report;
xv. Credit Report;
xvi. Operations Report;
xvii. Reports from Board committees (with summaries of Committee minutes being made available as part of the Board Pack); and
xviii. Governance matters and other mandatory updates.

Reports, including ad hoc submissions as required, were presented to the Board to ensure they remain informed about the Bank's performance in relation to the Strategic Plan and Budget. These reports also address developments within the financial system and banking industry, as well as compliance with applicable legislation, Directive Notices, and Guidelines issued by the BoG.

All documents and discussions conducted during meetings of the Board and its committees are regarded as strictly confidential. The Company Secretariat maintains an official record following each Board and Committee meeting.

Forward Planner / Calendar Activities for the year 2026

The Board's Calendar Activities for 2026 include regular meetings on the following tentative dates:

i. Annual General Meeting
   - 26th March 2026

ii. Meetings of the Board of Directors (Regular) with additional Emergency meetings convened if required)
   - 26th March 2026
   - 28th April 2026
   - 28th July 2026
   - 27th October 2026
   - 17th December 2026

iii. Meetings of Board Sub-Committees – Audit, Remuneration, Risk, SSEC & ITCS&PS (Regular) and Emergency if required
   - Audit
     - 5th March 2026
     - 23rd July 2026
     - 22nd October 2026
     - 24th November 2026
   - Remuneration
     - 18th June 2026
     - 12th November 2026
   - Social Sustainability and Ethic Committee
     - 18th June 2026
     - 12th November 2026
   - Risk
     - 17th April 2026
     - 16th July 2026
     - 15th October 2026
     - 8th December 2026
   - ITCS&PS
     - 7th April 2026
     - 7th July 2026
     - 6th October 2026
     - 3rd December 2026

iv. Board and Management Strategy session
   - 18th September 2026

v. Regulatory/Mandatory training for Directors and Continuous Professional Development

vi. Biennial Externally Facilitated Board Evaluation (2025 and 2026)

vii. Annual Self-Assessments by the Board and its Sub-Committees

Risk Management Framework

The Enterprise Risk Management Framework (ERMF) establishes the principles by which the Bank identifies and manages its risks. This framework provides for robust measures to safeguard the interests of both the Bank and its stakeholders, while enabling the Bank's organisational structure and strategic direction. Each year, the Bank's strategic objectives and plans are developed to align with the ERMF.

Systems of Internal Control

The Bank had internal control systems to identify, manage, and monitor risks effectively. These systems are structured to ensure a reasonable degree of assurance that business risks are being appropriately addressed. The Bank's corporate internal assurance function provides an independent perspective and systematically evaluates the efficacy of these internal controls. Implementation and oversight of these controls are carried out by personnel with clear roles, responsibilities, and reporting structures, all of whom receive appropriate training.

Upon completion of the ERMF Review for 2025, the Board validated the effectiveness of the internal control system. This annual assessment confirmed that ABGH had established and implemented a comprehensive Risk Management Framework, facilitating the development and execution of strategies, policies, procedures, and controls to effectively address various material risks. Additionally, the framework provides the Board with a thorough, enterprise-wide perspective on material risk exposures.

The review presents the Board with a comprehensive assessment of internal control policies and procedures for managing key risks, including any changes made to ensure their relevance. Additionally, it examines major aspects of risk exposure and strategy, the internal controls governing financial reporting, and the processes in place for reporting deficiencies in internal controls, together with any preventive or mitigating actions implemented.

Internal Audit

The Internal Audit Function, under the leadership of the Chief Internal Auditor, is tasked with evaluating the effectiveness of the organization's internal control system and ensuring that it adequately supports the financial information disclosed in the Annual Financial Statements. Furthermore, it evaluates the adequacy of risk management activities at the operational level, as well as the scope and effectiveness of the independent risk management oversight function with respect to its mandate and responsibilities.

The Chief Internal Auditor reports directly to the Audit Committee and had unrestricted access to the Board. Interactions between the Board's Audit Sub-Committee and Internal Audit are regular.

Every year the Board's Audit sub-committee evaluates the performance of the Chief Internal Auditor and by extension the Internal Audit Function, with feedback communicated to the Chief Internal Auditor regarding his effectiveness in the year under review.

The NEDs only meeting to discuss the performance of the Chief Internal Auditor for the year 2025 was held during the private session of meeting of the Board's Audit sub-committee held in December 2025.

Code of Business Ethics, Professionalism and Culture

The Board complied with the requirement of the Corporate Governance Directive, 2018, ensuring that they are knowledgeable about the Code of Conduct, Ethics and Professionalism. The Bank's new purpose statement, "Empowering Africa's Tomorrow Together, One Story at the Time" guides daily activities.

In respect of 2025, the Board of Directors and colleagues attested to the relevant codes of conduct and related standards, which outline expected behaviours, and associated sanctions for breaches.

Over the course of the year, the Bank had consistently upheld its core values, which guide the conduct expected when engaging with employees, customers, clients, shareholders, governmental bodies, regulators, business partners, suppliers, competitors, and the wider community.

Code of Business Ethics, Professionalism and Culture

Management had effectively communicated the organisation's Purpose and Values to all employees, providing clear guidance for their responsibilities. The Bank's Code of Conduct sets the standards of professionalism and integrity expected in all business activities. It addresses legal and compliance, conflicts of interest, environmental considerations, accuracy in financial reporting, anti-bribery policies, and related matters. Strict compliance with these principles is essential to mitigate the risk of unlawful practices. This is accomplished through a combination of the following measures:

- Tone from top management
- Continuous mandatory training
- Governance process to oversee adherence and continuous enhancement.

Conflict of Interest and Potential Material Conflicts of Interest

The Board maintains a Conflict-of-Interest Policy in accordance with Section 60 of the CGD 2018. Combined with established compliance procedures aligned with the Board's Charter objectives, these frameworks provide guidance for Directors as outlined below:

i. Define the purpose and scope, including the standards applicable to covered individuals, conduct expectations, conflict of interest definitions, policy governance (such as disclosure requirements and procedures), board deliberations regarding declared conflicts, record of proceedings, adherence guidelines, and consequences for non-compliance;

ii. Establishes directors' duty to avoid activities that could potentially result in conflicts of interest;

iii. Specifies the review and approval process that directors must follow prior to participating in certain activities, ensuring these do not lead to conflicts of interest;

iv. Requires directors to disclose, in addition to Section 59 of the CGD 2018, any issue that may cause or had already caused a conflict of interest;

v. Mandates directors to abstain from voting as outlined in Section 59 of the CGD 2018, and in matters where a conflict of interest may arise;

vi. Ensures adequate procedures are in place for related party transactions, conducted on a non-preferential basis; and

vii. Details the process and procedures by which the Board will address any instances of non-compliance with this policy.

The Board maintains a current register to document and manage all conflict-of-interest situations within the Bank. During the past review period, the Board ensured full compliance with relevant legislation and established requirements on related party transactions, particularly in relation to exposure limits for loans to Related Parties and Staff.

Related party transactions

At every Board meeting, updates are provided on the potential/material conflicts of interest where Directors and KMP were concerned. From a corporate standpoint, established policies and controls were in place to address any potential conflicts of interest that may arise during talent acquisition, procurement, or business activities—such as those within Corporate and Investment Banking, as well as Retail and Business Banking.

The Board ensures adherence to non-preferential terms and compliance with Sections 67 to 70 of the Banks and Specialised Deposit Taking Institutions Act, 2016 (Act 930) concerning exposure limits for related party facilities. Any potential conflict of interest considered by the Board or its sub-committees is duly documented in the meeting minutes.

Corporate governance report continued...

Disclosure of interests by Directors

No.	Name / Date of Appointment	Qualification	Profession / Experience	Outside Board and Management position	Other External Professional Commitments	Designation	Entities with shareholding by directors
1	Mrs. Frances Adu-Mante *Appointment effective 5th October 2017 as INED and from 1st January 2021 as Board Chairperson* (End of Board Tenure effective July 2026)	• Executive Masters in Business Administration (Finance) • Diplôme Supérieur de Français des Affaires, Diplôme de Langue, Alliance Française d'Accra • Certificate of Completion of Program in United States Law and Legal Institutions • Professional Qualifying Certificate in Law (QCL), Ghana School of Law • Bachelor of Laws (LLB) (Honours)	• Banker and Lawyer 47+ Years of professional Experience	Board of Trustees, University of Ghana Business School Endowment Fund	Rofam Consultancy Services	INED	None
2	Mr. Stephen Ato Frimpong *(Appointment effective 1st March 2021)*	• Bachelor of Commerce • Masters in Accounting • Certified Public Accountant (CPA) • Certified Management Accountant (CMA)	• Certified Public and Management Accountant 30+ Years Experience	None	None	INED	None
3	Mr. Charles John Russon *(Appointment effective 1st September 2025)*	• BCom with majors in Accounting and Mercantile Law • Higher Diploma in Accounting • SA Institute of Chartered Accountants	• Chartered Accountant / Banker 32+ Years Experience	Sable International	Sable International	NED	Absa G Ltd. (le 5%)

Corporate governance report continued...

No.	Name / Date of Appointment	Qualification	Profession/ Experience	Outside Board and Management position	Other External Professional Commitments	Designation	Entities with shareholding by directors
4	Mr. Clinton Clarke *(Appointment effective 14th May 2021)*	• Bachelor of Social Science • Bachelor of Laws	• Investment Banker 26+ Years Experience	• None	None	NED	None
5	Mrs. Benedicta Wontumi *(Appointment effective 23rd November 2023)*	• Master of Science in Development Economics (M.Sc. - Finance Option) • Bachelor of Science (B.Sc. (Hons) Economics)	• Consultant / Credit Risk Specialist 26+ Years Experience	• Therakidz School	Growth Investment Partners (GIP)	INED	BBGA Credit Risk Solutions (100%)
6	Mrs. Patricia Obo-Nai *(Appointment effective 6th June2024)*	• Professional Engineer • Executive Masters in Business Administration, Project Management • Bachelor of Science (B.Sc.) Electrical / Electronic Engineering	• Management	• Ghana Telecommunica-tions Company Ltd and its subsidiaries (Telcel Mobile Financial Services Limited, National Communication Backbone Limited) • Global Young Academy Advisory Board, Germany • KNUST Engineering Education Project (KEEP) • Restoration Community Chapel, Accra	Ghana Telecommunic-ations Company LTD and its subsidiaries (Telecel Mobile Financial Services Limited, and National Communication Backbone Limited	NED	None

No.	Name / Date of Appointment	• Qualification	Profession/ Experience	Outside Board and Management position	Other External Professional Commit ments	Designation	Entities with shareholding by directors
7	Mrs. Angela	• Executive Master of Science in Business Administration (EMBA – Entrepreneurial Management Option) - University of Ghana • Institute of Chartered Accountants, Ghana (ICA, Ghana)	• Chartered Accountant 33+ Years Experience	• None	• Unilever Ghana	INED	None
8	Dr. Edward Nartey Botchway *(Appointment effective 10th July 2024 as ED and MD)*	• Member, Ghana Association of Restructuring and Insolvency Advisors (GARIA, Ghana) • Chartered Member, Institute of Chartered Accountants, Ghana (ICA, Ghana) • Association of Chartered Certified Accountants, UK • Doctor of Business Administration - Swiss Business School • MA (Applied Business Research) - Swiss Business School • BA (Economics) - University of Ghana, Legon	• Chartered Accountant / Banker 26+ Years Experience	• None	None	Executive and Managing Director	Integrity Academy (51%)

Corporate governance report continued

No.	Name / Date of Appointment	Qualification	Profession / Experience	Outside Board and Management position	Other External Professional Commitments	Designation	Entities with shareholding by directors
9	Mr. Adolph Kpegah *(Appointment effective 29th November)*	• Harvard Business School, General Management Program, Massachusetts, USA; • MSc., Business Administration (Finance) - GIMPA • Advanced Certificate in Commercial Lending • BA Economics with Statistics - University of Ghana, Legon	• Banker 20+ Years Experience	• None	None	Executive Director	None
10	Mr. Munatsi Mkushi (Appointment effective 1st February 2022)	• Harvard Business School, General Management Program, Massachusetts, USA; • Institute of Chartered Accountants of Scotland (ICAS) • University of Cambridge: MA (hons) Experimental & Theoretical Physics • Judge Business School, Cambridge Management Studies	• Chartered Accountant 20+ Years Experience	Absa Securities, U.S. Inc	None	Executive Director	None

Corporate governance report continued

No.	Name / Date of Appointment	Qualification	Profession / Experience	Outside Board and Management position	Other External Professional Commitments	Designation	Entities with shareholding by directors
11	Mr. Kobla Nyaletey	• Harvard Business School, General Management Program, Massachusetts, USA; • EMBA, Finance - University of Ghana • Association of Chartered Certified Accountants, UK. • Certificate in Professional Management Development (PMD 14) Gordon Institute of Business Science,	Banker	Farmgate Resources Ghana	None	Executive	Farmgate
		• University of Pretoria, South Africa. ACI Dealing Certificate, Credit Accredited Professional. • BSc. in Banking & Finance, University of Ghana					

Note:

i. Disclosures under Directors' profiles relate to shareholding/equity interest of at least 5%.

ii. There had been no cross-directorship.

Annual Board Certification Training Report

All Directors in 2025 underwent three (3) certificated courses organised by the National Banking College (NBC) with certificates issued to Directors for their participation. The governance programmes attended by all Directors were as follows:

- Module 1 : Open Banking and Oversight for Directors.
- Module 2 : Data Governance, Artificial Intelligence & Cybersecurity .
- Module 3 : Oversight of Strategy: What the Board Must Know and Do.

Board Qualification and Continuous Professional / Competency development

All Directors satisfied the requirements of the Fit and Proper Persons Directive (FPPD) in 2025. The Board remains committed to ongoing competency development and training initiatives to enhance directors' skills and strengthen overall board effectiveness.

Some Continuous Professional Development Programmes undertaken were:

(i) CPDs facilitated by the Group's Secretariat

a) Beyond the Algorithm: AI Governance, Risk Responsibility and Ethics for Boards Training
b) Country Specific ERMF Training
c) Absa Group Boards' training on Macro-Economics

(ii) Pre-Appointment Certification Training – BoG Requirement

2025 Mandatory Corporate Governance Training special session for Absa's Mr. Charles Russon by the NBC.

(iii) Induction Sessions for new NED

Comprehensive Induction/Onboarding Pack and Country Management Committee (CMC) briefing sessions were organized to welcome the newly-appointed Director to the Board to ensure their effective onboarding and effective delivery in his role.

(iv) AML/CFT/CPT Training for Board of Directors

The Board participated in an AML/CFT/CPT training session facilitated by the Head, Financial Crime Compliance & AMLRO of the Bank in November 2025. This training was delivered in line with the published revised AML/CFT/CPF Guidelines.

Board Self-Paced Learnings:

Directors of the Board were, in course of the year, provided with adequate information and high-level comprehensive decks for their self-paced, intensive updating on emerging trends, ongoing matters, and current dynamics within the industry, the regulatory environment, for proactive governance alignment. Notable among these refreshers were the following:

a) Materials curated for members of the Board for self-paced training on ESG, Sustainability, Climate Related Financial Risks and ancillary topics; and
b) Materials curated for members of the Board for self-paced training on BoG's Outsourcing Directive, issued in November 2024, which implements outsourcing provisions under the Banks and Specialised Deposit-Taking Institutions Act, 2016 (Act 930)

(v) Annual Refresher for Directors

KPMG Ghana facilitated an annual refresher on the topic 'ESG, Climate Risk and Sustainability.

In addition to the refresher session, Directors received training from in-house subject matter experts on 'Climate Related Financial Risks'. This programme addressed climate-related risks and outlined strategies for integrating these considerations into ABGH's strategic planning and decision-making.

Business Strategy

The Board serves as the highest decision-making authority for all matters of strategic, financial, or reputational importance to the Bank. In alignment with this role, the Board and Management convened an off-site meeting in September 2025 to develop strategies for the 2026 fiscal year. The strategy session focused on defining the Bank's goals, strategy, and vision. Subsequently, the Country Strategy and key focus areas were formally approved by the Board at its November 2025 meeting.

Corporate values

The Board Charter outlines the governance framework and core values that underpin the Board's approach to decision- making and problem-solving. It underscores the Board's dedication to upholding the highest standards of integrity and ethical conduct. Additionally, the Charter outlines the Board's role in setting the organisational tone and ensuring that these values are effectively communicated and maintained throughout all levels of the company.

Succession Planning

The Board maintains a well-defined succession process designed to support the Bank's ongoing effectiveness. Succession planning and the selection of new members are informed by the Board Skills Matrix. The Board Remuneration Committee regularly reviews the succession plan and oversees talent management for the Bank's senior leadership, ensuring the Bank had adequate depth and expertise within its leadership team.

The plans delineate actions designed to guarantee that when KMPs retire or resign, a pre-identified pool of qualified candidates possessing requisite skills and experience is prepared to apply for key roles as they become available. This approach maintains and strengthens the overall competency and equilibrium of Management.

The Board utilizes the Board Competencies Matrix to identify any existing skills gaps among its executive and non-executive members. This process supports the selection of suitably qualified individuals for appointment to vacant positions, subject to approval by the Bank's Regulators.

There was one new joiner to the Board of Directors in the year under review as follows:

No.	Director's Name	Role on the Board	Date of Regulatory (BoG) Approval	Effective date of Appointment
i.	Mr. Charles John Russon	NED	26th September 2024	1st September 2025

There were four new joiners to Management in the year under review as follows:

No.	KMPs Name	Role	Date of Regulatory (BoG) Approval	Effective date of Appointment
i.	Kofi Agyarko-Kwarteng	Chief Risk Officer	7th May 2025	12th May 2025
ii.	Annie Aborah	Credit Director	29th January 2025	12th May 2025
iii.	Magdalene Sakyibea Gyeke-Larbi	Head of Custody	27th June 2025	8th July 2025
iv.	Eric Tsiri	Commercial Banking Director	19th December 2025	24th December 2025

Corporate governance report continued...

Retirement of Directors / Key Management Person

There was no retirement by any Director in the year 2025.

There was 1 resignation from Management in the year under review as follows:

	KMPs Name	Role	Date of Appointment	Effective date of Resignation
i	Mrs. Grace Anim-Yeboah	Business Banking Director	1st December 2018	30th June 2025

Board Performance Evaluations

The Board carried out its annual performance evaluations to determine potential areas for enhancement among individual directors, sub-committees, and the Board as a whole.

In-House Performance Evaluation of Board, Committee and Peer Evaluation

The Board conducted its annual self-assessment for 2025, evaluating its overall performance and that of four out of five subcommittees and individual Board members. This review examined the effectiveness of the Board's governance practices and procedures. The Board concluded that it was effective in all the areas assessed.

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Regarding the newly established committee, the SSEC, it was resolved that the self-assessment would be postponed, as conducting an assessment for the year 2025 was deemed premature because there had been only one prior meeting held before the quest for Committee Self-Assessment in addition to the fine tuning which was underway for the SSEC constitutional documentation and governance processes. The Committee had determined that it will undertake its self-assessment in the ensuing year, 2026.

The Board's self-assessment for performance in 2025 covered the following areas:

i. AML/CFT matters
ii. Board roles and responsibilities
iii. Board self-assessments process
iv. Board structure and composition
v. Corporate governance
vi. Decision making processes
vii. Information flows and presentations
viii. Role of Directors
ix. Supplementary self-assessment and

Corporate governance report continued...

The peer evaluation process gathered feedback from all Directors in response to targeted questions designed to assess their colleagues' performance and identify areas of strength as well as opportunities for improvement.

Board In-House Performance Evaluation on AML/CFT Issues
The Board carried out its bi-annual evaluation of performance regarding AML/CFT matters for the half-years ending June and December 2025. Comprehensive half-yearly reports were subsequently submitted to both the BoG and the Financial Intelligence Centre (FIC).

Annual Assessment of Independence of Directors:
The Board's assessment confirmed that, in 2025, all INEDs satisfied the independence criteria as established in the CGD 2018 mandatory guidelines on independence.

Externally facilitated Evaluation of Board Performance

i. Background and Regulatory Context
The Board undertook an externally facilitated evaluation of its performance for the 2023 and 2024 financial years. The evaluation was conducted by Deloitte & Touche, Ghana, in line with the Bank of Ghana's Corporate Governance Directive, 2018 and Corporate Governance Disclosure Directive, 2022.
In accordance with section 48(b) of the Corporate Governance Directive, the comprehensive report from the most recent biennial evaluation was submitted to the Bank of Ghana on 1 December 2025, and a statement on the external evaluation of the Board was disclosed in the Bank's 2025 Annual Report.
Previous externally facilitated evaluations were conducted by the National Banking College (NBC), Ghana for the 2019–2020 period and by Deloitte, Ghana for the 2021–2022 period.

ii. Scope and Methodology of the Evaluation
The evaluation adopted a structured, evidence-based, and benchmark-driven approach and covered the Board, its Committees, and individual Directors. The key components of the exercise were as follows:

- **Governance Documentation Review**
  Review of Board Charter as well as Board and sub-committee Terms of Reference (ToR), minutes, governance policies, annual and regulatory reports, audit and risk reports, succession plans, appointment and due diligence documents, conflict of interest registers, and whistleblowing frameworks etc.

- **Board Surveys**
  Three structured surveys were administered, namely:
  - Board Effectiveness Survey
  - Directors' Self-Assessment
  - Assessment of the Board Chair

  Ten Directors who were on the Board during the period in scope participated in the surveys instead of 11 currently on the Board.

- **Interviews**
  One-on-one interviews were conducted with each Director and the Company Secretary to validate survey outcomes and obtain qualitative insights.

- **Benchmarking Analysis**
  The Bank's governance practices were benchmarked against:
  - Applicable regulatory directives
  - Deloitte's Corporate Governance Maturity Framework
  - International governance standards

- **Board Evaluation**
  The evaluation covered the following areas:
  - Board Structure
  - Board Operations and Effectiveness
  - Strategy
  - Risk Management
  - Performance Measurement and Compensation
  - Internal Control and Compliance
  - Ethics and Conflict of Interest
  - Internal and External Audit
  - Whistleblowing
  - Transparency and Disclosure

- **Committee Evaluations**
  Each Board sub-committee i.e. Audit, Risk, Remuneration, and ITCS&PS, was assessed on structure, mandate delivery, regulatory compliance, meeting effectiveness, and the performance of the Committee Chair etc.

- **Individual Director Assessments**
  Assessments covered Directors' profiles, competencies, self-assessment outcomes, Chair's assessments, strengths, and areas for development.

- **Reporting Process**
  A draft report was submitted to the Board for review, feedback was incorporated, and thereafter a final comprehensive report was issued detailing findings, maturity scores, gaps, and recommendations.

iii. Overall Assessment Results

Using Deloitte's Corporate Governance Assessment Maturity Continuum, the Board achieved an overall average score of 95.6%, corresponding to an aggregated "Optimised" maturity level.
In addition:

- The Board's effectiveness was rated at an average of 4.59 out of 5, indicating performance that meets expectations.
- The aggregate Directors' self-assessment averaged 4.70 out of 5.
- The aggregate assessment of the Board Chair by Board members averaged 4.88 out of 5, evidencing performance that meets Board expectations.

Deloitte Ghana's Biennial Corporate Governance Assessment Maturity Continuum of 95.6% for 2023 and 2024, reflecting an 'Optimized' maturity level, represented an improvement over the 2021 and 2022 score of 95.4%. This demonstrates the Bank's continued substantial compliance with the BoG's Corporate Governance standards, as well as continued excellence and consistency in Board performance.

iv. Key Findings and Observations

The Board and Management considered the findings and recommendations with a view to addressing areas for enhancement while consolidating existing good practices. The key observations were as follows:

- **Internal Control and Compliance:** At the time of the evaluation, there had been no independent assessment of the effectiveness of the compliance function, as required by the Basel Committee on Banking Supervision's Corporate Governance Principles for Banks. The Board has since conducted an independent assessment on the effectiveness of the Compliance function and has commenced implementation of the relevant recommendations.
- **Transparency and Disclosure:** While the profiles of Directors, Executive Management Committee members, and the Company Secretary, including their qualifications were disclosed in the 2024 Annual Report and Audited Financial Statements, however their respective experience was not disclosed. The Board has included the experience of the Directors and Executive Management Committee members and the Company Secretary in the annual report.

Corporate governance report continued...

v. Previous Externally Facilitated Evaluation of Board Performance (2021–2022)

In the prior 2021–2022 externally facilitated Board Evaluation conducted by Deloitte Ghana, two key areas of improvement were identified. The review recommended additional enhancement to the professional certification of the members of the Audit Committee and the implementation of further disclosure related to Directors outside activities. Both these recommendations had been fully implemented by the Bank as at the end of 2024.

CERTIFICATION OF COMPLIANCE WITH CORPORATE GOVERNANCE DIRECTIVE, 2018

Directors successfully obtained certification from the NBC following their full participation in the 2025 Corporate Governance Programme.

The Board further certifies that:

- It had independently assessed and documented that the corporate governance process of the Bank was effective and had successfully achieved its objectives.
- Directors are fully cognizant of their governance responsibilities to the Bank.
- There were no material deficiencies or weaknesses in corporate governance identified in the year.

EFFECT OF FIT AND PROPER PERSONS DIRECTIVE, JULY 2019 (FPPD 2019)

The Board had overall responsibility for selecting and appointing KMPs, this function is delegated to Executive Management which conducts enhanced due diligence on all KMP's using the criteria in the FPPD 2019.

The Board ensures that Candidates for roles meet the 'Fit and Proper Assessment Criteria' before seeking to obtain the requisite prior approval/
'no objection' from the BoG (primary Regulator) and the South Africa Reserve Bank (SARB) (secondary Regulator).

On-going due diligence was conducted to determine suitability of the Bank's KMPs as well as middle and lower-level management, particularly those in critical roles or where there had been significant change in roles/responsibilities.

KMP and their Particulars

Name	Qualification	Profession	Date appointed	Position / Experience
Dr. Edward Nartey Botchway	• Doctor of Business Administration - Swiss Business School : Zurich, Switzerland • MA (Applied Business Research), Swiss Business School, Zurich, Switzerland • University of Ghana BA (Economics): Ghana • Association of Certified Chartered Accountants (United Kingdom) : - ACCA Fellow - ACCA Member • Chartered Member: Institute of Chartered Accountants (Ghana) • Ghana Association of Restructuring and Insolvency Advisors (GARIA)	Banker /Chartered Accountant	10th Jul 2024	Country Managing Director (Experience in Current Role: 1 year, 7 months; In Absa: 1 year, 7 months)
Mr. Adolph Kpegah	• Harvard Business School, General Management Program • IMD – Strategy Execution • Wharton Executive Education, Boardroom Governance • MSc., Business Administration (Finance), GIMPA • Advanced Certificate in Commercial Lending. • BA Economics with Statistics, University of Ghana, Legon.	Banker	1st Nov 2024	Chief Strategy & Operations Officer (Experience in Current Role: 1 year 3 months; In Absa: 17 years, 9 months)
Mr. Munatsi Mkushi	• Harvard Business School, General Management Program • Institute of Chartered Accountants of Scotland (ICAS) • University of Cambridge: MA (hons) Experimental & Theoretical Physics • Judge Business School, Cambridge: Management Studies	Chartered Accountant	18th Jan 2022	Finance Director (Experience in Current Role: 4 years; In Absa: 8 years, 4 months)

Corporate governance report continued...

Name	Qualification	Profession	Date appointed	Position
Mr. Kobla Nyaletey	• Harvard Business School, General Management Program • Executive Masters in Business Administration (MBA), Finance – University of Ghana • Association of Chartered Certified Accountants, UK. • Certificate in Professional Management Development (PMD 14) Gordon Institute of Business Science, • University of Pretoria, South Africa. ACI Dealing Certificate, Credit Accredited Professional. • BSc in Banking & Finance, University of Ghana •	Banker / Chartered Accountant	23rd Sept 2022	Managing Principal, Retail and Business Banking (Experience in Current Role: 3 years 1 month; In Absa: 21 years)
Mr. Jacob Brobbey	• IMD – Amplify • EMBA (Finance), University of Ghana • Bachelor of Commerce, University of Cape Coast • Dealing Certificate, ACI • Fellow, Association of Certified Chartered Accountants	Investment Banker-Trader	1st Oct 2022	Head of Corporate and Investment Banking (Markets) (Experience in Current Role: 3 years, 4 months; In Absa: 20 years, 1 month)
Mrs. Annie Aborah	• University of Ghana Business School, Executive Master of Business Administration, (Finance Option) • Kwame Nkrumah University of Science and Technology– Bachelor of Arts • IFS School of Finance (UK) • Diploma in Customer Relationship Management	Banker	15th Dec 2023	Credit Director effective 12th May 2025 (Acted as Chief Risk Officer until 12th May) (Experience in Current Role: 9 months; In Absa: 23 years, 4 months)

Corporate governance report continued...

Name	Qualification	Profession	Date appointed	Position
Mrs. Judith Adrienne Haizel	• 2021 Henley Business School Incorporated in the UK Postgraduate Diploma in Management Practice • 2024 University of Ghana, Legon Masters in Business Administration (Finance) • 2002 Chartered Institute of Bankers Accra Chartered Banker (Association of Chartered Institute of Bankers (Ghana) • 1991 University of Ghana Legon Bachelor of Arts in Economics (Second Class Upper) Member, Association of Chartered Institute of Bankers, Ghana • Member, International Academy of Business and Financial Management (IABFM)	Banker	2nd May, 2024	Director, Compliance (Experience in Current Role: 1 year, 9 months; In Absa: 1 year, 9 months)
Mr. Seth Ativie	• University of Luton/Bedfordshire (United Kingdom): MSc. Finance and Business Management. • University of Ghana, Legon- Bachelor of Arts (Sociology and Political Science) • ACI- Financial Markets Association (ACI-Operations certificate)	Banker	11th Jul 2023	Head of Governance & Control (Experience in Current Role: 2 years, 7 months; In Absa: 18 years, 3 months)
Mr. Frederick Nyinaku	• Harvard Business School, Authentic Leadership • CIMA Advanced Diploma in Management Studies • ACI Operations Certificate • EMBA (Finance), University of Ghana • BSc. Land Economy, Kwame Nkrumah University of Science and Technology (KNUST)	Banker	6th Sept 2022	Chief Operating Officer (Experience in Current Role: 3 years; 5 months) In Absa: 20 years, 4 months)
Mrs. Nana Essilfuah Boison Tamakloe	• EMBA, Marketing, University of Ghana • BA, Social Science, Kwame Nkrumah University of Science and Technology (KNUST)	Marketing Practitioner	3rd Dec 2007	Marketing & Corporate Affairs Director (Experience in Current Role: 11 years 2 months; In Absa: 18 years, 2 months)

*** Dates for Appointment indicated for designated roles.

Name	Qualification	Profession	Date appointed	Position
Mrs. Ellen Ohene-Afoakwah	• Harvard Business School, Authentic Leadership • EMBA – GIMPA Business School, Accra. • Chartered Banker – Chartered Institute of Bankers Ghana. • Diploma in Customer Relationship Management – IFS School of Finance London UK. • Diploma in Credit Skills Development – IFS School of Finance London UK. • B.Sc. Agricultural Economics – KNUST	Banker	1st Apr 2017	Managing Principal, Corporate & Investment Banking (CIB) (Experience in Current Role: 3 years, 1 month; In Absa: 26 years, 4 months)
Mr. William Easmon	• MA International Relations and Diplomacy, Legon Centre for International Affairs and Diplomacy – University of Ghana • Certificate in HRM, The International Management Training Institute, Israel. • Professional Certification, Human Resource Practitioner, Institute of Human Resource Management Practitioners, Ghana. • BA – Political Science & Philosophy – University of Ghana	HR Management Practitioner	1st Dec 2013	Director, Human Capital Function (Experience in Current Role: 12 years 2 months; In Absa: 12 years, 2 months)
Mr. Justice Amegashie	• IMD, Amplify • Project Management Professional (PMP) • Master's Degree Business Management- Coventry University • Advanced Certificate (Computer & Information Science)- GIMPA • BSc. (Hon) Computer & Information Science – University of Ghana	Information Systems Professional	1st Jul 2022	Chief Information and Enablement Officer (CIEO) (Experience in Current Role: 3 years, 7 months; In Absa: 10 years, 3 months)
Mr. Kenneth Jojoh Gborglah	• IMD, Amplify • MSc, Investment Management – Cass Business School, London • BSc. Administration – University of Ghana • ACI Certification	Treasurer	1st Jul 2015	Country Treasurer (Experience in Current Role: 10 years, 6 months In Absa: 10 years, 7 months)
Mrs. Grace Anim-Yeboah	• MBA (Oil & Gas) – Robert Gordon University Aberdeen Business School, Scotland • BA (Economics & English) – KNUST	Banker	1st Dec 2018 (Resigned effective 30 June 2025)	Business Banking Director (*Experience in Past Role: 6 years 6 months; In Absa: 18 years)

Corporate governance report continued...

Name	Qualification	Profession	Date appointed	Position
Ms. Evelyn Acquah	• IMD, Amplify • Retail Banker – Retail Banking Academy Certification Programme – London • Certified Product Manager – AIPMM; • Executive EMBA – Paris Graduate School of Management-France • BSc Admin (Banking and Finance option) – • University of Ghana	Banker	1st Aug 2020	Chief Customer Officer (Experience in Current Role: 4 years, 5 months; In Absa: 22 years, 1 month)
Mr. Charles Addo	• Advanced Diploma, Business Application Programme – Grasp College of IT, United Kingdom (UK). • M.Sc. International Money, Finance, and Investment – Brunel University, UK. • BSc (Hons) Business Economics, University of East London	Banker	1st Jun 2018	Personal Banking Director (Experience in Current Role: 7 years, 6 months; In Absa: 18 years, 11 months)
Mr. Wisdom Nuworkpor	• Fellow – ACCA, Member – ICA, Ghana • Certified Associate in Project Management (PMI), • ACI Operations Certificate – Financial Markets Association, • MBA (Paris Graduate School of Management) • HND, University of Professional Studies, Accra (UPSA)	Chartered Accountant	1st Jun 2020	Chief Internal Auditor (CIA) (Experience in Current Role: 3 years, 7 months; In Absa: 18 years, 4 months)
Mr. Isaac Adotey Kwashi Brown	• Bachelor of Laws, Central University • EMBA, KNUST • BSc. (Banking and Finance), University of Ghana • Teacher's Cert. A, Ada College of Education	Lawyer and Compliance Professional	17th Oct 2022	Head, Fin Crime Compliance and AMLRO (Experience in Current Role: 3 years, 3 months; In Absa: 3 years, 3 months)

Corporate governance report continued...

Name	Qualification	Profession	Date appointed	Position
Mr. Albert Justin Kwame Gyan	• Bachelor of Laws, UG • University of Cambridge International Diploma in Business • Professional Qualifying Certificate in Law • (PQCL)- Barrister and Solicitor of the Supreme Court of Ghana • Notary Public	Lawyer	30th Mar 2023	Head, Legal and Company Secretariat Department (Experience in Current Role: 3 years, 8 months; In Absa: 6 years, 6 months)
Mr. Benjamin Abiemo	• Ghana Telecom University, Accra – MSC. Telecommunication Management • Wisconsin International University College – BA Computer Science and Management	Cyber and IT Professional	1st Nov 2023	Head, Cyber Risk Management (Experience in Current Role: 2 years, 3 months; In Absa: 12 years, 1 month)
Mrs. Edem Ama Sekyi	• NHO - GEA Future Female Programme • BA (Law and Management) • EMBA (Human Resource Management), University of Ghana, Legon • Professional Qualifying Certificate in Law (PQCL) – Barrister and Solicitor of the Supreme Court of Ghana • Notary Public	Lawyer	10th Jun 2019	Company Secretary (Experience in Current Role: 6 years, 9 months; In Absa: 6 years, 9 months)
Mr. Kofi Agyarko-Kwarteng	• Member, Chartered Institute of Bankers • MSc. Corporate Finance, University of Salford, Salford Business School • BSc. Administration (Banking & Finance)	Banker	12th May 2025	Chief Risk Officer (Experience in Current Role: 9 months; In Absa: 10 months)
Ms. Magdalene Sakyibea Gyeke-Larbi	• Master of Arts (M.A.) in Development • Bachelor of Business Administration (BBA), Cavendish University, Lusaka, Zambia. • Advanced Diploma in International - Business Management, Cavendish University, Lusaka, Zambia	Banker	8th Jul 2025	Head of Custody (Experience in Current Role: 7 months; In Absa: 11 months)
Mr. Eric Tsiri	• Africa Innovate Program (Executive Certificate) China Europe International Business School (CEIBS) • Master of Business Administration (Finance) Ghana Institute of Management & Public Administration (GIMPA) • BSc (Hons) Biological Sciences, Kwame Nkrumah University of Science & Technology	Banker	24th Dec 2025	Commercial Banking Director (Experience in Current Role: 1 month; In Absa: 4 months

*** Dates for Appointment indicated for designated roles.

Remuneration Policies

The Board, through its Remuneration Committee, operates in accordance with a defined ToR, which was annually reviewed. The Committee's responsibilities include, but are not limited to, overseeing strategic human resource matters, remuneration policies, and succession planning for the Bank's executive management. The Board ensures that executive remuneration practices do not promote excessive risk-taking by management. This approach aligns the long-term interests of executives and stakeholders, supporting transparent remuneration outcomes that are linked to sustainable value creation.

The primary remuneration policies include the Employee Benefits Policy, which outlines both core and non-core benefits available to employees, as well as work-enabling provisions. Additionally, the Bank's Remuneration Policy defines the overarching principles and philosophy guiding compensation, offers a comprehensive overview of the key components constituting total remuneration, and delineates the procedures governing payments upon termination.

CERTIFICATION OF COMPLIANCE WITH NEW REGULATIONS/ GUIDELINES/ DIRECTIVES

The Board affirms that its Directors are fully cognisant of their obligations to the Bank and confirms the Bank's compliance with new Regulations, Guidelines, and Directives. The Board also notes that where any gaps are identified, appropriate corrective actions were implemented, monitored and tracked to closure.

RISK MANAGEMENT DIRECTIVE

The Risk Management Directive issued by BoG in 2021 provides guidance in ensuring that the requisite systems were in place to adequately identify, measure, evaluate, control, mitigate, and report material risks that may affect the Bank's ability to meet its obligations to depositors and other stakeholders had been maintained.

In compliance with the Directive, the approved Enterprise Risk Management Framework had been submitted to BoG. Internal Audit also undertook a review of the Bank's Risk Management Framework covering the period comprising January to December 2025, which was assessed as 'Outcome Achieved'.

RISK MANAGEMENT DECLARATION

The Bank maintains an effective and independent risk management function, overseen by the Chief Risk Officer, which possesses appropriate authority, autonomy, resources, and direct access to the Board. Serving as an integral element of the Bank's second line of defence, this function is tasked with monitoring risk-taking activities across the Bank. Its roles and responsibilities are comprehensively outlined in the Board-approved Enterprise Risk Framework and supported by relevant policies and standards.

For the purposes of paragraph 40 of the Risk Management Directive, November 2021, the Board declares that, to the best of its knowledge and having made appropriate enquiries, in all material respects:

a) The Bank had implemented comprehensive systems to ensure full compliance with all prudential requirements;

b) The established systems and resources for identifying, measuring, evaluating, controlling, mitigating, and reporting material risks, as well as the Risk Management Framework (RMF), are suitable and proportionate to the Bank's size, business mix, and complexity of the Bank;

c) The risk management and internal control systems in place are operating effectively and are adequate;

d) The Bank had a Risk Management Strategy (RMS) that complies with this Directive, and the Bank had complied with the requirements described in its RMS; and

e) The Bank is satisfied with the effectiveness of its processes and management information systems.

Chairperson of Board

Chairperson of the Board Risk Committee

Corporate governance report continued...

Sustainability Progress Report 2025

Absa Bank Ghana is committed to being a catalyst for positive change, a principle that underpins the Bank's business strategy and purpose. Guided by the Absa Group Sustainability Agenda, Environmental, Social, and Governance (ESG) priorities are embedded into every facet of the Bank's operations.

Through the Bank's Active Force for Good approach, The Bank aims to create shared value and deliver lasting impact across generations. This is demonstrated through championing environmental stewardship, advancing financial inclusion, promoting diversity and equality, and upholding the highest standards of governance and ethical conduct. The Bank's sustainability journey is not an adjunct to the Bank's business, it is integral to how the bank serves customers, empowers communities, and contributes to Ghana's socio-economic development. By aligning with global frameworks such as the UN Sustainable Development Goals (SDGs) and the Bank of Ghana Sustainable Banking Principles, Absa reaffirms its role as a trusted partner in building a more inclusive, resilient, and sustainable future. The Bank's Sustainability Strategy is driven under 3 key pillars: Financial Inclusion, Diversity & Inclusion and Climate Action.

Pillar 1: Financial Inclusion

Financial inclusion is at the heart of the Bank's sustainability strategy. In 2025, Absa Bank Ghana made significant strides in expanding access to banking services, empowering individuals and businesses, and fostering economic resilience across communities. the Bank's approach combines innovative delivery channels, targeted financing, and capacity-building programs to ensure that no one is left behind.

Through the Agency Banking model, 955 agents who serve as critical touchpoints in underserved areas were onboarded. These agents facilitated transactions worth GHS663m, demonstrating strong adoption and trust in the model. This initiative not only enhances convenience but also strengthens local economies by creating opportunities for micro-entrepreneurs.

The Bank's partnership with the Mastercard Foundation facilitated the disbursement of GHS 530m in collateral-free loans to 1,579 MSMEs. Beyond financing, the Bank invested in capacity building, training 7,046 individuals and creating 11,000 jobs. Women remained at the forefront of the Bank's empowerment agenda, accounting for 64% of MSME loan volumes, 62% of trainees, and 54% of jobs created through the Bank's lending support. These efforts underscore the Bank's commitment to gender inclusion and economic empowerment.
Entrepreneurship remains a key focus area. Through the I Grew It Festival and Porials Pitch programmes which saw over 25,000 people in attendance, The Bank supported 173 youth-led businesses, fostering innovation and sustainable livelihoods.

The Bank's digital microloan product, Ahomka Loan, continued to break barriers by providing GHS3.9bn in loans to 4.7m customers. This enabled the Bank to bring financial services closer to the underserved in the Bank's communities.

Additionally, the Bank's financial literacy programs reached 126,000 students across seven regions in 159 schools, equipping the next generation with essential money management skills to prepare them for the future, combining money management and career mentorship.

Metric	Achievement
Agents Onboarded	955 agents
Transactions via Agents	GHS 663m
MSME Loans	GHS 530m
Women Beneficiaries	62% of MSME loans
Jobs Created	11,000
Digital Micro loans (Ahomka Loan) - Value	GHS 3.9 bn
Digital Micro loans (Ahomka Loan) - Volume	4.7m
Lending to Households (including mortgages)	GHS 1.86bn

Pillar 2: Diversity & Inclusion

Diversity and inclusion is integral to the Bank's identity as a responsible bank. In 2025, The Bank championed, colleague productivity and wellbeing, gender equality, youth empowerment, ensuring that the Bank's services and opportunities are equitable and inclusive.

Employee Wellness and Productivity

At Absa Bank Ghana, we believe that the well-being of the Bank's employees is fundamental to delivering sustainable business performance. The approach to wellness is holistic, encompassing physical, mental, and financial health, and is deeply embedded in the Bank's Active Force for Good agenda.

In 2025, there was continuous investment in programs that promote a healthy and productive workforce. Through annual medical checks, webinars on pertinent health topics, and compliance with occupational health standards, the Bank ensured that employees have access to safe and supportive work environments. Mental health remained a priority, with counseling services, stress management workshops, and awareness campaigns designed to foster resilience and emotional well-being.

To support work-life balance, the business continues to promote flexible work arrangements and family-friendly policies, enabling employees to thrive both personally and professionally. The Bank's commitment to productivity was reinforced through digital enablement and hybrid work models, ensuring seamless collaboration and efficiency. Additionally, continuous learning and development programs, including leadership training and technical upskilling, empowered employees to adapt and excel in a rapidly evolving business landscape.

These initiatives align with UN SDG 3: Good Health and Well-being and SDG 8: Decent Work and Economic Growth, reflecting the Bank's belief that employee wellness is not just a benefit but a strategic imperative. By prioritizing well-being, the Bank strengthens engagement, enhances performance, and creates a workplace where every individual can contribute meaningfully to the Bank’s shared success.

Advancing Gender Representation in Leadership

Meaningful progress has been made toward gender equity in leadership roles. In 2025, women accounted for 33.2% of middle management positions and 32% of senior management roles, reflecting the Bank's commitment to fostering an inclusive workplace where diverse perspectives drive innovation and growth.

The Bank's Women Network Forum (WNF) in partnership with the Human Capital Function has been instrumental in driving this change. Through mentorship programs, leadership development workshops, and networking events, the Forum provides women with the tools to build self-confidence, and support to excel in their careers. Through targeted talent development programs, such as career coaching sessions, training and inclusive policies, the Bank is building a leadership pipeline that empowers women and strengthens organizational resilience.

Corporate governance report continued...

The Bank's recruitment efforts continue to reflect the Bank's commitment to gender balance, with women representing 47% of all hires during the year. In addition, female colleagues made up 40% of senior-level promotions, demonstrating progress in advancing women into leadership.

The Bank invested in a flagship Female Leadership Programme involving 34 high-performing women from Juniour to middle management levels to strengthen leadership capability and career progression.

Beyond professional development, the WNF champions work-life balance, mental health awareness, and advocacy for equal opportunities, ensuring that women at Absa have access to holistic support. These efforts align with the Bank's broader Diversity & Inclusion agenda and contribute to UN SDG 5: Gender Equality, reinforcing the Bank's role as a trusted partner in creating a fair and equitable workplace.

Investing in Youth Development

As part of the Bank's Youth Empowerment agenda, the ReadytoWork initiative reached 1.7 million young people via face to face and social media webinars, equipping them with skills for employability and entrepreneurship. The ReadytoWork mobile app also saw deepened engagement with over 1500 active users accessing the training modules.

Community Engagements

100 marginalized young women completed vocational skills training and were supported with start up kits to set them on the path to economic empowerment.

As part of investing in the welfare of the communities, 22 boreholes were constructed in rural communities providing clean, safe drinking water to improve public health, reduce water burdens and enhance livelihoods of 37,470 people in these communities.

As agents of change and a force for good, 1,011 colleagues volunteered a total of 3,364 hours for community engagements including provision of a Computer lab for a school in the Bank's community, Teaching Street Children, Financial Literacy outreaches, Climate activations and various donations.

Focus Area	Achievement
Youth Development (ReadytoWork)	1.7m
Investment in Communities/Sponsorships	GHS2.5m
Women in Middle management - 30%	33.20%
Women in Senior management - 40%	32.00%
Colleague Volunteering Hours	3,364
Boreholes for Communities	22

Pillar 3: Climate & Environmental Sustainability

The Bank's environmental sustainability agenda is anchored on clean energy, resource efficiency, and green financing. In 2025, transition to a low-carbon future was accelerated through strategic investments and operational improvements.

There has been significant expansion in the renewable energy project, including the installation of over 800kWp of solar capacity, achieving 60–70% penetration in the energy mix at selected retail branches and the new Head Office.

Through the installation of solar panels at an additional three (3) offsite ATMs, therefore bringing the total number of solar-powered ATMs to 54, the Bank generated 1 million kWh of clean energy. In addition, piloting solar systems across five branches contributed to a 40% improvement in energy efficiency. Collectively, these initiatives helped the Bank achieve 9% progress toward its 2030 renewable energy target of 20%.

Corporate governance report continued...

The Bank's resource efficiency initiatives also delivered a 20% reduction in water usage. Through the Bank's recycling program, 2,928.14kg of paper and 816.73kg of plastic waste collected, reducing landfill waste by 40%.These initiatives have delivered remarkable financial and operational outcomes. The bank saved GHS1.5m on electricity bills for the Bank's occupied premises and GHS542k through solar-powered ATMs. Electricity costs for ATMs have dropped, now ranging between 0–30% of previous bills.

In Carbon trade, the Bank is working to secure $70,000 in subsidies through participation in the National Clean Energy Program. The efforts and outcomes have set a benchmark for sustainability and innovation in the industry. Additionally, the Bank's new Head Office building secured provisional IFC EDGE certification, reinforcing the Bank's commitment to sustainable infrastructure.

Initiative	**Achievement**
Solar Energy Generated	1m kWh
Renewable Energy adoption (Target 20%)	9%
Investment in Clean Energy	GHS22.2m
Energy Efficiency Gains	40%
Reduction in Water Consumption	20%
Waste Segregation (Reduction in waste to landfill)	40%

Across all pillars, the Bank's 2025 performance demonstrates a cohesive and purpose-driven sustainability agenda that expands access to financial opportunity, uplifts people and communities, and accelerates the transition to a low-carbon future. The scale of progress achieved reflects the Bank's resolve to be a truly active force for good, shared prosperity, embedding responsible practices across the business, and shaping a more inclusive and resilient tomorrow for customers, colleagues, and the communities we serve.

Chairperson of Board

Chairperson of the Board Risk Committee

SECURITIES AND EXCHANGE COMMISSION'S APPROVED ACTIVITIES UNDER THE PRIMARY DEALERSHIP, ISSUING HOUSE AND CUSTODY LICENSES

Issuing House:

Absa Bank Ghana LTD (ABGH), in fulfillment of its mandate, assists clients in raising capital through debt and equity securities to address their business financing requirements. Furthermore, ABGH offers comprehensive financial advisory services, including guidance on mergers and acquisitions, ensuring clients receive strategic support throughout the transaction process to achieve expected outcomes.

ABGH advised Bayport Savings and Loans Plc (Bayport) to issue GHS50 million in bonds in August 2025 under its existing GHS500 million Medium-Term Note Programme, following its previous issuance in December 2024 under the same programme.

Additionally, ABGH hosted its maiden Debt Capital Markets (DCM) Funding Workshop on 23rd October 2025, themed "Unlocking Debt Capital Markets Financing: Diversifying Funding Sources for Competitive Advantage." The workshop convened potential issuers and representatives from the SEC and the Ghana Fixed Income Market (GFIM) of the Ghana Stock Exchange (GSE). The objective of the workshop was to deepen market literacy around alternative funding instruments, notably bonds and commercial paper, as effective enablers of business growth. The session saw active participation from attendees, signaling increasing understanding of, and interest in DCM solutions.

Statement of Confirmation

Absa Bank Ghana LTD hereby confirms that it had carried out all permitted activities under the Bank's Issuing House License, in accordance with the Securities Industry (Issuing House) Guidelines and the regulatory framework governing Issuing Houses. These activities had been executed utilizing the Bank's internal expertise and, where necessary, in collaboration with other Issuing Houses within the local market, in full compliance with the applicable guidelines and regulations.

To the best of our knowledge, we had fully complied with the obligations set forth in the rules, had obtained all requisite pre-deal and post-deal approvals from SEC for all transactions executed in 2025.

Primary Dealership

ABGH had received authorization from both the SEC and the BoG to act as a Primary Dealer, enabling participation in wholesale auctions for Government of Ghana Treasury Bills. Additionally, ABGH serves as an accredited Bond Market Specialist (BMS), responsible for the issuance and distribution of Government of Ghana Bonds.

Absa's Sales & Trading Team was comprised of highly experienced professionals who deliver exceptional service and product expertise to both local and international institutional clients. As a Primary Dealer and Bond Market Specialist for Government of Ghana securities, Absa stands as a premier market maker and liquidity provider for institutional investors.

Custody

The Absa Custody business is a specialized service licensed by the SEC to provide safekeeping and post- trade support for our clients. Our mandate covers trade settlement, corporate action processing, income collection, reporting, regulatory compliance support, and the safekeeping of client assets (client assets (financial instruments) were held separately and not co-mingled with the assets of the Bank).

Our current client base includes institutional investors and collective investment schemes. The Bank was well placed to serve additional market segments, including asset managers, global custodians and pension funds, as part of its aspirational growth strategy.

Corporate governance report continued...

Absa Bank Ghana had the requisite regulatory approval and the necessary infrastructure to deliver comprehensive custody services to local, regional, and global clients.

Key performance indicators	2025 GHS'000	2024 GHS' 000
Profit for the year	1,762,411	1,194,729
Total comprehensive income	1,792,853	1,201,480
Taxation	(979,690)	(678,052)
Net assets	5,973,084,	4,178,030

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF ABSA BANK GHANA LTD

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Our opinion

In our opinion, the accompanying financial statements give a true and fair view of the financial position of Absa Bank Ghana LTD (the "Bank") as at 31 December 2025, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards issued by the International Accounting Standards Board ("IFRS Accounting Standards") as adopted by the Institute of Chartered Accountants, Ghana (ICAG) and in the manner required by the Companies Act, 2019 (Act 992) and the Banks and Specialised Deposit- Taking Institutions Act, 2016 (Act 930).

What we have audited

We have audited the financial statements of Absa Bank Ghana LTD for the year ended 31 December 2025.

The financial statements comprise:

- the statement of financial position as at 31 December 2025;
- the statement of comprehensive income for the year then ended;
- the statement of changes in equity for the year then ended;
- the statement of cash flows for the year then ended; and
- the notes to the financial statements, comprising a summary of material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Bank in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) (the Code) issued by the International Ethics Standards Board for Accountants and the independence requirements of section 143 of the Companies Act, 2019 (Act 992) that are relevant to our audit of the financial statements. We have fulfilled our other ethical responsibilities in accordance with the Code.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the Bank's financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matters (continued)

Key audit matter	How our audit addressed the key audit matter
Impairment allowance on loans and advances to customers At 31 December 2025, the Bank's impairment allowance on loans and advances to customers was as follows: Financial statement Line Item: Loans and advances to customers — Gross Amount GHS'000: 10,857,588 — Impairment Allowance GHS'000: 862,337 The impairment of loans and advances to customers was determined on an expected credit loss (ECL) basis under IFRS 9 – Financial Instruments. IFRS 9 is a complex accounting standard which requires considerable judgement and interpretation in its implementation. These judgements and estimates were used in designing models which have been built and implemented to measure expected credit losses. The key areas of judgement were as follows: • The definition of default and the determination of qualitative and quantitative criteria for determining significant increase in credit risk (SICR); • The selection and determination of forward-looking economic scenarios and the probability weightings applied to each scenario; • The completeness, accuracy and integrity of data used in the ECL calculations; and • The determination of Probability of default (PD), Loss Given Default (LGD) and Exposure at default (EAD). Given the subjectivity and reliance on estimates and judgements inherent in the determination of the impairment of financial assets, we determined that this was a matter of most significant in our audit. The accounting policies, critical estimates and judgements and impairment charge are set out in notes 4, 6.7, 7.1 and 23 to the financial statements.	We obtained an understanding of controls over loans and advances to customers. We evaluated and tested the controls over loan origination, monitoring and provisioning process and assessed their operating effectiveness. We assessed the definition of default and the criteria applied by management in determining SICR. We applied a risk based targeted testing approach on samples of credit facilities for detailed review. We assessed the reasonableness of forward-looking information used in the impairment calculations by challenging the multiple economic scenarios used and the weightings applied. We assessed the completeness, accuracy and integrity of data used in the ECL model and reperformed selected model calculations to check that the inputs used were consistent with the requirements of IFRS 9. We assessed the reasonableness of PD assumptions applied and tested the reasonableness of the LGD by reviewing on a sample basis the valuation of the collateral held and expected future recoveries. We checked that the projected EAD over the remaining lifetime of financial assets were in compliance with the requirements of IFRS 9. We checked the appropriateness of IFRS 9 ECL disclosures.

Other information

The directors are responsible for the other information. The other information comprises Corporate Information, Chairperson's statement, Managing Director's report, Report of the Directors, Corporate Governance Report, and Value Added Statement but does not include the financial statements and our auditor's report thereon, which we obtained prior to the date of this auditor's report, and Finance Director's report, which is expected to be made available to us after that date.

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read Finance Director's report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards issued by the International Accounting Standards Board ("IFRS Accounting Standards") as adopted by the Institute of Chartered Accountants, Ghana (ICAG) and in the manner required by the Companies Act, 2019 (Act 992) and the Banks and Specialised Deposit-Taking Institutions Act, 2016 (Act 930), and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Bank or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

Auditor's responsibilities for the audit of the financial statements (continued)

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and have communicated with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

The Companies Act, 2019 (Act 992) requires that in carrying out our audit we consider and report on the following matters. We confirm that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

ii) in our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books; and

iii) the Bank's statement of financial position and Bank's statement of comprehensive income are in agreement with the books of account.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS (continued)

In accordance with section 85(2) of the Banks and Specialised Deposit-Taking Institutions Act, 2016 (Act 930) we hereby confirm that:

i) the accounts give a true and fair view of the state of affairs of the Bank and the results of operations for the period under review;

ii) we were able to obtain all the information and explanations required for the efficient performance of our duties as auditor;

iii) the Bank's transactions were within its powers; and

iv) the Bank has, in all material respects, complied with the provisions of this Act.

With respect to the provisions of the Anti-Money Laundering Act, 2020 (Act 1044), the Anti-Terrorism Act, 2008, (Act 762) and the Regulations made under these enactments, we did not identify any instances of non-compliance based on procedures we performed.

With respect to the provisions of section 21 of the corporate governance disclosure directive (2022) issued by Bank of Ghana, we did not identify any instances of non-compliance regarding the Bank's corporate governance practices and report, based on procedures we performed.

The engagement partner on the audit resulting in this independent auditor's report is Destiny Selorm Attatsitsey (ICAG/P/1619).



PricewaterhouseCoopers (ICAG/F/2026/028)
Chartered Accountants
Accra, Ghana
Date

STATEMENT OF FINANCIAL POSITION

	Notes	2025	2024
		GHS `000	GHS `000
Assets			
Cash and cash equivalents	19	9,701,763	9,847,398
Non-pledged trading assets	20	2,524,387	1,206,738
Pledged trading assets	20	349,190	571,488
Derivative assets	21	61,184	87,444
Loans and advances to banks	22	165,737	130,166
Loans and advances to customers	23	9,995,251	8,344,900
Investment in securities	24	6,406,293	4,648,938
Other assets	25	1,036,490	1,305,034
Current tax assets	17	23,118	21,834
Property, plant and equipment	26	554,507	464,477
Intangible assets	27	171,585	83,331
Deferred tax assets	28	540,342	630,008
Total Assets		**31,529,847**	**27,341,756**
Liabilities			
Derivative liabilities	21	199,241	33,838
Deposits from Banks	29	447,421	372,284
Deposits from customers	30	19,185,669	17,631,015
Borrowings	31	4,077,611	3,031,398
Retirement benefit obligations	32	296,064	259,786
Other liabilities	33	1,350,757	1,835,405
Total liabilities		**25,556,763**	**23,163,726**
Equity			
Stated capital	36	400,000	400,000
Retained earnings		4,217,913	2,708,127
Statutory reserve		1,142,969	922,668
Credit risk reserve		249,424	217,100
Other reserves		(37,222)	(69,865)
Total equity		**5,973,084**	**4,178,030**
Total equity and liabilities		**31,529,847**	**27,341,756**

Approval of the financial statements

The financial statements on pages 59 to 188 were approved by the Board of Directors on 26 March 2026 and signed on their behalf by:

Signature: _____ Signature: _____

Name: Frances Adu Mante (Mrs) Name: Dr. Edward Nartey Botchway

The notes on pages 65 - 188 are an integral part of these financial statements.

Statement of Comprehensive Income

	Notes	2025	2024
		GHS'000	GHS'000
Interest income	10	3,687,227	3,187,865
Interest expense	10	(885,223)	(792,106)
Net interest income		**2,802,004**	**2,395,759**
Fees and commission income	9	554,687	468,656
Fees and commission expense	9	(24,687)	(21,827)
Net fees and commission income		**530,000**	**446,829**
Net trading income	11	1,049,631	606,038
Net trading income		**1,049,631**	**606,038**
Revenue		**4,381,635**	**3,448,626**
Other income	12	3,465	725
Operating income		**4,385,100**	**3,449,351**
Net impairment losses on financial assets	13	(3,321)	(264,764)
Personnel expenses	14	(939,956)	(730,913)
Depreciation and amortisation	26	(63,444)	(45,930)
Other expenses	15	(636,278)	(534,963)
Profit before tax		**2,742,101**	**1,872,781**
Income tax expense	17	(979,690)	(678,052)
Profit after tax attributable to equity holders of the Bank		**1,762,411**	**1,194,729**
Other comprehensive income net of tax			
Items that will not be reclassified to profit or loss:			
Actuarial gain/(loss) on defined benefit liability	32	17,149	(15,041)
Items that are or may be reclassified to profit or loss:			
Expected credit loss release on investment securities at FVOCI	13	9,050	(3,869)
Net gain/(loss) on fair value on financial assets at FVOCI (net of tax)	24	4,243	25,661
Other comprehensive income for the year net of tax		**30,442**	**6,751**
Total comprehensive income		**1,792,853**	**1,201,480**
Profit attributable to:			
Owners of the Bank		1,762,411	1,194,729
Total comprehensive income attributable to:			
Owners of the Bank		**1,792,853**	**1,201,480**
Earnings per share			
Basic and diluted earnings per share (Ghana Cedis per share)		**19.58**	**13.28**

The notes on pages 65 - 188 are an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	Retained Earnings	Statutory reserve	Credit risk reserve	Other reserves	Total
	GHS'000	GHS'000	GHS'000	GHS'000	GHS'000	GHS'000
Balance at 1 January 2024	400,000	1,643,836	773,327	236,003	(77,855)	2,975,311
Profit for the year	-	1,194,729	-	-	-	1,194,729
Other comprehensive income						-
Defined benefit plan actuarial gain (loss)					(15,041)	(15,041)
Release to profit or loss FVOCI assets	-	-	-	-	(3,869)	(3,869)
Changes in fair value on financial asset at FVOCI	-	-	-	-	25,661	25,661
Total other comprehensive income		**-**			6,751	6,751
Total comprehensive income for the year	**-**	**1,194,729**	**-**	**-**	**6,751**	**1,201,480**
Transactions with equity holders of the bank						
Contributions and distributions						
Share-based payment scheme	**-**	**-**	**-**	**-**	1,239	1,239
Total contributions and distributions					**1,239**	**1,239**
Other transfers						
Transfers to credit risk reserve	-	18,903	-	(18,903)	-	-
Transfers to statutory reserve	-	(149,341)	149,341	-	-	-
Total other transfers	**-**	**(130,438)**	**149,341**	**(18,903)**	**-**	**-**
Balance at 31 December 2024	**400,000**	**2,708,127**	**922,668**	**217,100**	**(69,865)**	**4,178,030**

STATEMENT OF CHANGES IN EQUITY

	Stated Capital GHS'000	Retained Earnings GHS'000	Statutory reserve GHS'000	Credit risk reserve GHS'000	Other reserves GHS'000	Total GHS'000
Balance at 1 January 2025	400,000	2,708,127	922,668	217,100	(69,865)	4,178,030
Profit for the year	-	1,762,411	-	-	-	1,762,411
Other comprehensive income						
Defined benefit plan actuarial gain (loss)	-	-	-	-	17,149	17,149
ECL on investment at FVOCI	-	-	-	-	9,050	9,050
Changes in fair value on financial asset at FVOCI	-	-	-	-	4,243	4,243
Total other comprehensive income	**-**	**-**	**-**	**-**	**30,442**	**30,442**
Total comprehensive income for the year	**-**	**1,762,411**	**-**	**-**	**30,442**	**1,792,853**
Transactions with equity holders of the bank						
Contributions and distributions						
Share-based payment scheme	-	-	-	-	2,201	2,201
Total contributions and distributions	**-**	**-**	**-**	**-**	**2,201**	**2,201**
Other transfers						
Transfer from credit risk reserve	-	(32,324)	-	32,324	-	
Transfer to statutory reserve	-	(220,301)	220,301	-	-	-
Total other transfers	**-**	**(252,625)**	**220,301**	**32,324**	**-**	**-**
Balance at 31 December 2025	**400,000**	**4,217,913**	**1,142,969**	**249,424**	**(37,222)**	**5,973,084**

The notes on pages 65 - 188 are an integral part of these financial statements.

STATEMENT OF CASH FLOWS

	Notes	2025 GHS'000	2024 GHS'000
Cash flows from operating activities			
Profit for the year		1,762,411	1,194,729
Adjustments for:			
Depreciation and amortisation	26	63,444	45,930
Impairment loss on financial assets	13	3,321	264,764
Income tax expense	17	979,690	678,052
Net interest income		(2,802,004)	(2,395,759)
Unrealised loss/(gain) on derivatives		191,661	(48,532)
Net loss on trading assets		763,084	2,784
Equity settled SBP transactions		(2,201)	(1,239)
Gain on disposal of property and equipment		(489)	(281)
		958,917	**(259,552)**
Changes in:			
Non-pledged trading assets		(1,318,358)	(528,286)
Pledged trading assets		221,590	(159,875)
Loans and advances to banks		(14,605)	(139,470)
Loans and advances to customers		(1,750,286)	(2,320,040)
Other assets		251,316	(415,662)
Restricted cash balance with Central Bank		(267,487)	(164,636)
Deposits from banks		75,137	(3,764)
Deposits from customers		1,536,762	1,747,256
Other liabilities and provisions		257,465	(142,138)
		(49,549)	**(2,386,167)**
Interest paid on lease liabilities	35	(6,900)	(6,097)
Interest received		3,213,008	2,384,338
Interest paid		(863,144)	(789,050)
Income taxes paid	17	(895,739)	(657,117)
Net cash from/(used) in operating activities		**1,397,676**	**(1,454,093)**
Cash flows from investing activities			
Acquisition of investment securities	24	(2,292,230)	(313,859)
Proceeds from sale of investment securities	24	405,022	148,448
Acquisition of property and equipment	26	(109,878)	(194,870)
Proceeds from disposal of property and equipment	26	490	424
Acquisition of intangible assets	27	(100,753)	(22,236)
Net cash used in investing activities		**(2,097,349)**	**(382,093)**

STATEMENT OF CASH FLOWS

	Notes	2025 GHS'000	2024 GHS'000
Cash flows from financing activities:			
Repayment of lease obligations	35	(21,675)	(4,693)
Proceeds from borrowed funds	31	1,085,978	2,869,541
Repayment of borrowed funds	31	(37,051)	(571,322)
Net cash from financing activities		**1,027,252**	**2,293,526**
Net increase in cash and cash equivalents		**327,579**	**457,340**
Cash and cash equivalents at 1 January		7,192,221	5,947,666
Effect of exchange rate fluctuations on cash held		(761,667)	787,215
Cash and cash equivalents as at 31 December**		**6,758,133**	**7,192,221**
Cash and Cash equivalent for purpose of cash flow statement:			
Unrestricted balances with Bank of Ghana		329,656	701,757
Cash and balances with Banks		3,216,522	4,878,230
Money Market Placements		3,211,955	1,612,234
Total**		**6,758,133**	**7,192,221**

***The cash and cash equivalent in the cash flow statement excludes amount held as mandatory reserves at 15% of GHS 2,950,823,449 (2024: 2,683,336,718). Also, cash and cash equivalent on the Statement of Financial Position is net of credit loss of GHS 7,195,000 (2024: 28,161,000)*

The notes on pages 65 - 188 are an integral part of these financial statements.

Notes to the Financial Statements

Figures in GHS `000

1. Reporting entity

ABSA BANK GHANA LTD ('the company') is a private company incorporated and domiciled in Ghana. ABSA Head Office, John Evans Atta Mills High Street, Accra, Ghana. The Bank primarily is involved in universal banking, spanning wholesale and retail banking, investment and asset management. These are the individual financial statements of the Bank.

ABSA BANK GHANA LTD is a wholly owned subsidiary of Absa Group Limited (AGL), a limited liability company incorporated in the Republic of South Africa.

2. Basis of preparation

The financial statements have been prepared in accordance with the International Financial Reporting Standards issued by the International Accounting Standards Board ("IFRS Accounting Standards") as adopted by the Institute of Chartered Accountants, Ghana (ICAG) and in the manner required by the Companies Act, 2019 (Act 992) and the Banks and Specialised Deposit Taking Institution Act, 2016 (Act 930).

The financial statements have been prepared under the historical cost convention, as modified by the revaluation of land and buildings, available-for-sale financial assets, and financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.

3. Functional and presentation currency

These financial statements are presented in Ghana Cedis, which is the Bank's functional currency. All amounts have been rounded to the nearest thousand, unless otherwise indicated.

4. Use of judgements and estimates

In preparing these financial statements, Management has made judgements, estimates and assumptions that affect the application of the Bank's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

4.1 Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the financial statements is included in the following notes:

Note 7.1.4 – This establishes the criteria for determining whether the credit risk on the financial asset has increased significantly since initial recognition and determining the methodology for incorporating forward-looking information into the measurement of ECL and selection and approval of models used to measure ECL.

Notes 6.7.2 and 18 – classification of financial assets: assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are solely payment of principal and interest (SPPI) on the principal amount outstanding.

Notes to the Financial Statements
Figures in GHS `000

Use of judgements and estimates continued...

4.2 Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have the most significant risk of resulting in a material adjustment in the year ended 31 December 2025 is included in the following notes:

- Notes 7.1.2, and 6.7.7 – impairment of financial instruments: determination of inputs into the ECL measurement model, including key assumptions used in estimating recoverable cash flows and incorporation of forward-looking information.
- Note 8 – determination of fair value of financial instruments with significant unobservable inputs;
- Note 3 – measurement of defined benefit obligations: key actuarial assumptions.

5. Basis of measurement

The financial statements have been prepared on a historical cost basis except for the following material items, which are measured on the following alternative basis at each reporting date.

Items	Measurement basis
Derivative financial instruments	Fair value
Non-derivative financial instruments at fair value through profit or loss	Fair value
Non-derivative financial instruments at fair value through other comprehensive income	Fair value
Liabilities for cash-settled share-based payment arrangements	Fair value
Net defined benefit liability	Present value of the defined benefit obligation

Notes to the Financial Statements
Figures in GHS `000

6. Material accounting policies

The Bank has consistently applied the following accounting policies to all periods presented in these financial statements, unless stated otherwise.

Set out below is an index of the material accounting policies, the details of which are available on the pages that follow.

6.1 Foreign currency transactions
6.2 Interest income and interest expense
6.3 Fee and commission
6.4 Net trading income
6.5 Leases
6.6 Income tax
6.7 Financial assets and financial liabilities
6.8 Property and equipment
6.9 Intangible assets
6.10 Impairment of non-financial assets
6.11 Provisions
6.12 Contingent liabilities
6.13 Employee benefits
6.14 Share-based payments
6.15 Stated capital and reserves
6.16 Earnings per share
6.17 Segment reporting

6.1 Foreign currency transactions

Transactions in foreign currencies are translated into the functional currency using exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the spot rate at reporting date. The foreign currency gain or loss on monetary items is the difference between the amortised cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortised cost in the foreign currency translated at the spot exchange rate at the end of the year.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the spot exchange rate when the fair value is determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the spot exchange rate at the date of the transaction.

Foreign currency differences arising on transactions are generally recognised in profit or loss.

Notes to the Financial Statements
Figures in GHS `000

Material accounting policies continued...

6.2 Interest income and interest expense

Effective interest rate

Interest income and expense are recognised in profit or loss using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

– the gross carrying amount of the financial asset; or
– the amortised cost of the financial liability.

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Bank estimates future cash flows considering all contractual terms of the financial instrument, but not ECL. For purchased or originated credit- impaired financial assets, a credit-adjusted effective interest rate is calculated using estimated future cash flows including ECL.

The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortised cost and gross carrying amount

The 'amortised cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance.

The 'gross carrying amount of a financial asset' is the amortised cost of a financial asset before adjusting for any expected credit loss allowance.

Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit- impaired) or to the amortised cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating rate instruments to reflect movements in market rates of interest.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

Notes to the Financial Statements
Figures in GHS `000

Material accounting policies continued...

Presentation

Interest income calculated using the effective interest method presented in the statement of comprehensive income includes:

- interest on financial assets measured at amortised cost.
- interest on debt instruments measured at fair value through other comprehensive income (FVOCI). Interest expense presented in the statement of comprehensive income includes:
- interest on financial liabilities measured at amortised cost
- interest expense on lease liabilities

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Bank's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

Cash flows related to capitalised interest are presented in the statement of cash flows consistently with interest cash flows that are not capitalised.

6.3 Fee and commission

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or financial liability are included in the determination of effective interest rate.

Fee and commission income from contracts with customers is measured based on the consideration specified in a contract with a customer. The Bank recognises revenue when it transfers control over a service to a customer.

The Bank provides banking services to retail, business banking and corporate customers, including account management, provision of overdraft facilities, foreign currency transactions, credit card and servicing fees. Fees for ongoing account management are charged to the customer's account on a monthly basis or as product specifications may require. The Bank sets the rates separately for retail, business banking and corporate banking customers in line with its pricing policy. Transaction-based fees for interchange, foreign currency transactions and overdrafts etc. are charged to the customer's account when the transaction takes place. Servicing fees are charged on a monthly basis and are based on approved tariffs at any point in time.

Revenue from account service and servicing fees is recognised over time as the services are provided. Revenue related to transactions is recognised at the point in time when the transaction takes place.

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

6.4 Net trading income

Net trading income comprises gains less losses related to trading assets and liabilities and includes all fair value changes and interest from financial instruments measured at fair value through profit or loss, and foreign exchange differences.

Notes to the Financial Statements

Figures in GHS `000

Material accounting policies continued...

6.5 Leases

At inception of a contract, the Bank assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Bank acting as a lessee

At commencement or on modification of a contract that contains a lease component, the Bank allocates consideration in the contract to each lease component on the basis of its relative standalone price. However, for leases of branches and office premises, the Bank has elected not to separate non-lease components and accounts for the lease and non-lease components as a single lease component.

The Bank recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Bank's incremental borrowing rate. Generally, the Bank uses its incremental borrowing rate as the discount rate.

The Bank determines its incremental borrowing rate by analysing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Bank is reasonably certain to exercise, lease payments in an optional renewal period if the Bank is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Bank is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Bank's estimate of the amount expected to be payable under a residual value guarantee, if the Bank changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right- of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Notes to the Financial Statements
Figures in GHS `000

Material accounting policies continued...

The Bank presents right-of-use assets in 'property and equipment' and lease liabilities in 'other liabilities' in the statement of financial position.

Short-term leases and leases of low-value assets

The Bank has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases.
The Bank recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

6.6 Income tax

Income tax expense comprises current and deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised directly in equity or OCI.

The Bank has determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore has accounted for them under IAS 37 Provisions, Contingent Liabilities and Contingent Assets and has recognised the related expenses in 'other expenses'.

6.6.1 *Current tax*

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date.

Current tax assets and liabilities are offset only if certain criteria are met.

6.6.2 *Deferred tax*

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries to the extent that the Bank is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Notes to the Financial Statements
Figures in GHS `000

Material accounting policies continued...

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date, and reflects uncertainty related to income taxes, if there is any.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Bank expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset only if certain criteria are met.

6.7 Financial assets and financial liabilities

6.7.1 *Recognition and initial measurement*

The Bank initially recognises cash and cash equivalents, loans and advances to customers, loans and advances to banks, investment securities, other assets, deposits from bank, deposits from customers and other liabilities on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Bank becomes a party to the contractual provisions of the instrument. A financial asset or financial liability is measured initially at fair value plus, for an item not at fair value through profit or loss (FVTPL), transaction costs that are directly attributable to its acquisition or issue. The fair value of a financial instrument at initial recognition is generally its transaction price.

6.7.2 *Classification*

Financial assets

On initial recognition, a financial asset is classified as measured at: amortised cost, FVOCI or FVTPL.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI).

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

Notes to the Financial Statements
Figures in GHS `000

Material accounting policies continued...

All other financial assets are classified as measured at FVTPL.

In addition, on initial recognition, the Bank may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Note 19 sets out the amount of each class of financial asset or financial liability measured at FVTPL, FVOCI or amortised cost.

Business model assessment

The Bank makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to management;
- the risks that affect the performance of the business and its strategy for how those risks are managed;
- how the Bank has determined the appropriate level of aggregation at which the business model is applied; and
- how the entity determines whether the frequency and value of sales in prior periods and expected in future periods are infrequent/insignificant.

Certain non-trading loans and advances to customers and non-trading loans and advances to banks held by the Bank's Treasury business are managed with an objective of realising cash flows through sale. The Bank primarily focuses on fair value information and uses that information to assess the asset's performance and to make decisions.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessments whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- contingent events that would change the amount and timing of cash flows;

Notes to the Financial Statements
Figures in GHS `000

Material accounting policies continued...

- leverage features;
- prepayment and extension terms;
- terms that limit the Bank's claim to cash flows from specified assets (e.g. non-recourse loans); and
- features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

The Bank holds a portfolio of long-term fixed-rate loans for which the Bank has the option to propose to revise the interest rate at periodic reset dates. These reset rights are limited to the market rate at the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty. The Bank has determined that the contractual cash flows of these loans are SPPI because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding. Contractual cash flows are assessed against the SPPI test in the currency in which the financial asset is denominated.

Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Bank changes its business model for managing financial assets.

Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with the central bank and other banks, and highly liquid financial assets with original maturities of three months or less from the date of acquisition that are subject to an insignificant risk of changes in their fair value and are used by the Bank in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

Non-pledged trading assets

Non-pledged trading assets are those assets that the Bank acquires or incurs principally for the purpose of selling or repurchasing in the near term or holds as part of a portfolio that is managed together for short-term profit or position taking. These primarily comprise trading bills and bonds issued by the Government of Ghana.

Trading assets are initially recognised and subsequently measured at fair value in the statement of financial position, with transaction costs recognised in profit or loss. All changes in fair value are recognised as part of net trading income in profit or loss.

Notes to the Financial Statements
Figures in GHS `000

Material accounting policies continued...

Pledged trading assets

The Bank uses trading assets as collateral to support borrowing arrangements with counterparties. During this period, the Bank retains the rights over the assigned instrument and is therefore entitled to the coupons that may be due and therefore continue to value and recognize gains/losses in line with the FVTPL valuation technique applicable to the instrument categorization. Since these instruments are for the stated period encumbered, the counterparty reserves the right to repledge or resell to realize the proceeds to defraying the Bank's indebtedness to them should the Bank default. These instruments are initially and subsequently measured at fair value with changes in fair value recognised in net trading income.

Loans and advances to banks and customers

The 'loans and advances to banks' caption in the statement of financial position includes loans and advances mandatorily measured at FVTPL; these are measured at fair value with changes recognised immediately in profit or loss.

The 'loans and advances to customers' caption in the statement of financial position includes:

- loans and advances measured at amortised cost (see (g)(iii)); they are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method;
- loans and advances mandatorily measured at FVTPL (see (g)(iii)); these are measured at fair value with changes recognised immediately in profit or loss;

Investment securities

The 'investment securities' caption in the statement of financial position includes debt securities measured at FVOCI and bonds measured at amortised cost.

- For debt investment securities measured at amortised cost, these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method.
- For debt investment securities measured at FVOCI, gains and losses are recognised in OCI, except for the following, which are recognised in profit or loss in the same manner as for financial assets measured at amortised cost:

- interest revenue using the effective interest method;
- ECL and reversals; and
- foreign exchange gains and losses.

When debt security measured at FVOCI is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

Non-trading derivative assets and liabilities

Derivatives held for risk management purposes include all derivative assets and liabilities that are not classified as trading assets or liabilities. Derivatives held for risk management purposes are measured at fair value in the statement of financial position. All changes in fair value are recognised immediately in profit or loss as part of net trading income.

Financial liabilities

The Bank classifies its financial liabilities, other than financial guarantees and loan commitments, as measured at amortised cost or fair value through profit or loss. See disclosure of trading liabilities and derivative liabilities under note 7(g)(ii).

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Material accounting policies continued...

Deposits and borrowings

Deposits and borrowings from other banks are the Bank's sources of debt funding. The Bank classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

Deposits and borrowings from other banks are initially measured at fair value plus transaction costs, and subsequently measured at their amortised cost using the effective interest method.

Financial guarantees and loan commitments

Financial guarantees are contracts that require the Bank to make specified payments to reimburse the holder for a loss that it incurs because a specified debtor fails to make payment when it is due in accordance with the terms of a debt instrument. Loan commitments are firm commitments to provide credit under pre-specified terms and conditions. Such loan commitments are made either for a fixed period or are cancellable by the Bank subject to notice conditions.

Financial guarantees are initially recognised at fair value on the date that the guarantee was given. Subsequently, they are measured at the higher of the loss allowance determined in accordance with IFRS 9 and the amount initially recognised less, when appropriate, the cumulative amount of income recognised in accordance with the principles of IFRS 15.

Other loan commitments issued are measured at the sum of (i) the loss allowance determined in accordance with IFRS 9 and (ii) the amount of any fees received, less, if the commitment is unlikely to result in a specific lending arrangement, the cumulative amount of income recognised. Liabilities arising from financial guarantees and loan commitments are included within other liabilities.

6.7.3 *Derecognition*

Financial assets

The Bank derecognises a financial asset when the contractual rights to the cash flows from the financial asset have been discharged, cancelled or have expired, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Bank neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in profit or loss. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Bank is recognised as a separate asset or liability.

The Bank enters into transactions whereby it transfers assets recognised on its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such cases, the transferred assets are not derecognised. Examples of such transactions are securities lending and sale-and-repurchase transactions. In transactions in which the Bank neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Bank continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

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Material accounting policies continued...

Financial liabilities

The Bank derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

6.7.4 *Modifications of financial assets and financial liabilities*

Financial assets

If the terms of a financial asset are modified, then the Bank evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximise recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Bank plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place. This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the Bank first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred, and fees received as part of the modification adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset.

If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses.

Financial liabilities

The Bank derecognises a financial liability when its terms are modified, and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and consideration paid is recognised in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. For floating-rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

Material accounting policies continued...

Offsetting

Financial assets and financial liabilities are offset, and the net amount presented in the statement of financial position when, and only when, the Bank currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS, or for gains and losses arising from a Bank of similar transactions such as in the Bank's trading activity.

6.7.5 *Fair value measurement*

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as 'active' if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Bank determines that the fair value on initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the measurement, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out. If an asset or a liability measured at fair value has a bid price and an ask price, then the Bank measures assets and long positions at a bid price and liabilities and short positions at an ask price.

6.7.6 *Offsetting*

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Bank on the basis of the net exposure to either market or credit risk are measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for the particular risk exposure. Portfolio-level adjustments – e.g. bid-ask adjustment or credit risk adjustments that reflect the measurement on the basis of the net exposure – are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

The fair value of a financial liability with a demand feature (e.g. a demand deposit) is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

Material accounting policies continued...

6.7.7 Impairment

The Bank recognises loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- financial assets that are debt instruments;
- financial guarantee contracts issued; and
- loan commitments issued.

The Bank measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition.

The Bank considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Bank does not apply the low credit risk exemption to any other financial instruments.

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognised are referred to as 'Stage 1 financial instruments'.

Life-time ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognised but which are not credit-impaired are referred to as 'Stage 2 financial instruments'.

Financial instruments for which lifetime ECL is recognised and that are credit-impaired are referred to as 'Stage 3 financial instruments.

Measurement of Estimated Credit Losses (ECL).

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Bank expects to receive);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive; and
- financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

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Material accounting policies continued...

When discounting future cash flows, the following discount rates are used:

- financial assets other than purchased or originated credit-impaired (POCI) financial assets: the original effective interest rate or an approximation thereof;
- POCI assets: a credit-adjusted effective interest rate;
- undrawn loan commitments: the effective interest rate, or an approximation thereof, that will be applied to the financial asset resulting from the loan commitment; and
- financial guarantee contracts issued: the rate that reflects the current market assessment of the time value of money and the risks that are specific to the cash flows.

Restructured financial asset

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows.

If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.

If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

Credit-impaired financial assets

At each reporting date, the Bank assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI are credit-impaired (referred to as 'Stage 3 financial assets'). A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Bank on terms that the Bank would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

A loan that has been renegotiated due to deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, loans that are overdue for 90 days or more is considered credit-impaired subject to other qualitative considerations.

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Material accounting policies continued...

In making an assessment of whether an investment in sovereign debt is credit-impaired, the Bank considers the following factors.

- The market's assessment of creditworthiness as reflected in bond yields.
- The rating agencies' assessments of creditworthiness.
- The country's ability to access the capital markets for new dent issuance.
- The probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.
- The international support mechanisms in place to provide the necessary support as 'lender of last resort' to the country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.

POCI financial assets

POCI financial assets are assets that are credit-impaired on initial recognition. For POCI assets, lifetime ECL are incorporated into the calculation of the effective interest rate on initial recognition. Consequently, POCI assets do not carry an impairment allowance on initial recognition, The amount recognised as a loss allowance subsequent to initial recognition is equal to the changes in lifetime ECL since initial recognition of the asset.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets;
- loan commitments and financial guarantee contracts: generally, as a provision and presented in other liabilities;
- where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component: the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision in other liabilities; and
- debt instruments measured at FVOCI: the loss allowance is charged to profit or loss and is recognised in other comprehensive income.

Write-off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Bank determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Recoveries of amounts previously written off are recognised when cash is received and are included in 'impairment losses on financial assets' in the statement of comprehensive income. Financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank's procedures for recovery of amounts due.

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Material accounting policies continued...

Financial guarantee contracts held

The Bank assesses whether a financial guarantee contract held is an integral element of a financial asset that is accounted for as a component of that instrument or is a contract that is accounted for separately. The factors that the Bank considers when making this assessment include whether:

- the guarantee is implicitly part of the contractual terms of the debt instrument;
- the guarantee is required by laws and regulations that govern the contract of the debt instrument;
- the guarantee is entered into at the same time as and in contemplation of the debt instrument; and
- the guarantee is given by the parent of the borrower or another company within the borrower's group.

If the Bank determines that the guarantee is an integral element of the financial asset, then any premium payable in connection with the initial recognition of the financial asset is treated as a transaction cost of acquiring it. The Bank considers the effect of the protection when measuring the fair value of the debt instrument and when measuring ECL.

If the Bank determines that the guarantee is not an integral element of the debt instrument, then it recognises an asset representing any prepayment of guarantee premium and a right to compensation for credit losses. A prepaid premium asset is recognised only if the guaranteed exposure neither is credit-impaired nor has undergone a significant increase in credit risk when the guarantee is acquired. These assets are recognised in 'other assets' (see Note 26). The Bank presents a gains or losses on a compensation right in profit or loss in the line item 'impairment losses on financial instruments'

6.8 Property and equipment

6.8.1 *Recognition and measurement*

Items of property and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment. If significant parts of an item of property and equipment have different useful lives, then they are accounted for as separate items (major components) of property and equipment. Any gain or loss on disposal of an item of property and equipment is recognised within other income in profit or loss.

6.8.2 Subsequent costs

Subsequent expenditure is capitalised only if it is probable that future economic benefits associated with the expenditure will flow to the Bank. Ongoing repairs and maintenance are expensed as incurred.

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Material accounting policies continued...

6.8.3 Depreciation

Depreciation is calculated to write off the cost of items of property and equipment less their estimated residual values using the straight-line method over their estimated lives and is generally recognised in profit or loss. Freehold land is not depreciated.

Asset classified under Capital work-in-progress are only depreciated after they have been transferred to their respective asset classes.

The estimated useful lives of property and equipment for the current and comparative years are as follows:

Asset class	Useful lives
Freehold buildings	33.3 years
Leasehold property	Over the life of the lease
Furniture and equipment	5 years
IT equipment	5 years
Motor vehicles	5 years

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

6.8.4 Derecognition

Property and equipment are derecognised on disposal or when no future economic benefits are expected from its use.
Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in profit or loss.

6.9 Intangible assets

Computer software

Software acquired by the Bank is measured at cost less accumulated amortisation and accumulated impairment losses.

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is recognised in profit or loss as it is incurred.

Software is amortised on a straight-line basis in profit or loss over its estimated useful life, from the date on which it is available for use. The estimated useful life of software for the current and comparative periods is five (5) years.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.
Intangible assets are derecognised on disposal or when no future economic benefits are expected from its use. Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in profit or loss.

Internally generated assets are capitalised to the extent that is assessed as providing future economic value to the bank and cost can be measured reliably.

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Material accounting policies continued...

6.10 Impairment of non-financial assets

The carrying amounts of the Bank's non-financial assets other than deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that is largely independent of the cash inflows of other assets or cash-generating unit (CGUs). A cash-generating unit is the smallest identifiable asset that generates cash flows that are largely independent from other assets.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognised if the carrying amount of an asset or CGU exceeds its recoverable amount.

Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis.

In respect of other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

6.11 Provisions

Provisions are recognised for present obligations arising as consequences of past events where it is probable that a transfer of economic benefit will be necessary to settle the obligation, and it can be reliably estimated. The expense related to the provision is recognised in profit or loss net of any reimbursement. The present value of the provision is determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

6.12 Contingent liabilities

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events, and present obligations where the transfer of economic resources is uncertain or cannot be reliably measured. Contingent liabilities are not recognised on the statement of financial position but are disclosed unless the outflow of economic resources is remote.

6.13 Employee benefits

6.13.1 Short term employee benefits

Short-term employee benefits, including salaries, accrued performance costs, salary deductions and taxes are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Bank has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

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Material accounting policies continued...

6.13.2 Other employee benefits - loans at concessionary rates

The Bank grants facilities to staff of the Bank on concessionary terms. The Bank recognises such offerings as part of employee benefits on the basis that such facilities are granted to staff on the assumption of their continued future service to the Bank and not for their past service. The Bank's lending rate adjusted for risk not associated with the Bank's staff is applied to fair value such facilities. Any discount arising there from is recognised as a prepaid staff benefit which is amortised through profit or loss over the shorter of the life of the related facilities and expected average remaining working lives of employees.

6.13.3 Defined contribution plans

Obligations for contributions to defined contribution plans are expensed as the related service is provided and recognised as personnel expenses in profit or loss. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

Under the national pension scheme, the Bank contributes 13% of employees' basic salary to the Social Security and National Insurance Trust (SSNIT) for employee pensions, representing both tier 1 and 2 employer contributions. The Bank's obligation is limited to the relevant contributions made to the scheme.

The Bank also contributes 10% of the basic salary of employees to a tier 3 voluntary pension scheme managed by United Pension Trustees. This represents the provident fund contributions. The Bank's obligation is limited to the contributions made to the fund.

6.13.4 Defined benefit plans

The Bank provides post-employment healthcare benefits to its retirees which are accrued as a liability in the financial statements, using the projected unit credit method. The entitlement to these benefits is conditional on the employee remaining in service up to retirement age and the completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment.

Re-measurements, comprising actuarial gains and losses, the effect of the asset ceiling (excluding interest) and the return on plan assets (excluding interest) are recognised immediately in OCI (other comprehensive income) in the period in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

The Bank determines the net interest expense (income) on the net defined benefit liability (asset) for the period by applying the discount rate used to measure the net defined benefit obligation at the beginning of the annual period to the then-net defined benefit liability (asset), taking into consideration any changes in the net defined benefit liability (asset) during the period as a result of contributions and benefit payments. Net interest expense and other expenses related to defined benefit plans are recognised in personnel expenses in profit or loss. Service costs comprising current service costs, past-service costs, gains and losses on settlements are recorded in personnel expenses.

The post-employment healthcare benefit obligations are valued annually by independent qualified actuaries.

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6.14 Share-based payments

The Bank participates in the Absa Bank Group's equity-settled and cash-settled share-based payment plans.

Absa Group Limited, the parent company of Absa Bank Ghana LTD operates an equity incentive scheme for its Executive Board members including Executive Board members of its subsidiaries, under which it awards shares or pays equivalent amounts in cash to deserving employees at the end of the vesting period – referred to as share-based payment transactions among group entities.

Absa Bank Ghana LTD measures the services received from its employees under the group share-based payment transactions in accordance with the requirements applicable to equity-settled share-based payment transactions. The grant-date fair value of equity-settled share-based payment arrangements granted to employees is generally recognised as an expense, with a corresponding increase in equity, over the vesting period of the awards. The amount recognised as an expense is adjusted to reflect the number of awards for which the related service and non-market performance conditions are expected to be met, such that the amount ultimately recognised is based on the number of awards that meet the related service and non-market performance conditions at the vesting date.

The group share-based payment transaction requires Absa Bank Ghana LTD to reimburse the ultimate holding company for granting the share-based payment. The recharge cost is based on the cost incurred by Absa Group Limited in settling its obligation under the share-based payment transaction therefore the recharge is linked to the share-based payment arrangement.

The recharge transaction is recognised and measured by analogy to the requirements for cash-settled share-based payment transactions. The fair value of amount payable to the parent company is recognised as a recharge liability in other liabilities, with a corresponding decrease in equity over the vesting period of the awards.

The liability is remeasured at each reporting date and at settlement date based on the fair value of the share unit. Changes in fair value (other than foreign exchange differences) of the recharge liability from initial recognition is treated as a true-up of the initial estimate recognised in equity.

6.15 Stated capital and reserves

6.15.1 Stated capital

The Bank’s stated capital is not redeemable by holders in the normal course of business and bears an entitlement to distributions that is non-cumulative and at the discretion of the Directors. Accordingly, they are presented as a component of issued capital within equity.

6.15.2 Share issue costs

Incremental costs directly attributable to the issue of an equity instrument are deducted from the initial measurement of the equity instruments.

6.15.3 Dividends on equity shares

Dividends on equity shares are recognised in the period in which they are approved by the shareholders. Dividend proposed which is yet to be approved by shareholders, is disclosed by way of notes.

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6.16 Earnings per share

The Bank presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

6.17 Segment reporting

An operating segment is a component of the Bank that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses relating to transactions with any of the Bank's other components, whose operating results are regularly reviewed by the Bank's chief operating decision maker (CODM) to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the Bank's Managing Director (being the CODM) include items that are directly attributable to a segment as well as those that can be allocated on a reasonable basis. For management purposes, the bank is organised into three business segments based on products and services as follows:

1 Retail and Business Banking provides loans and overdrafts, as well as handles the deposits and other transactions of individual and Business Banking customers such as funds transfers, standing orders and ATM card services.

2 Corporate Banking principally responsible for providing loans and other credit facilities, as well as deposits and other transactions and services to corporate clients.

3 Sales and Trading Primarily undertakes fixed income and foreign exchange trading.

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7. Financial risk review

This note presents information about the Bank's exposure to each of the financial risks below, the Bank's objectives, policies and processes for measuring and managing risk, and the Bank's management of capital.

The Board of Directors has overall responsibility for the establishment and oversight of the Bank's risk management framework. The Board has established the Bank Asset and Liability Committee (ALCO) and the Credit and Board Risk Committees, which are responsible for developing and monitoring the Bank's risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors on their activities.

The Bank's risk management policies are established to identify and analyse the risks faced by the Bank, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Bank, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Board Audit Committee is responsible for monitoring compliance with the Bank's risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the Bank. The Audit Committee is assisted in these functions by Internal Audit. Internal Audit undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

7.1 Credit risk
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7.5 Capital management
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7.1 Credit risk

Credit risk is the risk that the Bank's customers, clients or counterparties will not be able or willing to pay interest, repay capital or otherwise fulfil their contractual obligations under loan agreements or other credit facilities. Credit risk also arises through the downgrading of counterparties whose credit instruments the Bank may be holding, causing the value of those assets to fall. Furthermore, credit risk is manifest as country risk where difficulties experienced by the country in which the exposure is domiciled may impede payment or reduce the value of the asset or where the counterparty may be the country itself.
Settlement risk is another special form of credit risk which is the possibility that the Bank may pay a counter party – for example, a bank in a foreign exchange transaction – and fail to receive the corresponding settlement in return.

Credit risk is the Bank's largest risk and considerable resources, expertise and controls are devoted to managing it.

The credit risk management teams in the business are accountable to the Head of Wholesale Credit Risk and the Head of Retail Credit Risk respectively. The credit risk function, led by the Head/Director, provides bank-wide direction of credit risk-taking. This team manages the resolution of all significant credit policy issues under individual discretion limit or refers same to functional credit for sanctions based on exposure and credit grading. The principal committees that review credit risk management are the Bank's Credit Risk Management Committee, Management Credit Committee and the Board Risk Committee. The Board, Risk Committee and Bank of Ghana review and approve write-off decisions.

Credit monitoring

Whilst the basic principles for monitoring weaknesses in corporate/ business banking and retail exposures are broadly similar, they will reflect the differing nature of the assets. As a matter of policy, all facilities granted to corporate/business banking customers are subject to a review on, at least, an annual basis, even when they are performing satisfactorily. Corporate/ business banking accounts that are deemed to show signs of delinquency based on early warning criteria are downgraded into various categories based on probability of default, perceived loss, and other internal and external factors. These are updated monthly and circulated to the relevant risk control points. Once an account has been placed on Early Warning List (EWL), the exposure is closely monitored and, where required, exposure reductions are effected. Should an account become impaired, it will normally have passed through each of the three EWL categories, which reflect the need for increasing caution and control. Where an obligor's financial health gives grounds for concern, it is immediately placed into the appropriate EWL category.
While all obligors, regardless of financial health, are subject to a full review of all facilities on, at least, an annual basis, more frequent interim reviews may be undertaken should circumstances dictate. Specialist recovery functions deal with clients in default, collection or insolvency. Their mandate is to maximise shareholder value via the orderly and timely recovery of impaired debts while supporting the businesses to turnaround where appropriate.

Within the retail portfolios, which tend to comprise homogeneous assets, statistical techniques ensures proactive monitoring and identification of potential weaknesses in the portfolio. Retail accounts are classified into specific arrears buckets, which reflects the level of overdue contractual payments on a loan. The probability of default increases with the number of contractual payments missed, thus increasing the associated impairment provision. Accounts performing statuses are categorised into buckets with one instalment missed classified as Bucket 1, two instalments missed as Bucket 2, and three instalments missed as Bucket 3. Once a loan has passed through all three cycles, it is considered a Default and will enter recovery status after being charged off. In most cases charge-off will result in the movement of the management of an account to a recovery function. This typically occurs after all collections efforts have been exhausted including a potential forbearance treatment.

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However, in certain cases an account may be charged-off directly from an up to date or delinquent status upon receipt of written confirmation or evidence of a particular condition pertaining to the customer e.g. Insolvency, Deceased, etc. As a general principle, charge-off marks the point at which focus switches from the collection of overdue amortised payments or unauthorized credit line borrowing to the recovery of the entire asset. Charge-off is the point at which activity switches from collection of the arrears to recovery of the full amount owed. For the majority of products, the standard period for charging off accounts is 90+ days past due of contractual obligation. However, in the case of customer bankruptcy or insolvency, the associated accounts will be charged off within 60 days.

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Financial risk review continued...

7.1.1 ***Credit quality analysis***

The following table sets out information about the credit quality of financial assets measured at amortised cost and FVOCI debt instruments. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. For loan commitments and financial guarantee contracts, the amounts in the table represent the amounts committed or guaranteed, respectively.

2025	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Loans and advances to customers at amortised cost				
Grade 1–6	3,738,143	30,979	-	3,769,122
Grade 7–10	290,260	175,372	-	465,632
Grade 11	-	-	66,859	66,859
Grade 12	-	-	83,541	83,541
Grade 13-23	3,818,372	1,466,228	1,187,834	6,472,434
Gross carrying amount	7,846,775	1,672,579	1,338,234	10,857,588
Loss allowance	(160,452)	(142,339)	(559,546)	(862,337)
Carrying amount	**7,686,323**	**1,530,240**	**778,688**	**9,995,251**

2024	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Loans and advances to customers at amortised cost				
Grade 1–6	2,352,884	-	-	2,352,884
Grade 7–10	36,865	204,533	-	241,398
Grade 11	4,848	-	33,529	38,377
Grade 12	86,103	-	60,192	146,295
Grade 13-23	4,237,373	1,233,416	1,030,076	6,500,865
Gross carrying amount	6,718,073	1,437,949	1,123,797	9,279,819
Loss allowance	(126,083)	(192,909)	(615,927)	(934,919)
Carrying amount	**6,591,990**	**1,245,040**	**507,870**	**8,344,900**

2025	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	POCI GHS `000	Total GHS `000
Investment securities at FVOCI					
Grades 13-23	2,625,372	-	-	50,439	2,675,811
Gross carrying amount	2,625,372	-	-	50,439	2,675,811
Carrying amount-fair value	2,625,372	-	-	50,439	2,675,811

2024	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	POCI GHS `000	Total GHS `000
Investment securities at FVOCI					
Grades 13-23	311,823	-	-	274,488	586,311
Gross carrying amount	311,823	-	-	274,488	586,311
Carrying amount-fair value	311,823	-	-	274,488	586,311

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2025	Stage 1	Stage 2	Stage 3	POCI	Total
	GHS `000	GHS `000	GHS `000	GHS `000	GHS `000
Investment securities at amortised cost					
Grades 10-12	-	-	-	-	-
Grades 13-23	-	-	-	3,730,482	3,730,482
Gross carrying amount	-	-	-	3,730,482	3,730,482
Carrying amount	-	-	-	3,730,482	3,730,482

2024	Stage 1	Stage 2	Stage 3	POCI	Total
	GHS `000	GHS `000	GHS `000	GHS `000	GHS `000
Investment securities at amortised cost					
Grades 10-12	-	-	-	-	-
Grades 13-23	-	-	-	4,062,627	4,062,627
Gross carrying amount	-	-	-	4,062,627	4,062,627
Carrying amount	-	-	-	4,062,627	4,062,627

2025	Stage 1	Stage 2	Stage 3	Total
Letters of credit	GHS `000	GHS `000	GHS `000	GHS `000
Grades 12-17	1,268,891	27,957	-	1,296,848
Loss allowance	(5,821)	(5,066)	-	(10,887)
Carrying amount	1,263,070	22,891	-	1,285,961
Financial guarantee contracts				
Grades 4-19	1,076,440	155,652	-	1,232,092
Loss allowance	(3,018)	(1,178)	-	(4,196)
Carrying amount	1,073,422	154,474	-	1,227,896
Undrawn commitments to lend				
Grades 5-19	1,758,422	477,709	5,576	2,241,707
Loss allowance	(20,236)	(2,421)	(102)	(22,759)
Carrying amount	1,738,186	475,288	5,474	2,218,948

2024	Stage 1	Stage 2	Stage 3	Total
Letters of credit	GHS `000	GHS `000	GHS `000	GHS `000
Grades 12-17	1,371,246	145,522	-	1,516,768
Loss allowance	(11,920)	(3,830)	-	(15,750)
Carrying amount	1,359,326	141,692	-	1,501,018
Financial guarantee contracts				
Grades 4-19	1,224,287	30,194	-	1,254,481
Loss allowance	(7,762)	(1,183)	-	(8,945)
Carrying amount	1,216,525	29,011	-	1,245,536
Undrawn commitments to lend				
Grades 5-19	1,534,447	433,409	338	1,968,194
Loss allowance	(26,909)	(23,114)	-	(50,023)
Carrying amount	1,507,538	410,295	338	1,918,171

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Financial risk review continued...

The carrying value of the Letters of Credit, Guarantees and Undrawn Commitments are shown here for information purposes only as they do not correspond to financial statement presentation given the substance of the balances and IFRS 9 implications.

The following table sets out information about the overdue status of loans and advances to customers in Stages 1, 2 and 3.

	2025			
Loans and advances to customers at amortised cost – gross carrying amount	**Stage 1 GHS `000**	**Stage 2 GHS `000**	**Stage 3 GHS `000**	**Total GHS `000**
Current	7,494,298	1,070,850	105,768	8,670,916
Overdue > 90 days with adequate collateral	352,478	434,551	472,242	1,259,271
Overdue > 90 days without adequate collateral	-	167,177	760,224	927,401
Total	7,846,776	1,672,578	1,338,234	10,857,588

	2024			
Loans and advances to customers at amortised cost – gross carrying amount	**Stage 1 GHS `000**	**Stage 2 GHS `000**	**Stage 3 GHS `000**	**Total GHS `000**
Current	6,210,356	1,080,489	-	7,290,845
Overdue > 90 days with adequate collateral	507,717	152,927	68,135	728,779
Overdue > 90 days without adequate collateral	-	204,533	1,055,662	1,260,195
Total	6,718,073	1,437,949	1,123,797	9,279,819

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Cash and cash equivalents

The Bank held cash and cash equivalents of GHS 9,701,763,180 at 31 December 2025 (2024: GHS 9,847,396,974). In 2025, cash and cash equivalents were classified as stage 1. The cash and cash equivalents are held with central banks and financial institution counterparties. The related ECL on this exposure at year end was GHS 7,195,378 (2024: GHS 28,160,696)

The following table sets out the credit quality of trading debt securities measured at FVTPL.

	2025	2024
Trading assets	**GHS `000**	**GHS `000**
Not rated	2,873,577	1,778,226
Carrying amount	2,873,577	1,778,226

At 31 December 2025, the maximum exposure to credit risk of the trading assets is their carrying amount of GHS 2,873,577 (2024: GHS 1,778,226).

The following table shows an analysis of counterparty credit exposures arising from derivative transactions. Derivative transactions of the Bank are generally fully collateralised by cash.

			Over-the-counter			
	Total		Absa Bank Ltd		Others	
	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value
	GHS `000	GHS `000	GHS `000	GHS `000	GHS `000	GHS `000
2025						
Derivative assets	(144,237)	61,184	(162,316)	25,621	18,079	35,563
Derivative liabilities	(144,237)	199,239	(162,316)	192,079	18,079	7,160
2024						
Derivative assets	62,997	87,444	21,373	34,434	41,624	53,010
Derivative liabilities	62,997	33,838	21,373	14,285	41,624	19,553

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7.1.2 *Collateral held and other credit enhancements*

The general creditworthiness of a corporate customer tends to be the most relevant indicator of credit quality of a loan extended to it. However, collateral provides additional security and the Bank generally requests that corporate borrowers provide it. The Bank may take collateral in the form of a first charge over real estate, floating charge overall corporate assets and other liens and guarantees. Because of the Bank's focus on corporate customers' creditworthiness, the Bank routinely update the valuation of collateral held against all loans to corporate customers. Valuation of collateral is performed at the time of borrowing and updated in a three-year cycle for loans and advances that are performing as expected, but that valuation is updated more frequently (two year cycle) for loans whose credit risk has deteriorated significantly and are being monitored more closely.

The Bank considers the overall quality of collateral supporting credit exposure to be satisfactory with stable value and low volatility. During the period under review there has not been deterioration in quality the collateral held by the bank.

Collateral is not normally held for loans and advances to banks, except when securities are held as part of reverse repurchase and securities borrowing activity. If collateral are obtained, these are usually in the form of assignment of Government treasury bills and bonds.

Collateral is not usually held against investment securities, and no such collateral was held at 31 December 2025.

Collateral values of impaired loans are at cash flows of the forced sale values less estimated costs of sale as discounted to present values. The table below sets out the principal types of collateral held against different types of financial assets and an estimate of the fair value of collateral and other credit enhancements held against loans and advances to customers and Banks.

Type of credit exposure

2025	Carrying amount	Fair value of collateral	Principal type of collateral held
	GHS'000	GHS'000	
Loans and advances to banks	165,737	165,737	
Loans and advances to customers	9,995,251	11,319,654	Residential and commercial properties, Cash, Personal Guarantees, Legal Mortgage, Parent Co. Guarantee etc.
Letters of credit and guarantees	2,528,940	1,512,276	Cash, landed properties, guarantees etc.

2024	Carrying amount	Fair value of collateral	Principal type of collateral held
	GHS'000	GHS'000	
Loans and advances to banks	130,166	130,166	
Loans and advances to customers	8,344,900	11,059,304	Residential and commercial properties, Cash, Personal Guarantees, Legal Mortgage, Parent Co. Guarantee etc.
Letters of credit and guarantees	2,771,249	2,897,669	Cash, landed properties, guarantees etc.

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Included in the loans and advances to customers balance are credit impaired financial assets with a carrying amount of GHS 1.370 billion (2024: 984 million) and corresponding fair value of collaterals as GHS 863 million (2024: 629 million)

Repossessed collateral

The Bank took possession of collateral held as security against loans and advances of about GHS1.8m, but have not yet been able to sell to defray part of the debt (2024: GHS0.99m). The bank does not have a stock of repossessed assets.

7.1.3 *Amounts arising from expected credit losses (ECL) Significant increase in credit risk*

The Bank uses various quantitative, qualitative and backstop measures as indicators of a significant increase in credit risk. The thresholds applied for each portfolio are reviewed on a regular basis to ensure they remain appropriate. Where evidence of a significant increase in credit risk is not yet available at an individual instrument level, instruments that share similar risk characteristics are assessed on a collective basis.

Key drivers of a significant increase in credit risk include:

- Where the weighted average probability of default (PD) for an individual exposure or bank exposures as at the reporting date evidences a material deterioration in credit quality, relative to that determined on initial recognition;
- Adverse changes in payment status, and where accounts are more than 30 days in arrears at reporting date. In certain portfolios a more conservative arrears rule is applied where this is found to be indicative of increased credit risk (e.g. 1 day in arrears);
- Accounts in the Retail portfolio which meet the portfolio's impairment high risk criteria; and
- The Bank's watch list framework applied to the Wholesale portfolio, which is used to identify customers facing financial difficulties or where there are grounds for concern regarding their financial health.

Credit risk grades

The Bank allocates each exposure to a credit risk grade based on a variety of data that is determined to be predictive of the risk of default and applying experienced credit judgement. Credit risk grades are defined using qualitative and quantitative factors that are indicative of risk of default. These factors vary depending on the nature of the exposure and the type of borrower.

Credit risk grades are defined and calibrated such that the risk of default occurring increases as the credit risk grade deteriorates so, for example, the difference in risk of default between credit risk grades 1 and 3 is smaller than the difference between credit risk grades 4 and 5.

Each exposure is allocated to a credit risk grade on initial recognition based on available information about the borrower. Exposures are subject to ongoing monitoring, which may result in an exposure being moved to a different credit risk grade. The monitoring typically involves use of the following data.

Financial risk review continued...

7.1.4 ***Impaired financial assets - comparative information***

Corporate exposures	*Retail exposures*	*All exposures*
Information obtained during periodic review of customer files – e.g. audited financial statements, management accounts, budgets and projections. Examples of areas of particular focus are: gross profit margins, financial leverage ratios, debt service coverage, compliance with covenants, quality of management, senior management changes	Internally collected data on customer behaviour – e.g. utilisation of credit card facilities	Payment record - this includes overdue status as well as a range of variables about payment ratios
Quoted bond and credit default swap (CDS) prices for the borrower where available	Affordability metrics	Utilisation of the granted limit
Actual and expected significant changes in the political, regulatory and technological environment of the borrower or in its business activities		Requests for and granting of forbearance Existing and forecast changes in business, financial and economic conditions

The table below provides an indicative mapping of how the Bank's internal credit risk grades relate to probability of default (PD):

Grading	Retail lending Probability of default	Corporate lending Probability of default	Default grade
Strong	0.0 - 0.60%	0.0 - 0.05%	1-3
		0.05% - 0.15%	4-5
		0.15% - 0.30%	6-8
		0.30% - 0.60%	9-11
Satisfactory	0.60% - 10.00%	0.60% - 2.15%	12-14
		2.15% - 11.35%	15-19
Higher risk	10.00%+	11.35% +	20-21
Impaired loans	1	100%	22-23

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Financial statement descriptions of credit risk grades can be summarised as follows:

- Strong- there is a very high likelihood of the asset being recovered in full.
- Satisfactory- whilst there is a high likelihood that the asset will be recovered and therefore, of no cause for concern to the Bank, the asset may not be collateralised, such as unsecured loans, which have been classified as satisfactory, regardless of the fact that the output of internal grading models may have indicated a higher classification. At a lower end of this grade there are customers that are being more carefully monitored, for example, corporate customers which are indicating some evidence of some deterioration.
- Higher risk- there is concern over the obligor's ability to make payments when due. However, these have not yet converted to actual delinquency. However, the borrower or counterparty is continuing to make payment when due and is expected to settle all outstanding amounts of principal and interest.

Generating the term structure of PD

Credit risk grades are a primary input into the determination of the term structure of PD for exposures. The Bank collects performance and default information about its credit risk exposures analysed by jurisdiction or region and by type of product and borrower as well as by credit risk grading.

The Bank employs statistical models to analyse the data collected and generate estimates of the remaining lifetime PD of exposures and how these are expected to change as a result of the passage of time.

Determining whether credit risk has increased significantly

The Bank assesses whether credit risk has increased significantly since initial recognition at each reporting date. Determining whether an increase in credit risk is significant depends on the characteristics of the financial instrument and the borrower, and the geographical region. What is considered significant differs for different types of lending, in particular between wholesale and retail.

As a general indicator, the credit risk of a particular exposure is deemed to have increased significantly since initial recognition if, based on the Bank's quantitative modelling:

- the remaining lifetime PD is determined to have increased by more than two PD notches of the corresponding amount estimated on initial recognition; or

- the absolute change in annualised, lifetime PD since initial recognition is greater than two basis points.

In addition, irrespective of the relative increase since initial recognition, the credit risk of an exposure is deemed not to have increased significantly if its remaining annualised lifetime PD at the reporting date is adequately covered by collateral.

The credit risk may also be deemed to have increased significantly since initial recognition based on qualitative factors linked to the Bank's credit risk management processes that may not otherwise be fully reflected in its quantitative analysis on a timely basis. This will be the case for exposures that meet certain heightened risk criteria, such as placement on a watch list. Such qualitative factors are based on its expert judgement and relevant historical experiences. As a backstop, the Bank considers that a significant increase in credit risk occurs no later than when an asset is more than 30 days past due. Days past due are determined by counting the number of days since the earliest elapsed due date in respect of which full payment has not been received. Due dates are determined without considering any grace period that might be available to the borrower.

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If there is evidence that there is no longer a significant increase in credit risk relative to initial recognition, then the loss allowance on an instrument returns to being measured as 12-month ECL. Some qualitative indicators of an increase in credit risk, such as delinquency or forbearance, may be indicative of an increased risk of default that persists after the indicator itself has ceased to exist. In these cases, the Bank determines a probation period, generally three to six months, during which the financial asset is required to demonstrate good behaviour to provide evidence that its credit risk has declined sufficiently. When contractual terms of a loan have been modified, evidence that the criteria for recognising lifetime ECL are no longer met includes a history of up-to-date payment performance against the modified contractual terms. The Bank monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

- the criteria are capable of identifying significant increases in credit risk before an exposure is in default;
- the criteria do not align with the point in time when an asset becomes 30 days past due;
- the average time between the identification of a significant increase in credit risk and default appears reasonable;
- exposures are not generally transferred directly from 12-month ECL measurement to credit- impaired; and
- there is no unwarranted volatility in loss allowance from transfers between 12-month PD (Stage 1) and lifetime PD (Stage 2)

Definition of default

The Bank considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Bank in full, without recourse by the Bank to actions such as realising security (if any is held);

- the borrower is more than 90 days past due on any material credit obligation to the Bank. Overdrafts are considered as being past due once the customer has breached an advised limit or been advised of a limit smaller than the current amount outstanding; or

- it is becoming probable that the borrower will restructure the asset as a result of bankruptcy due to the borrower's inability to pay its credit obligations.

In assessing whether a borrower is in default, the Bank considers indicators that are:

- qualitative: e.g. breaches of covenant;

- quantitative: e.g. overdue status and non-payment on another obligation of the same issuer to the Bank; and

- based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

The definition of default largely aligns with that applied by the Bank for regulatory capital purposes.

Incorporation of forward-looking information

The Bank incorporates forward-looking information into both the assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and the measurement of ECL.

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The Bank formulates three economic scenarios: a base case, which is the median scenario assigned a 40% probability of occurring, and two less likely scenarios, one upside and one downside, each assigned a 30% probability of occurring. The base case is aligned with information used by the Bank for other purposes such as strategic planning and budgeting. External information considered includes economic data and forecasts published by governmental bodies and monetary authorities in the countries where the Bank operates, supranational organisations such as the OECD and the International Monetary Fund and selected private-sector and academic forecasters.

Periodically, the Bank carries out stress testing of more extreme shocks to calibrate its determination of the upside and downside representative scenarios. A comprehensive review is performed at least annually on the design of the scenarios by a panel of experts that advises the Bank's senior management. For periods beyond five years, management utilises the in-house research view and model outputs, which allow for a reversion to long-term growth rates or norms. All projections are updated on a quarterly basis.

The Bank has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses.

The key drivers for credit risk for wholesale portfolios are GDP growth and interest rates. For exposures to specific industries and/or regions, the key drivers also include relevant commodity and/or real estate prices. The key drivers for credit risk for retail portfolios are: GDP, inflation and interest rates.

The following table shows the key forecast assumptions used to calculate the ECL allowances:

	Baseline				
2025	**2024**	**2025**	**2026**	**2027**	**2028**
Real GDP (%)		4.9	5.3	5.2	5.0
Average policy rate (%)		25.3	15.4	15.0	15.4
2024					
Real GDP (%)	5.0	4.9	5.1	5.3	5.5
Average policy rate (%)	28.4	23.5	18.8	15.1	14.6

	Mild upside				
2025	**2024**	**2025**	**2026**	**2027**	**2028**
Real GDP (%)		5.5	4.9	6.3	6.7
Average policy rate (%)		25.3	13,9	13.0	13.0
2024					
Real GDP (%)	5.8	6.3	6.5	6.8	6.0
Average policy rate (%)	28.3	16.9	13.1	13.0	13.0

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2025	Mild downside 2024	2025	2026	2027	2028
Real GDP (%)		4.5	4.0	3.8	3.7
Average policy rate (%)		25.8	21.5	21.5	21.4
2024					
Real GDP (%)	3.5	4.0	4.1	4.2	3.7
Average policy rate (%)	28.6	27.0	23.6	21.6	20.1

Sensitivity of ECL to future economic conditions

Given the level of uncertainty required in the determination of ECL, the Bank has conducted a sensitivity analysis in order to indicate the impact on ECL when assigning a probability weighting of 100% to each macroeconomic variable scenario. The analysis only reflects the impact of changing the probability assigned to each scenario to a 100% and does not include management adjustments required to provide a more appropriate assessment of risk.

	2025		2024	
	GHS `000	% change	GHS `000	% change
ECL allowance on stages 1 and 2 loans and advances to banks and customers	370,862	-	432,949	-
Baseline	380,940	2.7	523,247	20.9
Upside	375,081	1.1	483,184	11.6
Downside	392,625	5.9	564,055	30.3

Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognised and the renegotiated loan recognised as a new loan at fair value in accordance with the accounting policy.

When the terms of a financial asset are modified and the modification does not result in derecognition, the determination of whether the asset's credit risk has increased significantly reflects comparison of:

- its remaining lifetime PD at the reporting date based on the modified terms; with
- the remaining lifetime PD estimated based on data on initial recognition and the original contractual terms.

When modification results in derecognition, a new loan is recognised and allocated to Stage 1 (assuming it is not credit-impaired at that time).

The Bank renegotiates loans to customers in financial difficulties to maximise collection opportunities and minimise the risk of default.

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Generally, forbearance or restructuring is a qualitative indicator of a significant increase in credit risk and an expectation of forbearance may constitute evidence that an exposure is credit-impaired. A customer needs to demonstrate consistently good payment behaviour over a minimum period of six months with no other adverse qualitative concerns before the exposure is no longer considered to be credit-impaired/in default or the PD is considered to have decreased such that the loss allowance reverts to being measured at an amount equal to Stage 1.

Inputs, assumptions and techniques for estimating impairment on government exposures - 2025

The Bank does not apply a differentiated methodology to determining ECL for governments and non-governments exposures. As a result, the Bank uses similar approach relying on key inputs including counterparty PD, LGD, EAD as assessed on each counterparty is applied as well as the application of forward -looking macro-economic indicators. This approach is applied consistently to both government and non-government exposures.

Measurement of ECL

The key inputs into the measurement of ECL are the term structure of the following variables:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

ECL for exposures in Stage 1 are calculated by multiplying the 12-month PD by LGD and EAD. Lifetime ECL are calculated by multiplying the lifetime PD by LGD and EAD. The methodology for estimating PDs is discussed above under the heading

LGD is the magnitude of the likely loss if there is a default. The Bank estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. For loans secured by retail property, loan to value (LTV) ratios are a key parameter in determining LGD. LGD estimates are recalibrated for different economic scenarios and, for lending collateralised by property, to reflect possible changes in property prices. They are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Bank derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract and arising from amortisation. The EAD of a financial asset is its gross carrying amount at the time of default. For lending commitments, the EADs are potential future amounts that may be drawn under the contract, which are estimated based on historical observations and forward-looking forecasts. For financial guarantees, the EAD represents the amount of the guaranteed exposure when the financial guarantee becomes payable. For some financial assets, EAD is determined by modelling the range of possible exposure outcomes at various points in time using scenario and statistical techniques.

As described above, and subject to using a maximum of a 12-month PD for Stage 1 financial assets, the Bank measures ECL considering the risk of default over the maximum contractual period (including any borrower's extension options) over which it is exposed to credit risk, even if, for credit risk management purposes, the Bank considers a longer period. The maximum contractual period extends to the date at which the Bank has the right to require repayment of an advance or terminate a loan commitment or guarantee.

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Financial risk review continued...

However, for retail overdrafts and credit card facilities that include both a loan and an undrawn commitment component, the Bank measures ECL over a period longer than the maximum contractual period if the Bank's contractual ability to demand repayment and cancel the undrawn commitment does not limit the Bank's exposure to credit losses to the contractual notice period. These facilities do not have a fixed term or repayment structure and are managed on a collective basis. The Bank can cancel them with immediate effect but this contractual right is not enforced in the normal day-to-day management, but only when the Bank becomes aware of an increase in credit risk at the facility level. This longer period is estimated taking into account the credit risk management actions that the Bank expects to take, and that serve to mitigate ECL. These include a reduction in limits, cancellation of the facility and/or turning the outstanding balance into a loan with fixed repayment terms.

In determining ECL for retail exposures, a portfolio approach is used where exposures are grouped per product definitions and thereafter bucketed for impairment purposes.

The Credit risk assumptions, inputs, models and assumptions have been consistently applied for 2025 as compared to the prior years.

Loss allowance

The following tables show reconciliations from the opening to the closing balance of the loss allowance by class of financial instrument. The basis for determining transfers due to changes in credit risk is set out in our accounting policy.

2025	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Loans and advances to customers at amortised cost				
Balance at 1 January	(126,084)	(192,908)	(615,927)	**(934,919)**
Transfer to Stage 1	(2,555)	2,555	-	**-**
Transfer to Stage 2	(74,125)	74,125	-	**-**
Transfer to Stage 3	(97,228)	(16,336)	113,564	**-**
Net remeasurement of loss allowance	(204,830)	83,715	125,458	**4,343**
New financial assets originated or purchased	(56,939)	(33,207)	(39,669)	**(129,815)**
Loans that have been derecognised	401,308	(60,283)	(305,108)	**35,917**
Write-offs	-	-	162,136	**162,136**
Balance at 31 December 2025	**(160,453)**	**(142,339)**	**(559,546)**	**(862,338)**

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Financial risk review continued...

2024	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Loans and advances to customers at amortised cost				
Balance at 1 January	(95,303)	(154,835)	(350,005)	**(600,143)**
Transfer to Stage 1	(15,583)	15,583	-	**-**
Transfer to Stage 2	14,120	(14,120)	-	**-**
Transfer to Stage 3	17,526	(58,758)	41,232	**-**
Net remeasurement of loss allowance	(123,358)	(6,119)	9,493	**(119,984)**
New financial assets originated or purchased	(78,304)	(60,974)	(53,007)	**(192,285)**
Loans that have been derecognised	154,818	86,315	(263,776)	**(22,643)**
Write-offs	-	-	136	**136**
Balance at 31 December 2024	**(126,084)**	**(192,908)**	**(615,927)**	**(934,919)**

2025	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Investment securities at FVOCI				
Balance at 1 January	7,700	-	-	**7,700**
Net remeasurement of loss allowance	6,959	-	-	**6,959**
Derecognition	-	-	-	**-**
Balance at 31 December 2025	**14,659**	-	-	**14,659**

2024	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Investment securities at FVOCI				
Balance at 1 January	-	-	-	**-**
Net remeasurement of loss allowance	7,700	-	-	**7,700**
Derecognition	-	-	-	**-**
Balance at 31 December 2024	**7,700**	**-**	**-**	**7,700**

The loss allowance on debt investment securities at FVOCI is not recognised in the statement of financial position because the carrying amount of such securities is their fair value.

2025	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Cash and cash equivalents at amortised cost				
Balance at 1 January	(18,754)	(9,406)	-	**(28,160)**
Net remeasurement of loss allowance	11,559	9,406	-	**20,965**
Balance at 31 December 2025	(7,195)	-	-	**(7,195)**

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Figures in GHS `000

Financial risk review continued...

2024	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Cash and cash equivalents at amortised cost				
Balance at 1 January	(96)	(27,908)	-	**(28,004)**
Net remeasurement of loss allowance	(18,658)	18,502	-	**(156)**
Balance at 31 December 2024	(18,754)	(9,406)	-	**(28,160)**

Cash and cash equivalent at FVOCI

The bank held Bank of Ghana OMO and Treasury bills as at 31 December 2025 amounting to GHS 3.110 billion and GHS 102 million respectively (2024: 1.612 billion). This is classified as FVOCI under cash and cash equivalent. The ECL charge and ECL Allowance at 31 December 2025 amounted to GHS 5.1 million (2024: GHS 12.9 million).

2025	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Letters of credit and guarantees				
Balance at 1 January	(46,591)	(28,127)	-	**(74,718)**
Net remeasurement of loss allowance	38,208	26,561	-	**64,769**
New financial assets originated or purchased	(20,691)	(7,091)	(110)	**(27,892)**
Balance at 31 December 2025	(29,074)	(8,657)	(110)	**(37,841)**

2024	Stage 1 GHS `000	Stage 2 GHS `000	Stage 3 GHS `000	Total GHS `000
Letters of credit and guarantees				
Balance at 1 January	(13,380)	(104,895)	(294)	**(118,569)**
Net remeasurement of loss allowance	(4,850)	85,258	294	**80,702**
New financial assets originated or purchased	(28,361)	(8,490)	-	**(36,851)**
Balance at 31 December 2024	(46,591)	(28,127)	-	**(74,718)**

The following table provides a reconciliation between:

- amounts shown in the above tables reconciling opening and closing balances of loss allowance per class of financial instruments; and
- the 'impairment losses on financial instruments' line item in the statement of comprehensive income.

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

2025	Loans and advances to banks at amortised cost GHS `000	Loans and advances to customers at amortised cost GHS `000	Investment securities at FVOCI GHS `000	Investment securities at amortised cost GHS `000	Cash and cash equivale-ents GHS `000
Net remeasurement of loss allowance	-	4,343	(6,959)	-	20,965
New financial assets originated or purchased	-	(93,897)	-	-	(5,107)
Recoveries of amounts previously written off	-	40,457	-	-	-
Derecognition loss	-	-	-	-	-
Amounts recognised in profit or loss	**-**	**(49,097)**	**(6,959)**	**-**	**15,858**
					15,858
2024					
Net remeasurement of loss allowance	-	(119,984)	(7,700)	-	(156)
New financial assets originated or purchased	-	(214,928)	-	-	12,859
Total	-	(334,912)	(7,700)	-	12,703
Recoveries of amounts previously written off	-	27,887	-	-	-
Derecognition loss	-	-	-	(6,593)	-
Amounts recognised in profit or loss	**-**	**(307,025)**	**(7,700)**	**(6,593)**	**12,703**

The table below provides an explanation of how significant changes in the gross carrying amount of financial instruments during the year contributed to changes in loss allowance.

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

	2025 Impact: increase/ (decrease)		
	Stage 1 GHS `000	**Stage 2 GHS `000**	**Stage 3 GHS `000**
Loans and advances to customers at amortised cost			
Net movement in loans and advances due to new advances/drawdowns, paydowns and payoffs	27,075	(38,409)	(96,228)
Changes in Macro-economic Estimates	(5,756)	(23,060)	-
Changes in customer default grade	(46,092)	-	-
Delayed loan repayment by a cross-section of business banking and corporate clients resulting in a downgrade to non-performing loans	-	-	24,773
Additional stage 3 based on reassessment of security/risk	-	-	23,417
The impairment in the retail loan book is largely attributable to delayed repayments within the mobile loan segment, employee resignations and job losses, travel abroad customers and weakening financial conditions among some employer companies.	13,122	18,083	106,338
Investment securities	-	-	-
Impairment due to restructure of cocoa bills under the DDEP	-	-	-

	2024 Impact: increase/ (decrease)		
	Stage 1 GHS `000	**Stage 2 GHS `000**	**Stage 3 GHS `000**
Loans and advances to customers at amortised cost			
Net movement in loans and advances due to new advances/drawdowns, paydowns and payoffs	(12,046)	56,091	(96,132)
Changes in Macro-economic Estimates	(41,846)	70,105	-
Changes in customer default grade	(57,111)	(29,602)	-
Delayed loan repayment by a cross-section of business banking and corporate clients resulting in a downgrade to non-performing loans	-	-	175,174
Additional stage 3 based on reassessment of security/risk	-	-	50,458
Impairment from retail/consumer loans due to delayed payments, resignations, job losses and companies in distress	23,234	34,583	85,272
Investment securities	-	-	-
Impairment due to restructure of cocoa bills under the DDEP	-	-	6,593

Credit-impaired financial assets

The following table sets out a reconciliation of changes in the gross carrying amount of credit-impaired loans and advances to customers.

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Figures in GHS `000	2025	2024

Financial risk review continued...

	2025	2024
	GHS `000	GHS `000
Credit-impaired loans and advances to customers at 1 January	1,255,564	980,600
Classified as credit-impaired during the year	758,328	270,525
Transferred to not-credit-impaired during the year	(26)	(246)
Net repayments	(191,576)	(150,301)
Write-offs	(162,136)	(136)
Other movements	(57,689)	155,122
Credit-impaired loans and advances to customers at 31 December	**1,602,465**	**1,255,564**

The contractual amount outstanding on financial assets that were written off during the year ended 31 December 2025 and that are still subject to enforcement activity is GHS 162 million (2024: GHS 136,000).

Modified financial assets

The following table provides information on financial assets that were modified while they had a loss allowance measured
at an amount equal to lifetime ECL.

	2025	2024
	GHS `000	GHS `000
Financial assets modified during the period		
Amortised cost before modification	333,392	26,108

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

7.1.5 Concentrations of credit risk

The Bank monitors concentrations of credit risk by industry and in some cases by segments within the industry, if deemed necessary. An analysis of concentrations of credit risk from loans and advances to customers, cash and cash equivalents and investment securities based on the gross carrying amount at the reporting date is shown below.

	Loans and advances to customers and banks		Cash and cash equivalents		Investment securities		LCs, Guarantees and Undrawn commitments	
	2025 GHS `000	2024 GHS `000	2025 GHS `000	2024 GHS `000	2025 GHS `000	2024 GHS `000	2025 GHS `000	2024 GHS `000
Concentration by customer type								
Governments	34,062	69,342	6,492,435	4,997,328	9,279,870	6,427,164	-	-
Public enterprises and institutions	507,816	534,642	-	-	-	-	71,202	173,829
Private enterprises	6,753,421	6,011,773	-	-	-	-	3,419,165	3,436,073
Individuals	3,562,289	2,664,062	-	-	-	-	128,529	95,140
Banks	165,737	130,167	933,953	3,581,517	-	-	722,746	1,034,401
Total	**11,023,325**	**9,409,986**	**7,426,388**	**8,578,845**	**9,279,870**	**6,427,164**	**4,341,642**	**4,739,443**
Concentration by location								
Ghana	10,857,588	9,322,330	6,555,040	6,011,046	9,279,870	6,427,164	4,341,641	4,739,442
Outside Ghana	165,737	87,656	871,348	2,567,799	-	-	-	-
Total	**11,023,325**	**9,409,986**	**7,426,388**	**8,578,845**	**9,279,870**	**6,427,164**	**4,341,641**	**4,739,442**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Financial risk review continued...

	2025 GHS `000	2024 GHS `000
Concentration by industry- Loans and advances to customers and banks (Gross)		
Agriculture forestry and fishing	284,934	107,186
Mining and quarrying	484,145	334,698
Manufacturing	1,015,205	1,063,736
Construction	347,569	524,713
Electricity, gas and water	729,893	1,259,836
Commerce and finance	3,359,212	2,601,240
Transport, storage and communication	948,712	798,274
Services	3,563,246	2,461,981
Miscellaneous	290,409	258,322
Total	**11,023,325**	**9,409,986**

Offsetting financial assets and financial liabilities

The Bank did not hold any financial assets and financial liabilities that are off set in the statement of financial position at the reporting date.

7.2 Liquidity risk

The Bank, working with Absa Group Treasury, develops and implements the process for managing the Bank's Liquidity risk on business as usual and on stress basis. The output of stress testing informs the Bank's contingency funding plan. This is maintained by the Bank's Treasury and is aligned with the country business resumption plans to encompass decision-making authorities, internal and external communication and, in the event of a systems failure, the restoration of liquidity management and payment systems. Sources of liquidity are regularly reviewed to maintain a wide diversification by currency, provider, product and term.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month as these are key periods for liquidity management. There also exists an annual funding plan which is reviewed monthly. In addition to cash flow management, the Treasury department also monitors unmatched medium-term assets and the level and type of undrawn lending commitments, the usage of overdraft facilities and the impact of contingent liabilities such as standby letters of credit and guarantees.

An important source of structural liquidity is provided by our core retail deposits, mainly current accounts and savings accounts balances. Although current accounts are repayable on demand and savings accounts at short notice, the Bank's broad base of customers – numerically and by depositor type – helps to protect against unexpected fluctuations. Such accounts form a stable funding base for the Bank's operations and liquidity needs.

To avoid reliance on a particular group of customers or market sectors, the distribution of sources and the maturity profile of deposits are also carefully managed. Important factors in assuring liquidity are competitive rates and the maintenance of depositors' confidence. Such confidence is based on several factors including the Bank's reputation, the strength of earnings and the Bank's financial position.

Financial risk review continued...

7.2.1 *Maturity analysis for financial assets and liabilities*

The table below presents the cash flows payable by the Bank under non-derivative financial liabilities and assets held for managing liquidity risk by remaining contractual maturities at the date of the statement of financial position. The amounts disclosed in the table are the contractual undiscounted cash flow.

31 December 2025	Notes	On demand GHS `000	Not more than three months GHS `000	Over 3 months but not more than 1 year GHS `000	Over 1 year but not more than 5 years GHS `000	Over 5 years GHS `000	Total GHS `000
Liabilities							
Borrowings	31	294,708	2,755,582	1,067,055	-	-	4,117,345
Deposits from banks	29	447,421	-	-	-	-	447,421
Deposits from customers	30	18,604,511	547,359	42,731	-	-	19,194,601
Issued financial guarantee		2,099,934	-	-	-	-	2,099,934
Undrawn commitments		2,241,707	-	-	-	-	2,241,707
Lease liabilities		-	3,724	9,603	36,061	16,567	65,955
Other liabilities	33	1,313,206	-	-	-	-	1,313,206
Total liabilities (contractual maturity dates)		**25,001,487**	**3,306,665**	**1,119,389**	**36,061**	**16,567**	**29,480,169**
Assets							
Cash and cash equivalents	19	6,489,867	3,236,682	-	-	-	9,726,549
Loans and advances to Banks	22	-	165,757	-	-	-	165,757
Loans and advances to customers	23	-	2,861,819	3,519,666	7,197,646	1,825,280	15,404,411
Investment securities	24	-	1,507,795	1,325,090	3,452,863	3,230,246	9,515,994
Non-pledged trading assets	20	-	-	2,500,603	-	-	2,500,603
Pledged trading assets	20	-	928,587	-	-	-	928,587
Other assets	25	765,467	-	-	-	-	765,467
Assets held for managing liquidity risk		7,255,334	8,700,640	7,345,359	10,650,509	5,055,526	39,007,368
Liquidity gap		**(17,746,153)**	**5,393,975**	**6,225,970**	**10,614,448**	**5,038,959**	**9,527,199**

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Figures in GHS `000

Financial risk review continued...

31 December 2024	Notes	On demand GHS `000	Not more than three months GHS `000	Over 3 months but not more than 1 year GHS `000	Over 1 year but not more than 5 years GHS `000	Over 5 years GHS `000	Total GHS `000
Liabilities							
Borrowings	31	-	3,057,298	23,779	-	-	3,081,077
Deposits from banks	29	372,285	-	-	-	-	372,285
Deposits from customers	30	16,780,078	729,875	128,645	29	-	17,638,627
Issued financial guarantee		2,771,249	-	-	-	-	2,771,249
Undrawn commitments		1,968,193	-	-	-	-	1,968,193
Lease liabilities		-	3,521	8,664	31,766	21,965	65,916
Other liabilities	33	1,735,836	-	-	-	-	1,735,836
Total liabilities (contractual maturity dates)		**23,627,641**	**3,790,694**	**161,088**	**31,795**	**21,965**	**27,633,183**
Assets							
Cash and cash equivalents	19	6,357,813	3,567,024	-	-	-	9,924,837
Loans and advances to Banks	22	87,656	-	46,131	-	-	133,787
Loans and advances to customers	23	207,827	1,130,657	4,081,027	4,231,605	2,282,316	11,933,432
Investment securities	24	-	-	413,152	4,232,340	2,401,465	7,046,957
Non-pledged trading assets	20	-	-	1,309,310	-	-	1,309,310
Pledged trading assets	20	-	-	617,207	-	-	617,207
Other assets	25	1,292,692	-	-	-	-	1,292,692
Assets held for managing liquidity risk		7,945,988	4,697,681	6,466,827	8,463,945	4,683,781	32,258,222
Liquidity gap		**(15,681,653)**	**906,987**	**6,305,739**	**8,432,150**	**4,661,816**	**4,625,039**

The amounts in the table above have been compiled as follows:

- Non-derivative financial liabilities and financial assets – undiscounted cash flows, which include estimated interest payment
- Issued financial guarantee contracts, and unrecognised loan commitments – Earliest possible contractual maturity. For issued financial guarantee contracts, the maximum amount of the guarantee is allocated to the earliest period in which the guarantee could be called.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Financial risk review continued...

7.2.2 Assets held for managing liquidity risk

The Bank holds a diversified portfolio of cash and high-quality highly-liquid securities to support payment obligations and contingent funding in a stressed market environment. The Bank's assets held for managing liquidity risk comprise:

- Cash and balances with the Bank of Ghana;
- Government bonds and other securities that are readily acceptable in repurchase agreements with the Bank of Ghana; and
- Secondary sources of liquidity in the form of highly liquid instruments.

Financial risk review continued...

7.2.3 Derivative assets and liabilities

The Bank's derivatives that will be settled on a gross basis is the forward foreign exchange contracts. The table below analyses the Bank's derivative financial assets and liabilities that will be settled on a gross basis into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. Contractual maturities are assessed to be essential for an understanding of all derivatives. Some of the Bank's derivatives are subject to collateral requirements. Cash flows for those derivatives could occur earlier than the contractual maturity. The amounts disclosed in the table are the contractual undiscounted cash flows:

	On demand	Not more than three months	Over 3 months but not more than 1 year	Over 1 year but not more than 5 years	Over 5 years	Total
31 December 2025	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Foreign exchange derivatives						
Inflow	1,113,717	619,290	133,853	6,228	-	1,873,088
Outflow	(1,079,025)	(767,319)	(159,561)	(11,421)	-	(2,017,326)
Net inflow/ (outflow)	34,692	(148,029)	(25,708)	(5,193)	-	(144,238)
31 December 2024						
Foreign exchange derivatives						
Inflow	2,333,376	331,418	-	-	-	2,664,794
Outflow	(2,282,662)	(319,135)	-	-	-	(2,601,797)
Net inflow/ (outflow)	50,714	12,283	-	-	-	62,997

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

7.2.4 Exposure to liquidity risk

The key measure used by the bank for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose, net liquid assets are considered as including cash and cash equivalents and investment grade debt securities for which there is an active and liquid market less any deposits from banks, debt securities issued, other borrowings and commitments maturing within the next month. Details of the reported bank (liquid ratio) ratio of net liquid assets to deposits to customers at the reporting date and during the reporting period were as follows:

	2025 %	2024 %
At 31 December	80.09	57.30
Average for the year	88.15	73.90
Maximum for the year	102.51	83.90
Minimum for the year	80.09	57.20

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

7.2.5 Liquid positions

	2025	2024
Weekly liquid position		
At 31 December	17.52%	15.88%
Compliance with regulatory requirements		
a. Default in statutory liquidity (number of defaults)	-	-
b. Sanction for default in statutory liquidity (GHS'000)	-	-
Liquid ratio (liquid assets/ volatile liabilities)	80.09%	77.50%

Liquidity Concentration Risk

The Bank is exposed to concentration risk arising from deposits held by a limited number of customers, which could adversely affect liquidity if such deposits are withdrawn simultaneously or unexpectedly. The Bank manages this risk through active monitoring of its deposit base and by maintaining adequate liquidity buffers.

Deposit concentration is measured at the individual customer level, with all accounts held by a customer aggregated and assessed against total customer deposits. A customer is considered concentrated where deposits exceed 5% of total customer deposits, assessed separately for local currency and foreign currency balances. The Bank prepares a monthly report identifying and ranking the top twenty (20) customer depositors, expressed as a percentage of total customer liabilities.

Concentration exposures are monitored as part of the Bank's liquidity Early Warning Indicators and are reviewed monthly by the Asset and Liability Committee (ALCO). To mitigate potential liquidity stress, the Bank maintains a minimum of 30% of total customer deposits in high quality liquid assets. In addition, the Bank holds supplementary liquid assets equivalent to 20% of deposits relating to the top five customers within the top twenty depositors. This ensures the Bank remains resilient under both normal and stressed liquidity conditions.

Financial risk review continued...

Market risk

Market risk is the risk that the Bank's earnings or capital, or its ability to meet business objectives, will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, credit spreads and foreign exchange rates.

The Board Risk Committee approves the market risk appetite for all types of market risk. The Market Risk Manager is responsible for the market risk control framework and, under delegated authority from the Board and Asset & Liability Committee (ALCO), sets a limit framework within the context of the approved market risk appetite

The Market Risk Manager is assisted by a market risk team and the Chief Risk Officer. The measurement techniques used to

measure and control market risk include:

- Foreign Exchange Daily Value at Risk (foreign exchange risk sensitivity);
- Stress Test (Interest Rate Risk Sensitivity) and
- Net Interest Income Sensitivity (Interest Rate Risk Sensitivity).

The market risk assumptions, inputs, models and assumptions have been consistently applied for 2025 as compared to the prior years.

7.2.6 Foreign exchange daily value at risk (FX DVaR)

DVaR is an estimate of the potential loss which might arise from unfavourable market movements, if the current position in the trading book was held unchanged for one business day, measured to a confidence level of 95%. Daily losses exceeding the DVaR figure are not expected to occur, on average, more than five times in every 100 business days.

There are some limitations and disadvantages with the use of VaR. It does not distinguish between different liquidities of market positions as it only captures short-term risks in normal market circumstances. The implementation costs of a fully integrated VaR system can be huge and there is danger that VaR calculations may be seen as a substitute for good risk management. VaR measures may be imprecise, because they depend on many assumptions about model parameters that may be very difficult to support or contradict.

The Board sets limits on the value at risk that may be accepted for the Bank, which are managed on a daily basis by CIB (Corporate and Investment Banking) Markets team and monitored daily by the Market Risk Manager.

The quality of the VaR model is continuously monitored by back-testing the VaR results for trading books. The behaviour of FX DVaR over 2025 and 2024 is presented in the table below:

	31 December 2025			31 December 2024		
	Average GHS `000	High GHS `000	Low GHS `000	Average GHS `000	High GHS `000	Low GHS `000
Foreign exchange risk	269	716	10	282	558	101

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Financial risk review continued...

7.2.7 Interest rate stress testing

The Bank uses stress testing to complement Annual Earnings at Risk (AEaR) and DVaR calculations.

Interest Rate DVaR assumes that changes in market rates behave according to the normal distribution and a 95% level of confidence. The assumption of normality is not unreasonable for a level of confidence of 95%. However, there will be occasions when the rate movement is outside the 95% level of confidence and thus not fully captured by the DVaR model. Stress risk aims to show the possible loss for such event.

Stress therefore provides a measure, which would allow us to see the impact of interest rate changes over the entire interest rate gaps of the country, i.e. up to the final maturity of the book. This will be captured by putting a value loss limit on the book due to adverse changes in the interest rates, which will be achieved through the use of stress testing process. Eight different interest rates shift will be applied to the interest rate gaps of the country and the worst-case loss will be picked up as stress loss.

For the year under review the stress risks are summarised below:

	31 December 2025			31 December 2024		
	Average GHS `000	High GHS `000	Low GHS `000	Average GHS `000	High GHS `000	Low GHS `000
Stress risk (on earnings)	73,814	327,564	350	33,523	131,780	142

7.2.8 Net interest income (NII) sensitivity

Net Interest Income sensitivity measures the sensitivity of annual earnings to shocks in the market rates for change over a one-year period.

The Bank calculates NII sensitivity by taking interest rate sensitive balances, as represented by the net mismatch ladder, and calculating the change in earnings (income) in each mismatch band for a 2% change in interest rates NII sensitivity, as per this simplified approach.

It assesses the impact on the Bank's profit or loss for the 12 months horizon given a parallel shift in the interest rate. For the year under review the NII Sensitivity measures are shown below:

	31 December 2025			31 December 2024		
	Average GHS `000	High GHS `000	Low GHS `000	Average GHS `000	High GHS `000	Low GHS `000
NII sensitivity	85,452	246,969	27,353	55,913	78,878	33,966

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

7.2.9 Foreign exchange risk

The Bank takes on exposure to the effect of fluctuations in the prevailing foreign currency exchange rates on its financing position and cash flows. The Board sets limits on the lines of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily. The table below summarises the Bank's exposure to foreign currency exchange risk at year end. Included in the table are the Bank's financial instruments at carrying amounts, categorised by currency:

31 December 2025	USD GHS `000	GBP GHS `000	EUR GHS `000	Total GHS `000
Assets				
Cash and cash equivalents	1,202,930	158,990	399,735	1,761,655
Investment Securities at FVOCI	1,295,055	-	-	1,295,055
Trading assets	240,091	-	-	240,091
Loans and advances to banks	313,530	313,530	-	627,060
Loans and advances to customers	2,188,231	10,007	292,045	2,490,283
Other assets (excluding prepayments)	2,094	-	-	2,094
Total assets	5,241,931	482,527	691,780	6,416,238
Liabilities				
Borrowings	(24,028)	-	-	(24,028)
Deposits from banks	182,839	-	-	182,839
Deposits from customers	5,794,142	168,594	312,545	6,275,281
Other liabilities	405,345	10,655	15,368	431,368
Total liabilities	6,358,298	179,249	327,913	6,865,460
Net on statement of financial position	(1,116,367)	303,278	363,867	(449,222)

31 December 2024	USD GHS `000	GBP GHS `000	EUR GHS `000	Total GHS `000
Assets				
Cash and cash equivalents	1,424,963	239,121	689,224	2,353,308
Investment Securities at FVOCI	1,942,653	-	-	1,942,653
Trading assets	190,132	-	-	190,132
Loans and advances to banks	470,512	470,512	-	941,024
Loans and advances to customers	2,958,552	6,134	26,883	2,991,569
Other assets (excluding prepayments)	6,022	-	-	6,022
Total assets	6,992,834	715,767	716,107	8,424,708
Liabilities				
Borrowings	1,032,952	6,642	54,170	1,093,764
Deposits from banks	182,839	-	-	182,839
Deposits from customers	7,087,938	207,287	294,732	7,589,957
Other liabilities	1,008,178	8,301	76,309	1,092,788
Total liabilities	9,311,907	222,230	425,211	9,959,348
Net on statement of financial position	(2,319,073)	493,537	290,896	(1,534,640)

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Figures in GHS `000 | **2025** | **2024**

Financial risk review continued...

7.2.10 Exposure to currency risks

The following table shows the effect of a strengthening or weakening of the GHS against all other currencies on the Bank's profit or loss and equity. This sensitivity analysis indicates the potential impact on profit or loss and equity based upon the foreign currency exposures recorded at 31 December 2025 (see "currency risk" below) and it does not represent actual or future gains or losses.

The sensitivity analysis is based on the percentage difference between the closing exchange rate and the average exchange rate per currency recorded in the course of the respective financial year. A strengthening/weakening of the GHS, by the rates shown in the table, against the following currencies at 31 December 2025 would have increased/decreased profit or loss and consequently equity values by the amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant.

	USD	GBP	EUR	ZAR
2025	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Net assets	(53,617)	(19)	30,609	-
Liabilities on Contingent Credits	(1,706)	-	(6)	-
Net trading position	51,780	(130)	(30,861)	-
Net exposure	(3,543)	(149)	(258)	-
2024				
Net assets	(91,051)	1,652	23,432	-
Liabilities on contingent credits	(405)	-	-	-
Net trading position	92,126	(1,651)	(23,835)	23
Net exposure	670	1	(403)	23

The following exchange rates were applied during the year:

	2025			2024		
	Average	**Year end**	**Change**	**Average**	**Year end**	**Change**
USD	12.3450	10.4500	-15.35%	14.2940	14.7000	2.84%
GBP	16.2349	14.0579	-13,41%	18.2861	18.4008	0.63%
EUR	13.8779	12.2728	-11.57	15.4313	15.2141	-1.41%
ZAR	0.6899	0.6308	-8.57	0.7801	0.7786	-0.20%

	2025			2024		
	%	**Profit or loss/equity impact:**	**Profit or loss/equity impact:**	**%**	**Profit or loss/equity impact:**	**Profit or loss/equity impact:**
	Change	**Strengthening**	**Weakening**	**Change**	**Strengthening**	**Weakening**
USD	-15.35%	(5,681)	5,681	2.84%	(280)	280
GBP	-13,41%	(282)	282	0.63%	(0)	0
EUR	-11.57	366	(366)	-1.41%	86	(86)
ZAR	-8.57	9	(9)	-0.20%	(0)	0

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Financial risk review continued...

7.2.11 Exposure to interest rate risk

The management of interest rate risk against interest rate gap limits is supplemented by monitoring the sensitivity of the Bank's financial assets and liabilities to various standard and non-standard interest rate scenarios. Standard scenarios that are considered on a monthly basis include a 100 and 50 basis point (bps) parallel shift in yields (up and down) for assets and liabilities we hold which reprices within a 12-month period. An analysis of the Bank's sensitivity to an increase or decrease in market interest rates (assuming no asymmetrical movement in yield curves and a constant statement of financial position) is as follows:

	100 bps parallel increase GHS `000	100 bps parallel decrease GHS `000	50 bps parallel increase GHS `000	50 bps parallel decrease GHS `000
31 December 2025				
Average for the year	42,726	(42,726)	21,363	(21,363)
Maximum for the year	123,485	(123,485)	61,742	(61,742)
Minimum for the year	13,677	(13,677)	6,838	(6,838)
31 December 2024				
Average for the year	27,957	(27,957)	13,978	(13,978)
Maximum for the year	39,439	(39,439)	19,719	(19,719)
Minimum for the year	16,983	(16,983)	8,492	(8,492)

Overall non-trading interest rate risk positions are managed by Treasury, which uses investment securities, advances to banks, deposits from banks and derivative instruments to manage the overall position arising from the Bank's non-trading activities.

Cash flow interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Fair value interest rate risk is the risk that the value of a financial instrument will fluctuate because of changes in market interest rates. The Bank takes on exposure to the effects of fluctuations in the prevailing levels of market interest rates on both its fair value and cash flow risks. Interest margins may increase as a result of such changes but may reduce losses in the event that unexpected movements arise. The Board sets limits on the level of mismatch of interest rate repricing and value at risk that may be undertaken, which is monitored daily by the Bank's Treasury. The table below summarises the repricing profiles of the Bank's financial instruments and other assets and liabilities as at 31 December 2025 and at 31 December 2024. Items are allocated to time periods by reference to the earlier of the next contractual interest rate repricing date and the maturity date.

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Figures in GHS `000

Financial risk review continued...

31 December 2025	Less than 3 months GHS `000	3-6 months GHS `000	6-12 months GHS `000	1-5 years GHS `000	Over 5 years GHS `000	Non-interest bearing GHS `000	Total GHS `000
Cash and cash equivalents	4,392,092	353,803	716,026	4,142,431	97,389	22	9,701,763
Investment securities	2,977,593	-	1,335,526	-	1,722,237	370,937	6,406,293
Trading assets	1,937,801	80,484	118,271	-	704,043	32,977	2,873,576
Loans and advances to banks	165,737	-	-	-	-	-	165,737
Loans and advances to customers	9,670,746	29,435	193,266	75,538	26,266	-	9,995,251
Other assets (excluding prepayments)	-	-	-	-	-	757,938	757,938
Total assets	**19,143,969**	**463,722**	**2,363,089**	**4,217,969**	**2,549,935**	**1,161,874**	**29,900,558**
Liabilities							
Borrowings	3,935,685	102,926	39,000	-	-	-	4,077,611
Deposits from banks	446,902	-	339	-	-	-	447,241
Deposits from customers	10,236,928	499,140	971,451	7,478,150	-	-	19,185,669
Other liabilities	-	-	-	-	-	1,350,757	1,350,757
Total liabilities	14,619,515	602,066	1,010,790	7,478,150	-	1,350,757	25,061,278
Total interest re-pricing gap	**4,524,454**	**(138,344)**	**1,352,299**	**(3,260,181)**	**2,549,935**	**(188,883)**	**4,839,280**

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

31 December 2024	GHS `000	GHS `000	GHS `000	GHS `000	GHS `000	GHS `000	GHS `000
Cash and cash equivalents	5,151,119	-	-	-	-	4,696,279	9,847,398
Investment securities	-	-	375,721	2,252,415	2,020,802	-	4,648,938
Trading assets	835,598	114,512	287,875	538,109	2,134	-	1,778,228
Loans and advances to banks	130,166	-	-	-	-	-	130,166
Loans and advances to customers	7,019,520	794,364	99,622	421,304	10,091	-	8,344,901
Other assets (excluding prepayments)	-	-	-	-	-	1,205,824	1,205,824
Total assets	**13,136,403**	**908,876**	**763,218**	**3,211,828**	**2,033,027**	**5,902,103**	**25,955,455**
Liabilities							
Borrowings	2,483,226	1,886	546,286	-	-	-	3,031,398
Deposits from banks	356,370	15,914	-	-	-	-	372,284
Deposits from customers	9,441,655	649,191	1,189,145	6,351,024	-	-	17,631,015
Other liabilities	-	-	-	-	-	1,835,405	1,835,405
Total liabilities	12,281,251	666,991	1,735,431	6,351,024	-	1,835,405	22,870,102
Total interest re-pricing gap	**855,152**	**241,885**	**(972,213)**	**(3,139,196)**	**2,033,027**	**4,066,698**	**3,085,353**

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

7.3 Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Bank's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the Bank's operations and are faced by all business entities.

The Bank's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Bank's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. This responsibility is supported by the development of overall Bank policies for the management of operational risk in the following areas:

- documentation of controls and procedures;
- compliance with regulatory and other legal requirements;
- requirements for appropriate segregation of duties, including the independent authorisation of transactions;
- requirements for the reconciliation and monitoring of transactions;
- requirements for the periodic assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified;
- requirements for the reporting of operational losses and proposed remedial action development of contingency plans;
- training and professional development;
- ethical and business standards; and
- risk mitigation, including insurance where this is effective.

Conformance with Bank policies is supported by annual combined assurance plan executed by the three lines of defense, including Internal Audit. The results of assurance reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Bank.

Notes to the Financial Statements

Figures in GHS `000

Financial risk review continued...

7.4 Capital management

7.4.1 *Gearing ratio*

The gearing ratio at the end of the reporting year was as follows:

	2025 GHS `000	2024 GHS `000
Debt	25,556,763	23,163,726
Cash in hand and balances with Central bank	(5,563,050)	(4,681,807)
Net debt	19,993,713	18,481,919
Equity	5,973,084	4,178,030
Net debt to equity ratio	3.3:5	4.4:2

Banking operations are categorised as either trading book or banking book, and risk-weighted assets are determined according to specified requirements that seek to reflect the varying levels of risk attached to assets and of statement of financial position exposures.

The Bank's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Bank recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

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Financial risk review continued...

7.4.2 Capital adequacy ratio (CAR)

The Bank's objectives when managing capital, which is a broader concept than the 'equity' on the face of the statement of financial position, are:

- To comply with the capital requirements set by Bank of Ghana ("BoG");
- To safeguard the Bank's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored daily by the Bank's management, employing techniques based on the guidelines developed by the Bank and its group (including an Internal Capital Adequacy Assessment Process) as well as the Bank of Ghana as per the Capital Requirement Directive (CRD). The Bank of Ghana requires each bank to maintain a ratio of total regulatory capital to the risk-weighted asset of at least 10%, with an additional capital conservation buffer of 3%. The Bank of Ghana can also prescribe additional capital buffers based on their view of the entity. However, no such buffer has been required of the bank.

The Bank's regulatory capital as managed by its central Treasury is divided into two tiers: Various limits are applied to elements of the capital base. The amount of qualifying term subordinated loan capital may not exceed 50 percent of tier 1 capital. There also are restrictions on the amount of collective impairment allowances that may be included as part of tier 2 capital. Other deductions from capital include the carrying amounts of investments in subsidiaries that are not included in the regulatory consolidation, investments in the capital of banks and certain other regulatory items.

The Bank's Tier capital is divided into two tiers:

Tier 1: Tier 1 capital comprises stated capital arising on permanent shareholders' equity, retained earnings and reserves created (except credit risk reserves).
Tier 2: Under current Capital Requirement Directive (CRD) regime the tier 2 is limited to 3% of RWA.

To help manage the potential impact of the debt exchange program and preserve financial stability, the Bank of Ghana granted the following reliefs to help Banks that participated in the Domestic Debt Exchange Programme (DDEP);

- Reduction in capital conservative buffer from 3% to 0%. Thus, the minimum capital requirement is 10%.
- Losses from GDDEP to be spread over 4 years for the purpose of CAR and Net own Funds computation, effective 2022. This relief is set to end in 2025.
- Increase in Tier 2 capital from a maximum of 2% to 3% of total RWA.
- Reduction in Minimum CET1 from 6.5% to 5.5%.
- Increase in allowable portion of property revaluation gains for Tier 2 capital from 50% to 60%.
- Risk weight is 0% for new bonds and 100% for old bond.
- In determining exposures for banks and SDIs, new bonds are deductible but old bonds are not.

In December 2025, the Central Bank issue a directive that ended the application of the above reliefs for the year ended December 2025. As a result the Capital Adequacy Ratio (CAR) for 2025 has been determined on normalized basis without these reliefs, and the prior year (2024) has also since been restated accordingly.

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Financial risk review continued...

The table below summarises the composition of regulatory capital and the ratios of the Bank for the years ended 31 December 2025 (after removing the capital reliefs provided by the regulator that ended in 2025) with 2024 re-stated along the same rules. During those two years, the Bank complied with all of the externally imposed capital requirements to which it is subject to.

	2025 GHS `000	2024 GHS `000
Tier 1 capital		
Stated capital	400,000	400,000
Statutory reserve	1,142,969	922,668
Income surplus account	4,217,917	2,708,111
Capital reliefs	-	-
Total qualifying tier 1 capital	5,760,886	4,030,779
Net Tier 1 Capital	5,760,886	4,030,779
Other regulatory adjustments	(802,552)	(821,113)
Tier 1 Capital	4,958,334	3,209,666
Tier 2 capital		
Other reserves	35,689	30,032
Total qualifying tier 2 capital	35,689	30,032
Total regulatory capital	4,994,023	3,239,698
1.0 Credit risk	12,430,621	10,819,630
2.0 Operational risk	6,790,817	5,372,606
3.0 Market risk	360,602	562,348
Total risk weighted assets	19,582,040	16,754,584
Tier 1/ RWA	25.32%	19.16%
CET1/ RWA	25.32%	19.16%
Capital Adequacy Ratio (CAR)	25.50%	**19.34%
Leverage Ratio	14.14%	11.30%

*****CAR for 2024 with the reliefs was 20.77%.***

7.43 Capital allocation

Although maximization of the return on risk-adjusted capital is the principal basis used in determining how capital is allocated within the Bank to various businesses, it is not the sole basis used for decision making. Account also is taken of synergies with other operations and activities, the availability of management and other resources, and the fit of the activity with the Bank's longer-term strategic objectives. The Bank's policies in respect of capital management and allocation are reviewed regularly by the Board of directors.

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8. Fair values of financial instruments

8.1 *Fair value hierarchy*

The Bank measures fair values using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements.

Level 1: Inputs that are quoted market prices (unadjusted) in active markets for identical instruments.

Level 2: Inputs other than quoted prices included within Level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data.

Level 3: inputs that are unobservable. This category includes all instruments for which the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which market observable prices exist and other valuation models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premiums used in estimating discount rates, bond prices, foreign currency exchange rates and expected price volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date.

The Bank uses widely recognised valuation models for determining the fair value of common and more simple financial instruments that use only observable market data and require little management judgement and estimation. Observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded derivatives and simple over-the-counter derivatives. Availability of observable market prices and model inputs reduces the need for management judgement and estimation and also reduces the uncertainty associated with determining fair values. Availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

Fair value estimates are adjusted for any other factors, such as liquidity risk or model uncertainties, to the extent that the Bank believes that a third-party market participant would take them into account in pricing a transaction. Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the counterparty where appropriate. For measuring derivatives that might change classification from being an asset to a liability or vice versa, fair values take into account both credit valuation adjustment (CVA) and debit valuation adjustment (DVA) when market participants take this into consideration in pricing the derivatives.

If the Bank measures portfolios of financial assets and financial liabilities on the basis of net exposures to market risks, then it applies judgement in determining appropriate portfolio-level adjustments such as bid-ask spreads. Such adjustments are derived from observable bid-ask spreads for similar instruments and adjusted for factors specific to the portfolio. Similarly, when the Bank measures portfolios of financial assets and financial liabilities on the basis of net exposure to the credit risk of a particular counterparty, then it takes into account any existing arrangements that mitigate the credit risk exposure.

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Fair values of financial instruments continued...

Financial instruments not measured at fair value

The following table sets out the fair values of financial instruments not measured at fair value through OCI. Financial instruments not held at fair value comprises loans and advances to banks, loans and advances to customers, deposits from banks, deposits from customers, other assets (excluding prepayments) and other liabilities.

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Fair values of financial instruments continued...

	2025		2024	
	Carrying amount	Fair value-Level 2	Carrying amount	Fair value-Level 2
	GHS `000	GHS `000	GHS `000	GHS `000
Financial assets				
Cash and cash equivalents	9,701,763	6,489,808	9,847,398	8,263,324
Investment securities	3,730,482	3,730,482	4,062,627	4,062,627
Loans and advances to banks	165,737	165,737	130,167	130,167
Loans and advances to customers	9,995,251	9,692,460	8,344,900	8,021,581
Other assets	757,938	757,938	1,205,823	1,205,823
Total	**24,351,171**	**20,836,425**	**23,590,915**	**21,683,522**
Financial liabilities				
Borrowings	4,077,611	4,077,611	3,031,398	3,031,398
Deposits from banks	447,421	447,421	372,284	372,284
Deposits from customers	19,185,669	19,185,669	17,631,015	17,631,015
Other liabilities	1,350,757	1,350,757	1,835,405	1,835,405
Total	**25,061,458**	**25,061,458**	**22,870,102**	**22,870,102**

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i) Loans and advances to banks and customers

Loans and advances to banks include inter-bank placements and items in the course of collection. The estimated fair value of fixed interest-bearing advances is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and remaining maturity.

Loans and advances to customers are net of charges for impairment. The estimated fair value of loans and advances to customers represents the discounted amount of estimated future cash flows expected to be received.

ii) Investment securities

These investment securities are measured at amortised cost. The estimated fair value represents the discounted amount of estimated future cash flows expected to be received.

iii) Borrowings, deposits from banks and deposits from customers

The estimated fair value of deposits with no stated maturity, which includes non-interest bearing deposits, is the amount repayable on demand. The estimated fair value of fixed interest-bearing deposits not quoted in an active market is based on discounted cash flows using interest rates for new debts with similar remaining maturity.

iv) Other assets (excluding prepayments)

The estimated fair value of other assets excluding prepayments represents the discounted amount of estimated future cash flows expected to be received.

v) Other liabilities

The estimated fair value of other liabilities is based on discounted cash flows using prevailing money-market interest rates for debts with similar risk and remaining maturity. The carrying amount approximates their fair value.

vi) Off-statement of financial position items

The estimated fair values of the off-statement of financial position financial instruments are based on market prices for similar facilities. When this information is not available, fair value is estimated using discounted cash flow analysis.

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Fair values of financial instruments continued...

Financial instruments measured at fair value

The following table analyses financial instruments measured at fair value at the reporting date, by the level in the fair value hierarchy into which the fair value measurement is categorised. The amounts are based on the values recognised in the statement of financial position. The fair values include any deferred differences between the transaction price and the fair value on initial recognition when the fair value is based on a valuation technique that uses unobservable inputs.

31 December 2025	**Notes**	**Level 2 GHS `000**	**Level 3 GHS `000**	**Total GHS `000**
Financial assets				
Fair value through profit or loss				
Non-pledged trading assets	20	2,077,732	446,655	2,524,387
Pledged trading assets	20	36,734	312,456	349,190
Derivative assets	21	61,184	-	61,184
Total		**2,175,650**	**759,111**	**2,934,761**
Fair value through OCI				
Investment securities	24	6,355,854	50,439	6,406,293
Total		**8,531,504**	**809,550**	**9,341,054**
Financial liabilities				
Fair value through profit or loss				
Derivative liabilities	21	199,241	-	199,241
Total		**199,241**	**-**	**199,241**

31 December 2024	**Note**	**Level 2 GHS `000**	**Level 3 GHS `000**	**Total GHS `000**
Financial assets				
Fair value through profit or loss				
Non-pledged trading assets	20	848,606	358,132	1,206,738
Pledged trading assets	20	277,794	293,694	571,488
Derivative assets	21	87,444	-	87,444
Total		1,213,844	651,826	1,865,670
Fair value through OCI				
Investment securities	24	311,823	274,488	586,311
Total		**1,525,667**	**926,314**	**2,451,981**
Financial liabilities				
Fair value through profit or loss				
Derivative liabilities	21	33,838	-	33,838
Total		**33,838**	**-**	**33,838**

Notes to the Financial Statements

Figures in GHS `000

Fair values of financial instruments continued...

Level 3 fair value measurements

During the current year, due to changes in market conditions for certain investment securities, quoted prices in active markets were no longer available for these securities. However, there was sufficient information available to measure the fair values of these securities based on observable market inputs.

i) *Reconciliation*

The following table shows a reconciliation from the beginning balances to the ending balances for fair value measurements in Level 3 of the fair value hierarchy.

31 December 2025	**Trading assets**	**Investment securities**	**Total**
	GHS `000	**GHS `000**	**GHS `000**
Balance at 1 January	630,573	274,488	905,061
Total gains/(losses):			
in profit or loss	(1,119)	(15,685)	(16,804)
in OCI	-	95,390	95,390
Purchases	303,685	-	303,685
Settlement	(174,028)	(303,754)	(477,782)
Total	**759,111**	**50,439**	**809,550**

31 December 2024	**Trading assets**	**Investment securities**	**Total**
	GHS `000	**GHS `000**	**GHS `000**
Balance at 1 January	630,112	229,157	859,269
Total gains/(losses):			
in profit or loss	(12,521)	26,362	13,841
in OCI	-	35,014	35,014
Purchases	46,898	-	46,898
Settlement	(33,916)	(16,045)	(49,961)
Total	**630,573**	**274,488**	**905,061**

Total gains or losses for the year in the above table are presented in the statement of profit or loss and OCI as follows:

31 December 2025	**Trading assets**	**Investment securities**	**Total**
	GHS `000	**GHS `000**	**GHS `000**
Recognised in profit or loss:			
Net trading income	(1,119)	-	(1,119)
Recognised in OCI:			
Fair value reserve on FVOCI instruments	-	95,390	95,390

Notes to the Financial Statements

Figures in GHS `000

Fair values of financial instruments continued...

31 December 2024	Trading assets GHS `000	Investment securities GHS `000	Total GHS `000
Recognised in profit or loss:			
Net trading income	(12,521)	-	(12,521)
Recognised in OCI:			
Fair value reserve on FVOCI instruments	-	35,014	35,014

Included in net trading income in profit or loss is an amount of GHS 90.5 million (2024: GHS 40 million) attributable to the change in unrealised gains and losses relating to assets and liabilities held at the end of the year:

ii) ***Unobservable inputs used in measuring fair value***

The following table sets out information about significant unobservable inputs used in measuring financial instruments categorised as Level 3 in the fair value hierarchy.

Type of financial instrument	Fair values at 31 December 2025 GHS `000	Valuation techniques	Significant unobservable input
Bonds- At fair value through profit or loss	759,111	Discounted cash flow.	Increased expected market rate.
Bonds- At fair value	50,439	Discounted cash flow.	Increased expected market rate.

Type of financial instrument	Fair values at 31 December 2024 GHS `000	Valuation techniques	Significant unobservable input
Bonds- At fair value through profit or loss	630,573	Discounted cash flow.	Increased expected market rate.
Bonds- At fair value through OCI	274,488	Discounted cash flow.	Increased expected market rate.

ii) ***Unobservable inputs used in measuring fair value (continued)***

The range of market rates (unobservable input) used in estimating the fair value of bonds measured at fair value through profit or loss and bonds measured at fair value through other comprehensive income was up to 23%. The fair value measurement is sensitive to the market rate, any significant increases in any of these inputs in isolation would result in lower fair values.

Significant unobservable inputs are developed as follows:

- Expected marketed rates are derived from the bond market and adjusted for the deterioration of credit quality given historical credit spreads.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Fair values of financial instruments continued...

v) ***The effect of unobservable inputs on fair value measurement***

Although the Bank believes that its estimates of fair value are appropriate, the use of different methodologies or assumptions could lead to different measurements of fair value. For fair value measurements in Level 3, changing one or more of the assumptions used as reasonably possible alternative assumptions would have the following effects.

	Effect on profit or loss		Effect on OCI	
31 December 2025	**Favourable**	**(Unfavourable)**	**Favourable**	**(Unfavourable)**
	GHS `000	**GHS `000**	**GHS `000**	**GHS `000**
Trading assets	19,571	(18,762)	-	-
Investment securities	-	-	299	(294)
Total	**19,571**	**(18,762)**	**299**	**(294)**

	Effect on profit or loss		Effect on OCI	
31 December 2024	**Favourable**	**(Unfavourable)**	**Favourable**	**(Unfavourable)**
	GHS `000	**GHS `000**	**GHS `000**	**GHS `000**
Trading assets	12,452	(12,452)	-	-
Investment securities	-	-	3,446	(3,446)
Total	**12,452**	**(12,452)**	**3,446**	**(3,446)**

The favourable and unfavourable effects of using reasonably possible alternative assumptions for the valuation of investment securities have been calculated by recalibrating the model values using unobservable inputs based on averages of the upper and lower quartiles respectively of the Bank's ranges of possible estimates. The most significant unobservable inputs relate to risk-adjusted discount rates.

Fair values of financial instruments continued...

Valuation techniques

The table below sets out information about the valuation techniques applied at the end of the reporting period in measuring assets and liabilities whose fair value is categorised as Level 2 in the fair value hierarchy. A description of the nature of the techniques used to calculate valuations based on observable inputs and valuations is set out in the table below:

Category	Valuation technique applied	Assumptions used
Derivatives	Derivative products valued using a valuation technique with market observable inputs are mainly currency swaps and forward foreign exchange contracts. The most frequently applied valuation techniques include forward pricing and swap models, using present value calculations.	The models incorporate various inputs including the credit quality of counterparties, foreign exchange spot and forward rates and interest rate curves.
Fair value through OCI (Non derivative)	Assets primarily consist of debt securities and are valued using valuation techniques such as discounted cash flow models or other pricing models.	These assets are valued using models that use both observable and significant unobservable data including bond yields and time to maturity.

Fair values of financial instruments continued...

Fair value through profit or loss (Non derivative)	Assets consist mainly of trading bills and bonds and are valued using a valuation technique which consists of certain debt securities issued by the Government of Ghana. The Bank values the securities using discounted cash flow valuation models which incorporate observable and unobservable data.	Observable inputs include assumptions regarding current rates of interest and yield curves.

Operating segments

For management purposes, the Bank is organised into three business segments based on products and services as follows:

Retail and Business banking
Provides loans and overdrafts, as well as handles the deposits and other transactions of individual and Business Banking customers such as funds transfers, standing orders and ATM card services.

Corporate Banking
Principally responsible for providing loans and other credit facilities, as well as deposits and other transactions and services to corporate clients.

Sales and Trading
Primarily undertakes fixed income and foreign exchange trading.

Notes to the Financial Statements

Figures in GHS `000

Fair values of financial instruments continued...

	Retail and Business banking	Sales and Trading	Corporate Banking	Total
2025	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Interest income- External	3,087,670	-	599,557	3,687,227
Interest expense- External	(659,846)	-	(225,377)	(885,223)
Net interest income	2,427,824	-	374,180	2,802,004
Net fee and commission income- External	379,448	-	150,552	530,000
Net fee and commission income	379,448	-	150,552	530,000
Net trading income- External	104,086	945,545	-	1,049,631
Other income- External	3,460	(21)	26	3,465
Operating income	2,914,818	945,524	524,758	4,385,100
Credit impairment	(108,710)	-	105,389	(3,321)
Net operating income	2,806,108	945,524	630,147	4,381,779
Depreciation and amortisation	(62,274)	(284)	(886)	(63,444)
Operating expenses	(1,159,934)	(153,790)	(262,510)	(1,576,234)
Profit before tax	1,583,900	791,450	366,751	2,742,101
Taxation	(438,844)	(288,579)	(252,267)	(979,690)
Profit for the year	1,145,056	502,871	114,484	1,762,411
Reportable segment assets	17,010,431	2,992,750	11,526,666	31,529,847
Reportable segment liabilities	12,888,446	2,190,057	10,478,260	25,556,763

No individual customer contributed to 10% or more of the Bank's revenue.

Notes to the Financial Statements

Figures in GHS `000

Fair values of financial instruments continued...

	Retail and Business banking	Sales and Trading	Corporate Banking	Total
2024	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Interest income- External	2,451,780	-	736,085	3,187,865
Interest income- Internal	-	-	-	-
Interest expense- External	(532,791)	-	(259,315)	(792,106)
Net interest income	1,918,989	-	476,770	2,395,759
Net fee and commission income- External	275,784	(357)	171,402	446,829
Net fee and commission income	275,784	(357)	171,402	446,829
Net trading income- External	22,191	583,723	124	606,038
Other income- External	725	-	-	725
Operating income	2,217,689	583,366	648,296	3,449,351
Credit impairment	(274,797)	-	10,033	(264,764)
Net operating income	1,942,892	583,366	658,329	3,184,587
Depreciation and amortisation	(45,034)	(348)	(548)	(45,930)
Operating expenses	(926,976)	(107,346)	(231,554)	(1,265,876)
Profit before tax	970,882	475,672	426,227	1,872,781
Taxation	(239,448)	(175,761)	(262,843)	(678,052)
Profit for the year	731,434	299,911	163,384	1,194,729
Reportable segment assets	15,671,951	1,636,409	10,036,670	27,345,030
Reportable segment liabilities	12,347,849	1,359,755	9,459,397	23,167,001

Notes to the Financial Statements

Figures in GHS `000

Fair values of financial instruments continued...

	2025 GHS `000	2024 GHS `000
Reconciliation of Segment Revenues		
Total income for reportable segments and Bank	4,385,100	3,449,351
Reconciliation of Profit or Loss		
Total profit or loss for reportable segments before tax and Bank	2,742,101	1,872,781
Reconciliation of assets and liabilities		
Total assets for reportable segments and Bank	31,529,847	27,345,030
Total liabilities for reportable segments and Bank	25,556,763	23,167,001
Geographic information		
Ghana		
Revenue	4,367,816	3,440,100
Non-current assets (property and equipment, intangible assets)	726,092	547,808
Outside Ghana	-	-
Revenue*	17,284	9,251
Non-current assets (property and equipment, intangible assets)	-	-

Notes to the Financial Statements

Figures in GHS `000	2025	2024

9. Net fees and commission income

Disaggregation of fee and commission income

Fees and commission income		
Account services	101,573	65,579
Transactional	313,271	292,811
Services*	105,150	80,566
Bancassurance**	25,223	17,375
Total fee and commission income from contracts with customers	545,217	456,331
Financial guarantee contracts and loan commitments	9,470	12,325
Total fee and commission income	**554,687**	**468,656**
Fees and commission expense		
Interbank transaction fees	(24,687)	(21,827)
Total fees and commission expense	(24,687)	(21,827)
Net fees and commission income	**530,000**	**446,829**

*This includes brokerage fees, ATM fees and fees on other financial services.

**Bancassurance business
Revenue earned from the Bancassurance business amounted to GHS 25,223,000 (2024: GHS 17,375,000). The associated expense was GHS 16,420,000 (2024: GHS 11,660,000).

The fees and commission presented include income of GHS 9,137,839 (2024: GHS 11,372,012) and nil expenses related to financial assets and financial liabilities not measured at FVTPL. These figures exclude amounts incorporated in determining the effective interest rate on such financial assets.

Contract balances

At 31 December 2025, the contract liabilities included in 'other liabilities' were GHS 3,966,000 (2024: GHS3,256,000).

The contract liabilities primarily relate to the non-refundable up-front fees received from customers for services rendered. This is recognised as revenue over the period for which a customer is expected to continue receiving these services.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

10. Net interest income

10.1 Interest income comprises:

Loans and advances to banks	254,628	222,079
Loans and advances to customers	1,824,552	1,833,617
Investment securities at amortised cost	477,574	446,185
Financial assets measured at amortised cost	2,556,754	2,501,881
Investment securities at FVOCI	1,130,473	685,984
Total interest income calculated using effective interest method	**3,687,227**	**3,187,865**
Total interest income	**3,687,227**	**3,187,865**

10.2 Interest expense

Deposits from banks and borrowings	(127,508)	(214,562)
Deposit from customers	(750,815)	(571,447)
	(878,323)	(786,009)
Financial liabilities measured at amortised cost		
Lease liabilities	(6,900)	(6,097)
Total interest expense	**(885,223)**	**(792,106)**
Net interest income	**2,802,004**	**2,395,759**

Included within the three (3) categories under interest income for the year ended 31 December 2025 is a total of GHS 9,822,050 (2024: GHS 2,837,377) accrued on impaired financial assets.

Interest income derived from Vehicle and Asset Financing during the year was GHS 70,887,838 (2024: GHS 58,826,173).

11. Net trading income

Net trading income comprises:

Dealing income from FX trading	289,593	170,209
Gains on trading bonds and bills	760,038	435,829
Total other income	**1,049,631**	**606,038**

12. Other operating income

Other operating income comprise:

Gain on disposal of property and equipment (Note 26.3)	489	281
Sundry	2,976	444
Total other gains and (losses)	**3,465**	**725**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

13. Impairment loss on financial assets

Impairment release - Cash and cash equivalents	20,965	12,702
Impairment charge - Loans and advances to Customers	(89,554)	(334,912)
Impairment release - Investments, LCs & Guarantees	24,811	29,559
Impairment release - Recoveries	40,457	27,887
	(3,321)	**(264,764)**

Included in the impairment expense - Investment security is GHS 12,066,051 (GHS 9,049,538 net of deferred tax) relating to ECL on Investment at FVOCI.

14. Personnel expenses

Personnel expenses comprises:

Wages and salaries	(578,710)	(434,257)
Share-based payments	(42,800)	(25,507)
Social security and provident funds	(72,762)	(55,640)
Post retirement medical cost	(66,051)	(51,478)
Other staff costs	(179,633)	(164,031)
Total employee benefits expense	**(939,956)**	**(730,913)**

Other staff costs include payments for employee medical costs, temporary staff costs and other staff related costs.
Total number of employees at 31 December was 1,299. (2024: 1,200)

Notes to the Financial Statements

Figures in GHS `000

15. Other expenses

Other expenses comprise:

Advertising	(23,551)	(24,182)
Audit related services	(3,000)	(2,300)
Communication, stationery and IT costs	(119,391)	(119,180)
Corporate Social Responsibility	(2,567)	(1,793)
Directors fees	(2,537)	(3,217)
Other administrative and operational costs	(269,483)	(204,007)
Repairs and maintenance	(44,174)	(42,161)
Transport, indirect taxes & professional services	(171,575)	(138,123)
Total other expenses	**(636,278)**	**(534,963)**

Included in other administrative and operational cost is management and technical service recharges of GHS 143.9m (2024: 112.9m)
It also include an amount of GHS 48.0m (2024: 44.4m) and GHS 41.2m (2024: 26.8m) for deposits insurance premium and card scheme licences and network costs respectively.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

16. Earnings per share

Basic and diluted earnings per share

The calculation of basic and diluted EPS has been based on the following profit attributable to ordinary shareholders and weighted-average number of ordinary shares outstanding.

Profit attributable to ordinary shareholders (basic and diluted)		
Profit for the year attributable to equity holders of the Bank	1,762,411	1,194,729
Weighted-average number of ordinary shares (basic and diluted)		
Issued number of ordinary shares	89,993	89,993
Weighted-average number of ordinary shares at 31 December	89,993	89,993
Earnings per share (EPS)	19.58	13.28

Notes to the Financial Statements

Figures in GHS `000	2025	2024

17. Income tax expense

17.1 Amounts recognised in profit or loss:

Current tax		
Current tax expense	894,455	735,811
Deferred tax		
Originating and reversing temporary differences	85,235	(57,759)
Total income tax expense	**979,690**	**678,052**

Included in current tax is a Growth and Sustainability Levy amounting to GHS 137,091,828 (2024:GHS 93,639,000) and Financial sector recovery levy of GHS 137,091,828 (2024:GHS 93,639,000). The Growth and Sustainability Levy and Financial Sector Recovery Levy are assessed under The Growth and Sustainability Levy Act 2023 (Act 1095) and the Financial Sector Recovery Levy Act, 2021 (Act 1067) respectively, at 5% on accounting profit. The Financial Sector Recovery Level was effective 1 April 2021. Both levies are not tax deductible.

Notes to the Financial Statements

Figures in GHS `000

Income tax expense continued...

17.2 Current tax (assets)/liabilities

	Balance at 1 Jan	Charge for the year	Payments during the year	Utilisation of tax credit	Balance at 31 Dec
2025	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Corporate tax					
2023	(22,920)	-	-	-	(22,920)
2024	24,720	-	(7,163)	-	17,557
2025	-	620,271	(616,830)	-	3,441
Total	**1,800**	**620,271**	**(623,993)**	**-**	**(1,922)**

	Balance at 1 Jan	Charge for the year	Payments during the year	Utilisation of tax credit	Balance at 31 Dec
2024	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Corporate tax					
2022	21,949	-	-	(21,949)	-
2023	(22,920)	-	-	-	(22,920)
2024	-	548,533	(472,059)	(51,754)	24,720
Total	**(971)**	**548,533**	**(472,059)**	**(73,703)**	**1,800**

Notes to the Financial Statements

Figures in GHS `000

Income tax expense continued...

17.3 Growth and Sustainability Levy

2025	Balance at 1 Jan GHS `000	Charge for the year GHS `000	Payments during the year GHS `000	Utilisation of tax credit GHS `000	Balance at 31 Dec GHS `000
Corporate tax					
2023	(6,336)	-	-	-	(6,336)
2024	1,109	-	-	-	1,109
2025	-	137,092	(135,873)	-	1,219
Total	**(5,227)**	**137,092**	**(135,873)**	**-**	**(4,008)**

2024	Balance at 1 Jan GHS `000	Charge for the year GHS `000	Payments during the year GHS `000	Utilisation of tax credit GHS `000	Balance at 31 Dec GHS `000
Corporate tax					
2022	(43,188)	-	-	43,188	-
2023	(6,336)	-	-	-	(6,336)
2024	-	93,639	(92,530)	-	1,109
Total	**(49,524)**	**93,639**	**(92,530)**	**43,188**	**(5,227)**

Notes to the Financial Statements

Figures in GHS `000

Income tax expense continued...

17.4 Financial sector recovery levy

	Balance at 1 Jan	Charge for the year	Payments during the year	Utilisation of tax credit	Balance at 31 Dec
2025	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Corporate tax					
2023	(19,516)	-	-	-	(19,516)
2024	1,109	-	-	-	1,109
2025	-	137,092	(135,873)	-	1,219
Total	**(18,407)**	**137,092**	**(135,873)**	**-**	**(17,188)**

	Balance at 1 Jan	Charge for the year	Payments during the year	Utilisation of tax credit	Balance at 31 Dec
2024	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Corporate tax					
2021	(43,696)	-	-	30,515	(13,181)
2023	(6,335)	-	-	-	(6,335)
2024	-	93,639	(92,530)	-	1,109
Total	**(50,031)**	**93,639**	**(92,530)**	**30,515**	**(18,407)**
Total tax assets - 2025	(21,834)	894,455	(895,739)	-	(23,118)
Total tax assets - 2024	(100,526)	735,811	(657,119)	-	(21,834)

Tax positions up to the 2022 year of assessment have been agreed with the tax authorities. The remaining tax position is subject to agreement with the tax authorities.

Notes to the Financial Statements

Figures in GHS `000

Income tax expense continued...

17.5 The income tax for the year can be reconciled to the accounting profit as follows: (Value reconciliation)

	2025 %	2025 GHS `000	2024 %	2024 GHS `000
Profit before tax from operations		2,742,101		1,872,781
Income tax calculated at 25.0%		685,525		468,195
Tax effect of:				
Income tax using domestic tax rate	-	685,459	25.00	468,196
National stabilisation levy	-	137,092	5.00	93,639
Financial sector recovery levy	-	137,092	5.00	93,639
Non-deductible expenses	-	20,097	25.00	22,667
Tax incentives	-	(50)	0.25	(89)
Change in estimate related to prior years	-	-	(0.03)	-
Tax expenses	**35.73**	**979,690**	**36.21**	**678,052**

Notes to the Financial Statements

Figures in GHS `000

18. Classification of financial assets and financial liabilities

The following table provides a reconciliation between the line items in the statement of financial position and categories of financial instruments.

2025	Fair value through profit or loss GHS `000	Fair value through OCI GHS `000	Amortised cost GHS `000	Total GHS `000
Cash and cash equivalents	-	3,211,955	6,489,808	9,701,763
Non-pledged trading assets	2,524,387	-	-	2,524,387
Pledged trading assets	349,190	-	-	349,190
Derivative assets	61,184	-	-	61,184
Loans and advances to banks	165,737	-	-	165,737
Loans and advances to customers	-	-	9,995,251	9,995,251
Investment securities	-	2,675,811	3,730,482	6,406,293
Other assets	-	-	765,467	765,467
Total financial assets	**3,100,498**	**5,887,766**	**20,981,008**	**29,969,272**
Borrowings	-	-	4,077,611	4,077,611
Derivative liabilities	199,241	-	-	199,241
Deposits from banks	-	-	447,421	447,421
Deposits from customers	-	-	19,185,669	19,185,669
Other liabilities	-	-	1,350,757	1,350,757
Total financial liabilities	**199,241**	**-**	**25,061,458**	**25,260,699**

Notes to the Financial Statements

Figures in GHS `000

Classification of financial assets and financial liabilities continued...

2024	Fair value through profit or loss GHS `000	Fair value through OCI GHS `000	Amortised cost GHS `000	Total GHS `000
Cash and cash equivalents	-	1,612,234	8,235,163	9,847,397
Non-pledged trading assets	1,206,738	-	-	1,206,738
Pledged trading assets	571,488	-	-	571,488
Derivative assets	87,444	-	-	87,444
Loans and advances to banks	130,167	-	-	130,167
Loans and advances to customers	-	-	8,344,900	8,344,900
Investment securities	-	586,311	4,062,627	4,648,938
Other assets	-	-	1,218,168	1,218,168
Total financial assets	**1,995,837**	**2,198,545**	**21,860,858**	**26,055,240**
Borrowings	-	-	3,031,398	3,031,398
Derivative liabilities	33,838	-	-	33,838
Deposits from banks	-	-	372,284	372,284
Deposits from customers	-	-	17,631,015	17,631,015
Other liabilities	-	-	1,835,405	1,835,405
Total financial liabilities	**33,838**	**-**	**22,870,102**	**22,903,940**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

19. Cash and cash equivalents

	2025	2024
	GHS `000	GHS `000
Mandatory balances with Central Bank	2,950,825	2,683,337
Unrestricted balances with Bank of Ghana	329,656	701,757
Cash and balances with Banks	3,216,522	4,878,230
Money Market Placements	3,211,955	1,612,234
Cash and cash equivalent per statement of cash flows	9,708,958	9,875,558
Expected credit loss- Cash	(7,195)	(28,160)
Cash and cash equivalent per statement of financial position	**9,701,763**	**9,847,398**

In 2024, the Bank of Ghana (BoG) revised the requirement for cash reserves for all Banks in Ghana. This replaced the single reserve rate of 15% that was in place as at Dec 2023. The new requirement was tiered based on the Loan to Deposit (L/D) ratio for the prescribed cut off period to be applied for the ensuing month. Below is the summary of the new requirement thresholds.

	Reserve Ratio
• Banks with loan-to-deposit ratio of 55% and above	15%
• Banks with loan-to-deposit ratio of between 40% - 55%	20%
• Banks with loan-to-deposit ratio of less than 40% - 55%	25%

In June 2025, the Central Bank directed all banks to maintain the Cash Reserve Ratio(/CRR) in their respective currencies i.e foreign currency reserves for foreign currency deposits and domestic currency reserves for domestic currency deposits
Cash in hand, items in course of collection and balances with Central Bank are non-interest-bearing. In addition, the Central Bank requires banks to reserve 100% on all Vostro balances, that is, balances held by other banks with Absa.

At the reporting date, the Bank recorded a bank ledger balance of GHS 4,019 million (2024: GHS 5,032 million) in its statement of financial position as compared to the bank statement balance of GHS 3,908 million (2024: GHS 5.072 million). The transactions making up the difference between the bank ledger balance and the bank statement balance totalling GHS 111 million (2024: GHS 40 million) includes various reconciling items such as unpresented cheques, uncredited lodgements and unresolved debit and credit items on the bank statements. Subsequent to the year end, reconciling items amounting to GHS 111 million (2024: GHS 40 million) were resolved and reflected in the financial statement as appropriate.

As at 31 December 2025, the Bank's L/D ratio was above 55% and so held cash reserve at the 15% threshold.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

20. Trading assets

Trading assets comprise the following balances

Bills - At fair value through profit or loss	2,114,466	1,484,582
Bonds - At fair value through profit or loss	759,111	293,694
	2,873,577	**1,778,276**
Non-pledged trading assets	2,524,387	1,206,738
Pledged trading assets	349,190	571,488
Total	**2,873,577**	**1,778,226**

Trading bills and bonds are debt securities issued by the Government of Ghana through Bank of Ghana and Corporate entities. The pledged assets were in furtherance of liquidity activity with balance for 2025 of GHS 920.5m (2024: 525.8m)

Notes to the Financial Statements

Figures in GHS `000

21. Derivative assets

Derivative assets comprise the following balances

2025	Notional Contract Amount	Assets	Liabilities
	GHS `000	GHS `000	GHS `000
Absa	(162,316)	25,621	192,079
Others	18,078	35,563	7,162
Total	**(144,238)**	**61,184**	**199,241**

2024	Notional Contract Amount	Assets	Liabilities
	GHS `000	GHS `000	GHS `000
Absa	21,373	34,434	14,285
Others	41,624	53,010	19,553
Total	**62,997**	**87,444**	**33,838**

Some of the derivative positions held at the respective year ends were subject to master netting agreements.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

22. Loans and advances to banks

Loans and advances to banks comprise the following balances

At Fair value through profit or loss (FVTPL)*		
Loans and advances to banks	165,737	130,166
Non-current assets	-	-
Current assets	165,737	130,166
	165,737	**130,166**

*- These are loans and advances to banks held by the Bank's trading business.

23. Loans and advances to customers

23.1 Loans and advances to customers comprise the following balances

2025	Retail customers GHS `000	Corporate customers GHS `000	Business banking GHS `000	Total GHS `000
At amortised cost				
Corporate overdrafts and specialised loans	-	5,134,373	2,160,925	7,295,298
Mortgages	463,045	-	-	463,045
Loans and advances to customers	3,019,770	-	-	3,019,770
Credit cards	60,964	-	-	60,964
Overdrafts	18,511	-	-	18,511
Gross loans and advances to customers	**3,562,290**	**5,134,373**	**2,160,925**	**10,857,588**
Less:				
Allowances for impairment	(393,080)	(265,821)	(203,436)	(862,337)
Net loans and advances to customers	**3,169,210**	**4,868,552**	**1,957,489**	**9,995,251**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Loans and advances to customers continued...

2024	Retail customers GHS `000	Corporate customers GHS `000	Business banking GHS `000	Total GHS `000
At amortised cost				
Corporate overdrafts and specialised loans	-	4,728,043	1,887,713	6,615,756
Mortgages	365,658	-	-	365,658
Loans and advances to customers	2,250,835	-	-	2,250,835
Credit cards	38,489	-	-	38,489
Overdrafts	9,081	-	-	9,081
Gross loans and advances to customers	**2,664,063**	**4,728,043**	**1,887,713**	**9,279,819**
Less:				
Allowances for impairment	(368,209)	(333,196)	(233,514)	(934,919)
Net loans and advances to customers	**2,295,854**	**4,394,847**	**1,654,199**	**8,344,900**

23.2 Allowances for impairment

Movement in impairment loss allowance		
Balance at 1 January	934,919	600,143
Impairment losses recognised	89,554	334,912
Write offs	(162,136)	(136)
Balance at 31 December	**862,337**	**934,919**

Analysis of gross loans and advances by type of customer		
Government	34,062	69,342
Public institutions and Enterprises	507,816	534,642
Private enterprises	6,753,421	6,011,773
Individuals	3,562,289	2,664,062
Banks	165,737	130,167
Total	**11,023,325**	**9,409,986**

Analysis of gross loans by maturity		
Current	6,408,437	5,672,000
Non-current	4,614,888	3,737,986
Total	**11,023,325**	**9,409,986**

23.3 Loan ratios

Impairment charge to gross loans	(0.03%)	2.85%
Loan loss ratio	7.94%	10.07%
Gross non-performing loan ratio	16.98%	15.49%
50 largest exposures to total exposure	54.18%	59.80%

Total non-performing loans amounted to GHS 1,602,464 (2024: GHS 1,255,563).

Notes to the Financial Statements

Figures in GHS `000	2025	2024

24. Investment in securities

Investment in securities comprise:

Treasury bills	2,625,372	311,823
Treasury bonds at FVOCI	50,439	274,488
Total	**2,675,811**	**586,311**
Bonds at amortised cost	3,730,482	4,062,627
Total	**6,406,293**	**4,648,938**
Current portion	2,625,372	311,823
Non-current portion	3,780,921	4,337,115
Total	**6,406,293**	**4,648,938**

Notes to the Financial Statements

Figures in GHS `000	2025	2024
Investment in securities continued...		
Reconciliation of investment securities at FVOCI		
Balance at 1 January	586,311	229,156
Additions	2,292,230	313,859
Modified and derecognition /Disposal	(276,760)	(29,553)
Accrued interest	1,737	13,116
Fair value release to profit/ loss on derecognised assets	66,636	25,519
Changes in fair value	5,657	34,214
Balance at 31 December	**2,675,811**	**586,311**
Reconciliation of investment securities- at amortised cost		
Balance at 1 January	4,062,627	3,485,687
Additions	-	-
Matured	(128,263)	(118,896)
Accrued interest*	191,461	255,285
Fair value release to profit & loss on derecognised assets	179,531	59,105
Exchange loss	(574,874)	381,446
Balance at 31 December	**3,730,482**	**4,062,627**

Government of Ghana investment securities amounting GHS 1.066 billion (Split into Trading and Banking Book of GHS 349 million and GHS 717 million respectively) were pledged as collateral at year end (2024: GHS 571 million). Pledged assets are the carrying amount of Government Securities (Treasury bills) used as collateral for short term funds borrowed from banks and non-bank financial institutions. In the event, the entity fails to make good the payment as and when it falls due, the collateral will not be released back to the Bank. The pledged assets could not be used for any other trading until the payment is done and the pledged assets are released by Central Securities Depository.

These transactions are conducted under terms that are usual and customary to securities borrowing and lending activities. It is at a rate of 91-day treasury bill plus a spread of 1%.

25. Other assets

Other assets comprise the following balances

Prepayments	271,023	86,867
Accrued income	6,399	6,153
Stationery stock	7,529	12,343
Prepaid staff benefits	185,905	140,671
External bank settlements	133,027	61,872
Confirmed letters of credit	429,007	993,856
Other receivables	3,600	3,272
	1,036,490	**1,305,034**

26. Property, plant and equipment

26.1 Balances at year end and movements for the year

	Right of use assets - Buildings	Land and Buildings	Furniture and equipment	Leasehold improvements	IT equipment	Motor vehicles	Capital work in progress	Total
Cost								
Balance at 1 January 2024	96,963	73,619	116,263	-	116,675	18,565	167,595	**589,680**
Additions	5,966	462	11,494	-	20,056	14,516	148,341	**200,835**
Transfers	-	2,740	481	-	-	-	(3,221)	**-**
Disposals	-	(22,266)	(41,974)	-	(27,400)	(2,425)	-	**(94,065)**
Balance at 31 December 2024	**102,929**	**54,555**	**86,264**	**-**	**109,331**	**30,656**	**312,715**	**696,450**
Balance at 1 January 2025	102,929	54,555	86,264		109,331	30,656	312,715	**696,450**
Additions	31,097	1,382	24,404	-	73,900	3,548	6,644	**140,975**
Transfers	-	3,929	9,269	-	5,117	859	(19,174)	**-**
Disposals	-	-	(299)	-	(16)	(921)	-	**(1,236)**
Balance at 31 December 2025	**134,026**	**59,866**	**119,638**	**-**	**188,332**	**34,142**	**300,185**	**836,189**

Notes to the Financial Statements

Figures in GHS `000

Property, plant and equipment continued...

	Right of use assets - Buildings	Land and Buildings	Furniture and equipment	Leasehold improvements	IT equipment	Motor vehicles	Capital work in progress	Total
Accumulated depreciation								
Balance at 1 January 2024	(41,153)	(42,637)	(97,098)	-	(94,154)	(8,598)	-	**(283,640)**
Depreciation for the year	(15,382)	(3,067)	(9,134)	-	(10,776)	(3,895)	-	**(42,254)**
Disposals	-	22,266	41,974		27,400	2,282	-	**93,922**
Balance at 31 December 2024	**(56,535)**	**(23,438)**	**(64,258)**		**(77,530)**	**(10,211)**	**-**	**(231,972)**
Balance at 1 January 2025	(56,535)	(23,438)	(64,258)		(77,530)	(10,211)	-	**(231,972)**
Depreciation for the year	(13,265)	(3,624)	(13,872)	-	(14,391)	(5,793)	-	**(50,945)**
Disposals	-	-	299		16	920	-	**1,235**
Balance at 31 December 2025	**(69,800)**	**(27,062)**	**(77,831)**		**(91,905)**	**(15,084)**	**-**	**(281,682)**

	Right of use assets - Buildings	Land and Buildings	Furniture and equipment	Leasehold improvements	IT equipment	Motor vehicles	Capital work in progress	Total
Carrying amounts								
Balance at 31 December 2024	**46,394**	**31,117**	**22,006**	**464478**	**31,801**	**20,445**	**312,715**	**464,477**
Balance at 31 December 2025	**64,226**	**32,804**	**41,807**		**96,427**	**19,058**	**300,185**	**554,507**

Property, plant and equipment continued...

26.2 Depreciation and amortization

There was no indication of impairment of property and equipment held by the Bank at 31 December 2025 (2024: Nil). None of the property and equipment of the Bank had been pledged as security for liabilities and there were no restrictions on the title of any of the Bank's property and equipment at the reporting date and at the end of the previous year. There were no capitalised borrowing costs related to the acquisition of property and equipment during the year (2024: Nil).

Property and equipment (Note 26)	50,945	42,254
Intangible assets (Note 27)	12,499	3,676
	63,444	**45,930**

26.3 Profit or loss on disposal

Cost	1,236	94,065
Accumulated depreciation	(1,235)	(93,922)
Proceeds from disposals	(490)	(424)
	(489)	**(281)**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

27. Intangible assets

Reconciliation of changes in intangible assets

	Software	Software under development	Total
Balance at 1 January 2024	16,828	54,136	70,964
Additions	1,711	20,525	**22,236**
Balance at 31 December 2024	**18,539**	**74,661**	**93,200**
Balance at 1 January 2025	18,539	74,661	**93,200**
Additions	378	100,375	**100,753**
Transfers	74,099	(74,099)	**-**
Balance at 31 December 2025	**93,016**	**100,937**	**193,953**
Accumulated amortisation			
Balance at 1 January 2024	(6,193)	-	(6,193)
Amortisation for the year	(3,676)	-	**(3,676)**
Balance at 31 December 2024	**(9,869)**	**-**	**(9,869)**
Balance at 1 January 2025	(9,869)	-	**(9,869)**
Amortisation for the year	(12,499)	-	**(12,499)**
Balance at 31 December 2025	**(22,368)**	**-**	**(22,368)**
Carrying amounts			
Balance at 31 December 2024	**8,670**	**74,661**	**83,331**
Balance at 31 December 2025	**70,648**	**100,937**	**171,585**

Additional disclosures

Intangible assets represent licenses for computer software. There was no indication of impairment of intangible assets held by the Bank at reporting date and at the end of the previous year. There were no capitalised borrowing costs related to the acquisition of intangible assets during the year (2024: Nil).

28. Deferred tax

28.1 The analysis of deferred tax assets and deferred tax liabilities is as follows:

- Deferred tax asset to be recovered within 12 months	540,342	630,008
	540,342	630,008
Net deferred tax assets	**540,342**	**630,008**

Notes to the Financial Statements

Figures in GHS `000

Deferred tax continued...

28.2 Detail

	2025			2024		
	Assets	**Liabilities**	**Net**	**Assets**	**Liabilities**	**Net**
	GHS `000	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**	**GHS `000**
Deferred tax through P&L						
Property, equipment and software	-	(10,252)	**(10,252)**	-	(3,170)	**(3,170)**
Allowances for loan losses	226,844	-	**226,844**	259,449	-	**259,449**
Share-based payments	13,875	-	**13,875**	5,723	-	**5,723**
Provisions	3,081	-	**3,081**	2,800	-	**2,800**
Leases	2,103	-	**2,103**	763	-	**763**
Deferred repairs and improvement	11,242	-	**11,242**	9,859	-	**9,859**
Investment securities(POCI Day 1 loss)	300,738	-	**300,738**	358,234	-	**358,234**
Unrealized forex losses	340	-	**340**	975	-	**975**
Leave provision	1,293	-	**1,293**	2,883	-	**2,883**
Net tax assets - P&L	**559,516**	**(10,252)**	**549,264**	**640,686**	**(3,170)**	**637,516**
Deferred tax through OCI						
Investment securities at FVOCI	-	(8,922)	**(8,922)**	-	(7,508)	**(7,508)**
Net tax assets/(liabilities) - OCI	**-**	**(8,922)**	**(8,922)**	**-**	**(7,508)**	**(7,508)**
Net assets/(liabilities)	**559,516**	**(19,174)**	**540,342**	**640,686**	**(10,678)**	**630,008**

Notes to the Financial Statements

Figures in GHS `000

Deferred tax continued...

	Opening balance	Recognised in profit or loss	Recognised in other comprehensive income	Closing balance
	GHS `000	GHS `000	**GHS `000**	**GHS `000**
2024				
Through P&L				
Property, plant and equipment	(3,170)	(7,082)	-	**(10,252)**
Deferred Repairs & Maintenance	9,859	1,383	-	**11,242**
Allowances for impairment on loans	259,450	(32,606)	-	**226,844**
Share-based payments	5,723	8,152	-	**13,875**
IFRS 16 Balance	763	1,340	-	**2,103**
Sundry Losses	2,800	281	-	**3,081**
POCI Day 1 loss	358,234	(57,496)	-	**300,738**
Unrealised forex losses	975	(635)	-	**340**
Leave provision	2,883	(1,589)	-	**1,293**
Allowance for impairment on FVOCI Ins	1,290	3,017	-	**4,306**
	638,806	**(85,235)**	-	**553,571**
Through Equity				
Fair value gains on available for sale financial assets	(7,508)	-	(1,414)	**(8,922)**
Allowance for impairment on FVOCI Ins	**(1,290)**	-	(3,017)	**(4,306)**
	(8,798)	-	**(4,431)**	**(13,228)**
	630,008	**(85,235)**	**(4,431)**	**540,342**

Notes to the Financial Statements

Figures in GHS `000

Deferred tax continued...

2024				
Through P&L				
Property, plant and equipment	**(1,333)**	**(1,838)**	**-**	**(3,170)**
Deferred Repairs & Maintenance	**9,161**	**697**	**-**	**9,859**
Allowances for impairment on loans	**186,679**	**72,770**	**-**	**259,450**
Share-based payments	**2,079**	**3,644**	**-**	**5,723**
IFRS 16 Balance	**444**	**319**	**-**	**763**
Sundry Losses	**1,321**	**1,479**	**-**	**2,800**
POCI Day 1 loss	**379,648**	**(21,414)**	**-**	**358,234**
Unrealised forex losses	**466**	**509**	**-**	**975**
Leave provision	**-**	**2,883**	**-**	**2,883**
Allowance for impairment on FVOCI Ins	**-**	**1,290**	**-**	**1,290**
	578,467	**59,049**	**-**	**638,806**
Through Equity				
Fair value gains on available for sale financial assets	**1,046**	**-**	**(8,554)**	**(7,508)**
Allowance for impairment on FVOCI Ins	**-**	**-**	**(1,290)**	**(1,290)**
	1,046	**-**	**(9,843)**	**(8,798)**
	579,513	**59,049**	**(9,843)**	**630,008**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

29. Deposits from Banks

Deposits from Banks comprise:

Money market deposits - Short term	447,421	372,284
Non-current liabilities	447,421	372,284
Current liabilities	-	-
	447,421	**372,284**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

30. Deposits from customers

Deposits from customers comprise:

2025	Retail GHS `000	Business Banking GHS `000	Corporate GHS `000	Total GHS `000
Cheque account deposits	3,913,257	3,000,643	3,585,715	10,499,615
Call deposits	2,510	525,736	3,493,544	4,021,790
Savings and transmission accounts	2,898,376	19,086	32	2,917,494
Fixed deposits	321,830	96,456	82,972	501,258
Margin deposits	-	-	1,245,512	1,245,512
Total	**7,135,973**	**3,641,921**	**8,407,775**	**19,185,669**

2024	Retail GHS `000	Business Banking GHS `000	Corporate GHS `000	Total GHS `000
Cheque account deposits	4,028,454	2,541,288	4,301,394	10,871,136
Call deposits	18,310	302,956	2,376,538	2,697,804
Savings and transmission accounts	2,642,427	14,211	32	2,656,670
Fixed deposits	593,195	164,238	80,352	837,785
Margin deposits	-	284,405	283,215	567,620
Total	**7,282,386**	**3,307,098**	**7,041,531**	**17,631,015**

The average interest rate for customer deposits was 5.98% (2024: 5.8%).

	2025	2024
Current deposits	18,684,411	16,793,230
Non-current deposits	501,258	837,785
Total	**19,185,669**	**17,631,015**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Deposits from customers continued...

Analysed by geographical area

Ghana	19,124,529	17,598,219
Outside Ghana	61,141	32,796
Total	**19,185,670**	**17,631,015**

Analysis by product type

Current and demand accounts - interest free	16,903,261	7,800,167
Current and demand accounts - interest bearing	1,634,364	6,325,007
Savings accounts	146,786	2,654,905
Other time deposits - retail	321,830	606,346
Other time deposits - corporate	179,428	244,590
Total	**19,185,669**	**17,631,015**

Analysis by type of depositors

Individual	7,135,973	7,295,540
Other private enterprises	11,940,695	10,299,075
Public enterprises	109,001	36,400
Total	**19,185,669**	**17,631,015**

Ratio of 20 largest depositors to total deposits	35.77%	29.89%

Dormant account

Where an account remains inoperative for a period of twenty-four months, the balance on such account is transferred to the dormancy centre for protection. The balance on dormant accounts at 31 December 2025 was GHS 146,965,424 (2024: GHS 156,386,398).

Notes to the Financial Statements

Figures in GHS `000	2025	2024

31. Borrowings

Borrowings comprise:

Non-current portion of borrowings	4,077,611	2,991,184
Current portion of borrowings	-	40,214
	4,077,611	**3,031,398**
Reconciliation of borrowings		
Balance at 1 January	3,031,398	730,815
Additions	1,085,978	2,869,541
Interest expense	44,267	11,975
Interest payments	(11,963)	(17,592)
Principal payments	(37,051)	(571,322)
Forex	(35,018)	7,981
	4,077,611	**3,031,398**

No collateral was provided for the for foreign borrowings whiles local borrowings were collateralized. Borrowings represent facilities mainly held with Absa Group Ltd. Contractual maturities span 1 month to 3 years with interest rates averaging 4.90%. Interest rates for other borrowings denominated in GHS at an average rate of 22.74% for 2025.

32. Retirement benefit obligations

32.1 Defined contribution plans

Absa Bank Ghana LTD participates in defined contribution plans, costs of which are represented as part of social security and provident fund costs under personnel expenses. This is primarily for existing and continuous staff whiles in active services and regulated by the National Pensions Regulatory Authority (NPRA) under specific management rules.

32.2 Defined benefit plan

The Bank makes contributions to a defined benefit plan that provides medical benefits for employees upon retirement (The scheme is not funded by the beneficiaries). The Plan entitles a retired employee to be reimbursed for certain medical costs.

Retirement benefit obligations continued...

32.2.1 ***Movement in defined benefit liabilities***

Movements in the present value of the defined benefit obligation in the current year were as follows:

The movement in the defined benefit liability over the year is as follows:		
Balance at 1 January	259,786	204,456
Current service cost	15,307	11,579
Interest expense/(income)	50,744	39,899
Actuarial (gains)/loss included in OCI	(17,149)	15,041
Benefits paid	(12,624)	(11,189)
Balance at 31 December	**296,064**	**259,786**

Actuarial (gains)/losses included in OCI is driven by the following factors:		
Medical inflation	(7,519)	18,789
Membership changes	(9,630)	(3,748)
Total	**(17,149)**	**15,041**

The following are the expected pay-outs under the defined benefit scheme:

Within the next 12 months (next annual reporting period)	13,196	12,137
Between 2 and 5 years	75,774	69,696
Between 5 and 10 years	178,950	164,596
	267,920	**246,429**

Amounts recognised in profit or loss in respect of these defined benefit plans are as follows:

Current service cost	15,307	11,579
Interest on obligation	50,744	39,899
	66,051	**51,478**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Retirement benefit obligations continued...

32.2.2 ***Sensitivity analysis***

2025	One percentage point increase in discount rate	One percentage point decrease in discount rate
Effect on service cost	(2,475)	3,061
Effect on interest cost	(3,222)	3,711
Effect on defined benefit obligation at 1 January	(25,855)	30,906
Effect on defined benefit obligation at 31 December	(29,128)	34,764

2024	One percentage point increase in discount rate	One percentage point decrease in discount rate
Effect on service cost	(2,038)	2,508
Effect on interest cost	(2,892)	3,335
Effect on defined benefit obligation at 1 January	(20,628)	24,708
Effect on defined benefit obligation at 31 December	(25,855)	30,906

32.2.3 ***Actuarial assumptions***

The following key financial assumptions were for the calculations as at 31 December 2025

Discount rate at 31 December	20.00%	20.00%
Average inflation at 31 December	15.00%	15.00%
Medical cost trend rate in the following year	15.00%	15.00%

33. Other liabilities

Accrued expenses	176,492	118,138
Liability on cash-settled share-based payments	46,260	16,126
Unallocated transfers	244	511
Unclaimed balances	59,073	77,692
Bill payable	52,925	62,474
Transfer to other banks	34,041	7,779
Payment in transit	3,561	5,415
Confirmed letters of credit	429,007	993,856
Lease liabilities	37,551	28,124
Other payables	473,762	450,571
ECL on off-balance sheets	37,841	74,719
Total	**1,350,757**	**1,835,405**

Other payables consist of amounts due to sundry counterparties including statutory bodies and other non-statutory entities. Also included in other payables is accrued management and technical service cost of GHS 153.4m (2024: GHS 233.3m)

Notes to the Financial Statements

Figures in GHS `000

34. Regulatory sanctions

The Bank was not sanctioned for any regulatory non-compliance to sections of the Banking Act, or any related directive/Regulations, including the AML Act and its subsidiary legislations. Therefore, no penalty was imposed during the year.

35. Leases

See accounting policy in Note

Leases as lessee

The Bank leases a number of branch and office premises. These leases typically run for a period of five (5) years, usually with an option to renew the lease after that date. The extension options held are not exercisable only by the Bank and will require approval by the lessor. Payments are renegotiated as and when to reflect market rentals. The Bank has elected not to recognise right-of-use assets and lease liabilities for short-term and/or leases of low-value items.

Information about leases for which the Bank is a lessee is presented below:

Notes to the Financial Statements

Figures in GHS `000

Leases continued...

35.1 Right-of-use assets

Right-of-use assets relate to leased branch and office premises that are presented within property and equipment.

	2025 GHS `000	2024 GHS `000
Balance at 1 January	46,394	55,811
Depreciation charge for the year	(13,265)	(15,382)
Additions	31,097	5,965
Balance at 31 December	**64,226**	**46,394**

35.2 Lease liability

Lease liability is the present value of the bank's future obligations to make payments for the leased branch and office premises that are presented in property and equipment.

	2025 GHS `000	2024 GHS `000
Balance at 1 January	28,124	26,852
Interest capitalised	6,900	6,097
Additions	31,102	5,965
Repayment	(28,575)	(10,790)
Balance at 31 December	**37,551**	**28,124**
Amount recognised in cashflow statement	**(28,575)**	**(10,790)**
Amounts recognised in profit or loss		
Interest on lease liabilities	6,900	6,097
Expenses relating to short term leases	1,340	2,633
Total	**8,241**	**8,730**
Maturity analysis of lease liability		
Not more than three months	3,724	**3,521**
Over 3 months but not more than 1 year	9,603	**8,664**
Over 1 year but not more than 5 years	36,061	**31,766**
Over 5 years	16,567	**21,965**
Total	**65,955**	**65,916**

Notes to the Financial Statements
Figures in GHS `000

36. Capital and reserves

36.1 Stated capital

	2025	2025	2024	2024
	No. of shares '000	Proceeds GHS `000	No. of shares '000	Proceeds GHS `000
Authorised				
Equity shares of no par value	100,000	-	100,000	-
Issued and fully paid				
For cash	60,808	108,146	60,808	108,146
Transfer from retained earnings in accordance with Section 68(1c) of the Companies Act, 2019 by a special resolution	29,185	291,854	29,185	291,854
In issue at 31 December- fully paid	**89,993**	**400,000**	**89,993**	**400,000**

There was no unpaid liability on any share and there were no calls or instalments unpaid at year end.

Notes to the Financial Statements

Figures in GHS `000

Capital and reserves continued...

Nature and purpose of reserves

Retained earnings

This represents the residual of cumulative annual profits that are available for distribution to shareholders.

Statutory reserve

Statutory reserve represents the cumulative amounts set aside from annual net profit after tax as required by Section 34 of the Banks and Specialised Deposit–Taking Institutions Act, 2016 (Act 930). The proportion of net profits transferred to this reserve ranges from 12.5% to 50% of net profit after tax depending on the ratio of existing statutory reserve fund to paid-up capital. The statutory reserve for the year was 230.7% (2024: 193.3%) of the GHS 400 million stated capital. Consequently, the Bank transferred a minimum of 12.5% of the 2025 net profit after tax to the statutory reserve.

Credit risk reserve

Regulatory credit risk reserve represents additional provision required by Bank of Ghana on loans and advances in excess of the IFRS impairment. The Central Bank requires provisions to be made against loans and advances depending on the classification into which they fall. The balance includes 1% provision on contingent liabilities amounting to GHS 39.3 million (2024: GHS 54.9 million) at the reporting period. Minimum provisions should be made as follows:

Loss Advances - Advances classified as a loss are considered uncollectable and of such little value that their continuation as recoverable advances is not warranted. This classification does not mean that the advance has absolutely no recovery value, but rather it is not practical or desirable to defer writing off this basically worthless advance even though partial recovery may be effected in the future. Advances classified as a loss include bankrupt companies and loans to insolvent firms with negative working capital and cash flow. Banks should not retain advances on the books while attempting long-term recoveries. Losses should be taken in the period in which they surface as uncollectable. Non-performing loans and receivables which are 360 days or more overdue are also classified as a loss. A provision of 100% of the aggregate net unsecured balance of advances is required in this category.

Doubtful Advances - Doubtful advances exhibit all the weaknesses inherent in advances classified as substandard with the added characteristics that the advances are not well-secured, and the weaknesses make collection or liquidation in full, on the basis of currently existing facts, conditions and values, highly questionable and improbable. The possibility of loss is extremely high, but because of certain important and reasonably specific pending factors, which may work to the advantage and strengthening of the advance, its classification as an estimated loss is deferred until its more exact status may be determined. Non-performing loans which are at least 180 days overdue but less than 360 days overdue are also classified as doubtful. A provision of 50% of the aggregate net unsecured balance of advances is required in this category.

Substandard Advances - Substandard advances display well-defined credit weaknesses that jeopardise the liquidation of the debt. Substandard advances include loans to borrowers whose cash flow is not sufficient to meet currently maturing debt, loans to borrowers which are significantly undercapitalised, and loans to borrowers lacking sufficient working capital to meet their operating needs. Non-performing loans which are at least 90 days overdue but less than 180 days overdue are also classified substandard. In this context advances become overdue when the principal or interest is due and unpaid for thirty days or more. A provision of 25% of the aggregate net unsecured balance of advances is required in this category.

OLEM (Other loans especially mentioned) - Advances in this category are currently protected by adequate security, both as to principal and interest, but they are potentially weak and constitute an undue credit risk, although not to the point of justifying the classification of substandard. A provision of 5% of the aggregate net unsecured balance of advances is required in this category.

Capital and reserves continued...

Current Advances - Advances in this category are those for which the borrower is up-to-date with repayments of both principal and interest. For overdrafts, this will mean regular activity on the account with no sign that a hardcore of debt is building up. A provision of 1% of the aggregate net unsecured balance of advances is required in this category.

The Regulatory credit risk reserve so created is not available for distribution as dividend and inclusion in the adjusted capital base for purposes of the Capital Adequacy Ratio (CAR) computation.

36.2 Reconciliation of Bank of Ghana provisioning to regulatory credit risk reserve

General provision required	120,924	105,370
Specific provision required	1,028,679	1,121,367
Total provisions required	**1,149,603**	**1,226,737**
Less IFRS impairment stock	(900,179)	(1,009,637)
Regulatory credit risk reserve	**249,424**	**217,100**

36.3 Other reserves

This includes effects from the fair value measurement of financial instruments of the category FVOCI instrument after deduction of deferred taxes. Any gains or losses are not recognised in profit or loss until the asset has been sold/matured or impaired. Actuarial gains and losses on defined benefit obligations. ECL on FVOCI assets and movements on equity-settled share-based payment are also included in this category.

37. Depreciation and amortisation

Depreciation and amortisation comprises:

Depreciation	**50,945**	**42,254**
Property, plant and equipment	50,945	42,254
Amortisation	**12,499**	**3,676**
Total depreciation and amortisation	**63,444**	**45,930**

38. Dividends

The Directors intend to declare and pay dividend for the year ended 31 December 2025, subject to the approval of shareholders at the Annual General Meeting (AGM), as well as obtaining the required regulatory consent. No dividend was paid for the year ended 31 December 2024.

Notes to the Financial Statements
Figures in GHS `000

39. Contingencies

39.1 Claims and litigation

A number of legal proceedings were outstanding against the Bank at 31 December 2025. Based on the expert view of our Legal team, many of these cases are unlikely to result in any loss. However, as at 31 December 2025, a provision of GHS 701,297 (2024: GHS 688,797) included in other liabilities was made in respect of cases with probability of adverse outcome against the bank.

Below shows the movement for the year:

	2025 GHS `000	2024 GHS `000
Balance at 1 January	689	414
Additions	187	351
Releases	(75)	(76)
Settlement**	(100)	-
Balance at 31 December	**701**	**689**

**The amount represent deposit made to the courts as part of the legal process. This case subsequently won by the Bank and funds would be returned to the Bank.

Contingencies continued...

39.2 Contingent liabilities and commitments

As common with other banks, the Bank conducts business involving acceptances, performance bonds and indemnities. Most of these facilities are offset by corresponding obligations of third parties. Contingent liabilities and commitments comprise acceptances, guarantees, letters of credit and undrawn commitments.

Nature of instruments

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The Bank expects most acceptances to be presented, but reimbursement by the customer is normally immediate.

Guarantees and letters of credit are given as security to support the performance of a customer to third parties. As the Bank will only be required to meet these obligations in the event of the customer's default, the cash requirements of these instruments are expected to be considerably below their nominal amounts.

Other contingent liabilities include transactions related to performance bonds and are, generally, short-term commitments to third parties which are not directly dependent on the customer's creditworthiness.

Documentary credits commit the Bank to make payments to third parties, on production of documents, which are usually reimbursed immediately by customers.

The following tables summarise the nominal principal amount of contingent liabilities and commitments with off balance sheet risk:

	2025 GHS `000	2024 GHS `000
Financial guarantees	1,232,094	1,254,481
Letters of credit	867,841	1,516,768
Undrawn formal stand-by facilities, credit lines and other commitments to lend	2,241,707	1,968,193
Total	4,341,642	4,739,442
Capital expenditure commitment	37,548	28,881

40. Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise influence over the other party in making financial and operational decisions, or one other party controls both. The definition includes members of the Absa Group Limited, key management personnel and the close members of their family. All related party transactions are done between the various parties at arm's length basis.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Related parties continued...

40.1 Related party balances

The Bank is controlled by Absa Group Limited (AGL), a bank incorporated in South Africa. AGL is the parent and ultimate parent of the Bank. A number of banking transactions are entered into between Absa Bank Ghana LTD and Absa Bank South Africa (related by common control) in the normal course of business.

The volume of related party transactions, outstanding balances at the year end and related income and expense are as follows:

	Interest received	Interest paid	Dividends paid
2025	**GHS `000**	**GHS `000**	**GHS `000**
Absa Bank South Africa	17,284	2,624	-
Absa Group Limited	-	-	-
2024			
Absa Bank South Africa	22,516	13,265	-
Absa Group Limited	-	-	-

The Bank also has the following placement with the parent company as detailed out below:

	Non-current amounts receivable	Non-current amounts payable
2025	**GHS `000**	**GHS `000**
Absa Bank South Africa	313,530	158,811
Absa Group Limited	13,444	157,383
2024		
Absa Bank South Africa	558,168	43,662
Absa Group Limited	-	236,794

Related party transactions between Absa Bank Ghana LTD and any other member of the Group are executed at arms length. Subsequently settlement between the parties involved are executed in line with the ordinary course of underlying agreement between the respective counterparties.

Impairment assessed at the reporting date for related party receivables was GHS Nil- (2024: Nil)

Related parties continued...

40.2 Transactions with key management personnel

Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Bank (directly or indirectly) and comprise the directors and officers of the Bank. Close family members of key management personnel are also considered to be related parties of the Bank. Close members of the family of a person are those family members who may be expected to influence or be influenced by that individual in their dealings with the Bank.

In the ordinary course of business, the Bank gives out loans to companies where a director or other key management personnel (or any connected person) is also a director or key management personnel (or any connected person) of the Bank. These loans are granted under normal commercial terms.

Details of transactions between directors and other key management personnel (and their connected persons) and the Bank are as follows:

	2025 GHS `000	2024 GHS `000
Loans outstanding at 1 January	25,491	18,758
Loans issued during the year	15,293	11,390
Loan repayments during the year	(7,596)	(4,657)
Loans outstanding at 31 December	33,188	25,491
Interest income earned	962	1,469

Included in loans and advances is GHS nil (2024: nil) advanced to companies where relationship exists by virtue of shareholding and/or representation in the respective companies' Board of Directors.

The advances are at rates comparable to market and are adequately secured. The related interest income in 2025 was GHS nil (2024: GHS nil).

Remuneration of directors and other key management personnel

The following information is presented in accordance with IAS 24 'Related Party Disclosure', which requires disclosure of the employee benefits of directors and other key management personnel:

	2025 GHS `000	2024 GHS `000
Salaries and other short-term benefits	50,137	39,990
Share based payment	9,997	10,035
Employer social security charges on emoluments	6,975	5,109
Total remuneration for the year	67,109	55,134

Notes to the Financial Statements

Figures in GHS `000

Related parties continued...

40.3 Transactions with employees and directors

	2025 GHS '000	2024 GHS `000
Balance at 1 January	371,234	268,890
Loans advanced during the year	239,228	178,331
Loans repayments received	(131,112)	(75,987)
Balance at 31 December	479,350	371,234

Interest on staff loans
Interest earned on staff loans during the year amounted GHS 12,710,691 (2024: GHS 13,851,102)

40.4 Shareholders

No.	Name	2025 No. of shareholding '000	2025 Percentage shareholding	2024 No. of shareholding '000	2024 Percentage shareholding
1.	Absa Group Limited	89,993	100	89,993	100

Notes to the Financial Statements

Figures in GHS `000	2025	2024

41. Shared based payments

41.1 Description of the share-based payment arrangements

The Bank engages in cash-settled and equity settled share-based payment transactions in terms of the Absa Group Limited employee schemes in respect of services received from certain of its employees. A total of GHS 55,536,000 (2024: GHS 22,891,000) had been provided for in respect of the share option scheme as at 31 December 2025.

	2025 GHS `000	2024 GHS `000
Equity settled	9,276	6,765
Cash settled-Ekhaya	46,260	16,126
Total	55,536	22,891

The charge for the year arising from share-based payment schemes was as follows:		
Equity settled	9,111	9,300
Cash settled-Ekhaya	32,593	16,207
Total	41,704	25,507

The main equity settled and cash settled shared-based payment schemes among group entries have been outlined below:

Absa Group Limited Share Value Plan

The Share Value Plan ("SVP") is a cash-settled share-based payment arrangement. The SVP awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest in equal tranches after one, two and three years, with each tranche subject to its own independent non-market-related performance condition. The amount that is paid to the participants is equal to the market value of a number of Absa Group Limited ordinary shares, as determined on the vesting date, to the extent that the non-market-related conditions attached to the awards are met. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the period.

The Bank does not offer share options as part of bonus or remuneration to its Executives. Executives are eligible to participate in group share schemes domiciled in South Africa.

Absa Group Limited Long Term Incentive Plan

The LTIP is an equity-settled share-based arrangement. Qualifying participants will be entitled to Absa Group Limited shares either by way of share award or a cash award that must be used to purchase AGL Group Shares. The award will be issued by the employing entity or subsidiary within the Group. In order for the participant to be entitled to these awards, the participant needs to render three years of service and meet requisite performance conditions in order to qualify.

Absa Group Ekhaya Scheme

The Absa Group B-BBEE transaction comprises both of a Colleague Share Scheme, which provide employees in South Africa and employees of other Absa domiciled countries, who signs up, with an equity ownership interest in Absa Group. Employees from Absa African Regional Operations (ARO) countries and other international operations entities are participating in a Colleague Phantom Share Scheme (referred to as The Ekhaya Scheme). This is the cash equivalent of that implemented in South Africa. The Absa EKhaya Colleague Share Scheme provides all eligible permanent employees with a right to a potential trickle dividend throughout the period and ultimately an equity ownership interest in Absa Group. The Participating Absa Bank countries pays for the cost of shares, with a five (5) vesting period when the value of the shares would be realised and distributed to the qualifying colleagues.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

Shared based payments continued...

41.2 Share option and award plans

The weighted average share price at the date of exercise/release of shares during the year was:

Weighted average share price at exercise date during the reporting period (cedis)	2025	2024
Equity-settled:		
LTIP	121.58	123.56
JSVP	91.71	-
SVP	110.96	133.44
SVP Cliff	121.58	123.56
Cash-settled:		
Ekhaya	55.67	61.60

The weighted average contractual remaining life and number of options and awards outstanding (including those exercisable) at the balance sheet date are as follows:

Weighted average contractual life	2025	2024
Equity-settled:		
LTIP	1.68	1.41
JSVP	0.67	1.16
SVP	0.99	0.89
SVP Cliff	1.56	1.45
Cash-settled:		
Ekhaya	2.67	3.67

41.3 Movements in options and awards

The movement in the number of options and awards for the major schemes was:

Equity settled	2025	2024
Opening balance	222,184	129,045
Granted/Transfer	199,254	151,588
Forfeited	(17,098)	(1,152)
Exercised	(50,190)	(57,297)
Closing Balance	**354,150**	**222,184**

41.4 Movements in options and awards

The movement in the number of options and awards for the major schemes was:

Ekhaya	2025	2024
Opening balance	1,015,660	985,560
Granted/Transfer	118,680	62,780
Forfeited	(43,000)	(31,820)
Exercised	(860)	(860)
Closing Balance	**1,090,480**	**1,015,660**

Notes to the Financial Statements

Figures in GHS `000	2025	2024

42. Going concern and Subsequent events

The Bank posted a profit after tax of GHS 1.76 billion, compared with GHS 1.19 billion posted in 2024. Also, total assets exceeded its total liabilities by GHS 6.0 billion (2024: GHS 4.2 billion).

In assessing the going concern considerations, the directors have considered the following matters;

- Performance trend and projections as well as underlying drivers into the foreseeable future.
- Cash flow forecast – Cash generating capacity and related commitments as well as liquidity management.
- Continuation of the turnaround strategies already started in line with overall business climate.
- Risk management – Continuous emphasis on rigorous selection process for clients, management of business risks and working capital.

43. Going concern and Subsequent events (continued)

On the above, the financial statements are prepared on the basis of accounting policies applicable to a going concern. This basis presumes that funds will be available to finance future operations and that the realisation of assets and settlement of liabilities will occur in the ordinary course of business.

44. Social responsibility

Amounts spent on fulfilling social responsibility obligations amounted to GHS 2,566,921 (2024: GHS 1,793,014).

Notes to the Financial Statements

Figures in GHS `000	2025	2024

45. New standards and interpretations not yet adopted

A number of new standards and amendments to existing standards, applicable to Absa Bank Ghana LTD, have been issued but not yet effective for the reporting period. These have not been applied in preparing these annual financial statements. Unless specifically noted to the contrary, these amendments are not expected to have a material impact on the Bank.

Amendments resulting from annual improvements for the following standards

Initial measurement of trade receivables - The amendment removes the conflict between IFRS 9 and IFRS 15 Revenue from Contracts with Customers (IFRS 15) over the amount at which a trade receivable is initially measured. Under IFRS 15, a trade receivable may be recognised at an amount that differs from the transaction price, for example, when the transaction price is variable. Conversely, IFRS 9 requires that entities initially measure trade receivables without a significant financing component at the transaction price. IFRS 9 has been amended to require entities to initially measure a trade receivable without a significant financing component at the amount determined by applying IFRS 15. The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Accounting for the derecognition of a lease liability by a lessee – The amendment states that when lease liabilities are derecognised under IFRS 9, the difference between the carrying amount and the consideration paid is recognised in profit or loss. The amendment applies only to lease liabilities extinguished on or after the beginning of the annual reporting period in which the amendment is first applied. The amendment is effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Minor amendments to IFRS 7, IFRS 10 and IAS 7. These amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Settlement of financial liabilities by electronic payments – IFRS 9

The amendments clarify when a financial asset or financial liability is recognised and derecognised and provide an exception for certain financial liabilities settled using an electronic payment system. The exception allows entities to derecognise their financial liabilities before the settlement date when it uses an electronic payment system that meets specific criteria. The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Classification of financial assets with a contingent feature – IFRS 9 and IFRS 7

Following the post-implementation review of the classification and measurement requirements, IFRS 9 has been amended to include guidance on the classification of financial assets, including those with contingent features. Additional disclosures in terms of IFRS 7 will also need to be provided on financial assets and financial liabilities that have certain contingent features. The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Equity instruments designated at fair value through other comprehensive income – IFRS 7

The amendments require additional disclosures for investments in equity instruments that are measured at fair value with gains or losses presented in other comprehensive income (FVOCI). The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Non-recourse assets and contractually linked instruments – IFRS 9

Notes to the Financial Statements

Figures in GHS `000	2025	2024

New standards and interpretations not yet adopted continued...

The amendments clarify the treatment of non-recourse assets and contractually linked instruments. The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Supplier Finance Arrangements (Amendment to IAS 7 and IFRS 7)

The amendments introduce specific disclosure requirements for entities entering into supplier finance arrangements, to allow users to assess the effects of these arrangements on the entity's liabilities, cash flows, and exposure to liquidity risk.

Notes to the Financial Statements

Figures in GHS `000	2025	2024

New standards and interpretations not yet adopted continued...

Minor amendments to IFRS 1, IFRS 10 and IAS 7. These amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Settlement of financial liabilities by electronic payments- IFRS 9

The amendments clarify when a financial asset or financial liability is recognised and derecognised and provide an exception for certain financial liabilities settled using an electronic payment system. The exception allows entities to derecognise their financial liabilities before the settlement date when it uses an electronic payment system that meets specific criteria. The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

Presentation and disclosure of financial statements- IFRS 18

IFRS 18 promotes a more structured income statement, introduces a newly defined “operating profit” subtotal, and a requirement for all income and expenses to be classified into three new distinct categories based on an entity’s business activities. The new standard requires an entity to analyse their operating expenses directly on the face of the income statement - either by nature, by function or on a mixed basis. In addition, the standard defines “management-defined performance measures” (MPMs) and requires that an entity provide disclosures regarding its MPMs in order to enhance transparency. The standard further provides enhanced guidance on aggregation and disaggregation of information, which will apply to both the primary financial statements and the notes. IFRS 18 is effective for annual reporting periods beginning on or after 1 January 2027 and applies retrospectively with early adoption permitted. The impact of this standard on the Bank is currently being assessed.

Value added statement

Figures in GHS `000	2025	2024
Value added statement for the year ended 31 December 2025		
Revenue	4,381,635	3,448,626
Direct cost of services and other costs	(633,741)	(531,746)
Value added by banking services	**3,747,894**	**2,916,880**
Non-banking income	3,465	725
Impairments	(3,321)	(264,764)
Value added	**3,748,038**	**2,652,841**
Distributed as follows:		
To employees		
Executive directors	(67,109)	(55,134)
Other employees	(872,847)	(675,779)
Total	(939,956)	(730,913)
To Non-Executive Directors:	(2,537)	(3,217)
To Government		
Income tax	(979,690)	(678,052)
To providers of capital		
Dividends to shareholders	-	-
To expansion and growth		
Depreciation and amortisation	(63,444)	(45,930)
Profit after tax to equity holders of the bank	**1,762,411**	**1,194,729**

The supplementary information presented does not form part of the annual financial statements and is unaudited